4491-X

VITA/TCE Training Supplement

Volunteer Income Tax Assistance (VITA) / Tax Counseling for the Elderly (TCE)

2022 RETURNS



Link & Learn Taxes

Take your VITA/TCE training online at **www.irs.gov** (keyword: Link & Learn Taxes). Link to the Practice Lab to gain experience using tax software and take the certification test online, with immediate scoring and feedback.

Publication 4491-X (Rev. 1-2023) Catalog Number 52568R Department of the Treasury **Internal Revenue Service** www.irs.gov

How to Get Technical Updates?

Updates to the volunteer training materials will be contained in Publication 4491-X, VITA/TCE Training Supplement. The most recent version can be downloaded at: **www.irs.gov/pub/irs-pdf/p4491x.pdf**

Volunteer Standards of Conduct

VITA/TCE Programs

The mission of the VITA/TCE return preparation programs is to assist eligible taxpayers in satisfying their tax responsibilities by providing free tax return preparation. To establish the greatest degree of public trust, volunteers are required to maintain the highest standards of ethical conduct and provide quality service.

Annually, all VITA/TCE volunteers (whether paid or unpaid) must pass the Volunteer Standards of Conduct (VSC) certification test and agree that they will adhere to the VSC by signing and dating Form 13615, Volunteer Standards of Conduct Agreement, prior to volunteering at a VITA/TCE site. In addition, return preparers, quality reviewers, coordinators, and tax law instructors must certify in Intake/Interview and Quality Review. Volunteers who answer tax law questions, instruct tax law classes, prepare or correct tax returns, or conduct quality reviews of completed returns must also certify in tax law prior to signing the form. Form 13615 is not valid until the sponsoring partner's approving official (coordinator, instructor, administrator, etc.) or IRS contact confirms the volunteer's identity with a government-issued photo identification (ID) and signs and dates the form.

As a volunteer in the VITA/TCE Programs, you must adhere to the following Volunteer Standards of Conduct:

VSC #1 - Follow the Quality Site Requirements (QSR)

VSC #2 - Do not accept payment, solicit donations, or accept refund payments for federal or state tax return preparation from customer

VSC #3 - Do not solicit business from taxpayers you assist or use the information you gained about them for any direct or indirect personal benefit for you or any other specific individual.

VSC #4 - Do not knowingly prepare false returns.

VSC #5 - Do not engage in criminal, infamous, dishonest, notoriously disgraceful conduct, or any other conduct deemed to have a negative effect on the VITA/TCE Programs.

VSC #6 - Treat all taxpayers in a professional, courteous, and respectful manner.

Failure to comply with these standards could result in, but is not limited to, the following:

- Your removal from all VITA/TCE Programs;
- Inclusion in the IRS Volunteer Registry to bar future VITA/TCE activity indefinitely;
- Deactivation of your sponsoring partner's site VITA/TCE EFIN (electronic filing ID number);
- Removal of all IRS products, supplies, loaned equipment, and taxpayer information from your site;
- Termination of your sponsoring organization's partnership with the IRS;
- Termination of grant funds from the IRS to your sponsoring partner; and

Referral of your conduct for potential TIGTA and criminal investigations.

TaxSlayer® is a copyrighted software program owned by Rhodes Computer Services. All screen shots that appear throughout the official Volunteer Income Tax Assistance (VITA) and Tax Counseling for the Elderly (TCE) training materials are used with the permission of Rhodes Computer Services.

Confidentiality Statement:
All tax information you receive from taxpayers in your volunteer capacity is strictly confidential and should not, under any circumstances, be disclosed to unauthorized individuals.

Publication 4491-X – 2022 Supplement

Table of Contents

Introduction 4

Changes to the Training and Site Publications 4

2022 Publication 4012, VITA/TCE Volunteer Resource Guide 5

2022 Publication 4491, VITA/TCE Training Guide 41

2022 Publication 6744, VITA/TCE Volunteer Assistor's Test/Retest 77

2022 Publication 4695PR, Puerto Rico Volunteer Test 90

Introduction

This supplement contains changes, revisions, and additions to the October 2022 versions of the VITA/TCE training publications.

These changes impact all of the VITA/TCE courses. VITA/TCE tax preparers must review this supplement before assisting taxpayers with tax law questions or preparing their returns. Quality reviewers must also review this document before performing quality reviews.

Changes to the Training and Site Publications

The following changes have been made to the listed publications. You may:

1. Use this list to make pen-and-ink changes to your printed training publications.
2. Print out the corrected pages that follow this list and replace the erroneous pages in your printed training publications. On the reverse side of each revised page is the continuing page.
3. Download the revised training materials with a January 2023 revision date from **www.irs.gov/forms-instructions**.

2022 Publication 4012, VITA/TCE Volunteer Resource Guide

Page Number	Changes
	Section Title
5	No changes.
6	**F(orm) S(chedule) # F** 1040, Line 13, under **Scope Limitations:** In the first bullet under **"Not in scope for:" replace:** $175,050 with $170,050
13	**F(orm) S(chedule) # F** 1099-H, under **Scope Limitations:** After "Health Coverage Tax Credit" **add:** , if entended,
14	No changes.
17	No changes.
18	**F(orm) S(chedule) # F** 8885, under **Scope Limitations:** After "Health Coverage Tax Credit" **add:** , if entended,
19	No changes.
20	**F(orm) S(chedule) # F** 8962, under **Scope Limitations, Not in scope for:** In bullet #3 after "Individual eligible for the health coverage tax credit" **add** , if entended,
	Tab A: Who Must File
A-3	Under the heading, **You must file a return if any of the conditions below apply for 2022,** in sentence #6, after "Advance payments of the health coverage tax credit" **add:** , if entended,
A-4	Under the heading, **Chart D - Who Should File,** in sentence #2, **replace:** "for last year's estimated tax" with "from last year's tax return applied to this year's taxes."
	Tab C: Dependents
C-1	No changes.
C-2	Under heading, **Tiebraker Rules,** at the end of the first paragraph in the 7th box, **remove** the last sentence.
	Tab D: Income
D-19	No changes.
D-20	Under heading, **Form 1099-K**, in the gray box on the left of the screenshot of the Form 1099-K, **remove:** And Box 1b

Page Number	Changes
D-20	Under heading, **Form 1099-K**, in the 2nd paragraph at the top, **change:** For the returns for calendar years prior to 2022: to For the returns for calendar years after 2023:
D-20	Under heading, **Form 1099-K**, in the 3rd paragraph at the top, **change:** For the returns for calendar years after 2021: to For the returns for calendar years after 2022:
D-20.1	New page insert.
D-53	Under the heading, **Schedule K-1 Scope (continued)**, on the screenshot of Schedule K-1, Form 1120-S, **move:** the blue #1 from line 16A to 16C
D-53	Under the heading, **Schedule K-1 Scope (continued)**, on the screenshot of Schedule K-1 (1065), **move:** the blue #1 from line 18A to 18C
D-53	Under the heading, **Schedule K-1 Scope (continued)**, in the first sentence of gray box marked 2 **replace:** Codes “P and Q” with Box 21
D-54	No changes.
D-63	Under the heading, **Entering Other Compensation in Taxslayer**, in the gray box marked 1 **replace** the third sentence with: The amount will appear on Form 1040, Schedule 1.
D-63	Under the heading, **Entering Other Compensation in Taxslayer**, in the gray box marked 2 **remove** the last sentence.
D-63	Under the heading, **Entering Other Compensation in Taxslayer**, in the gray box marked 3 **replace** the fourth sentence with: Wages earned while incarcerated will appear on Form 1040, Schedule 1.
D-64	No changes.
	Tab E: Adjustments to Income
E-7	No changes.
E-8	Under heading, **Health Saving Accounts (HSA) (continued)**, in the gray box marked #3, **replace:** “Forms 8889 will calculate the amount of excess contributions, if any, with “If Form 8889 Line 2 exceeds Line 13, there are excess contributions.”
	Tab F: Deductions
F-1	No changes.
F-2	Under heading, **Standard Deduction Worksheet for Dependents**, in the worksheet screenshot, in the Earned Income paragraph, **replace:** Lines 8r and 15 with line 15.

Page Number	Changes
F-11	Under heading, **Schedule A - Itemized Deductions (continued)**, in the **Notes** at the top of the page, **remove:** Certain qualified contributions made for relief efforts in disaster areas are not subject to the AGI limitation. See publication 976, Disaster Relief.
F-12	No changes.
	Tab G: Nonrefundable Credits
G-1	No changes.
G-2	Under heading, **Child Tax Credit (continued)**, in sentence #6, **replace:** (See Exception to Time Lived With You section on the Child Tax Credit chart on the following page.) with “See exceptions to time lived with taxpayer in the Overview of the Rules for Claiming a Dependent chart)
	Tab H: Other Taxes, Payments, and Refundable Credits
H-9	No changes.
H-10	Under heading, **Premium Tax Credit (continued)**, in the gray box marked 1 **replace** the first bullet sentence with: Are not lawfully present in the United States; or
H-10	Under heading, **Premium Tax Credit (continued)**, in the gray box marked 1, **replace,** the second bullet sentence with: Were eligible for the Trade Adjustment Assistance Health Care Tax Credit (HCTC), if extended (Out of Scope)
H-10	Under heading, **Premium Tax Credit (continued)**, in the gray box marked 2 **remove:** The Taxslayer default answer is NO for this question. It is very important to change to YES if income is below 100% of the Federal Poverty Line (9FPL) and one of the two “yes” conditions is met. If it is not changed to YES, the software will complete Form 8962 showing repayment of all the APTC without limitation.
H-11	No changes.
H-12	Under the heading, **Premium Tax Credit, Form 8962,** in the gray box marked 1, **replace,** the last sentence with: Refer Taxpayer to Part IV, Allocation Situation 2, of the Form 8962 instructions to determine the amount of APTC the taxpayer must repay (Out of Scope).
H-15	No changes.
H-16	Under the heading, **Consider income adjustments to reduce household income,** in the fourth bullet sentence, behind HTCT, **add:** , if extended,
I-2	Under the heading, **Summary of EIC Eligibility Requirements,** in the first column labeled, **Part A Rules for Everyone**, in the second text box, **change:** 3 to 4
I-3	No changes.
	Tab K: Completing the e-File Section (continued)
K-5	Under the heading, **Split Refund Option,** at the end of the first paragraph **remove** the last sentence.

How to Use This Guide

This publication is designed as a guide to assist you in preparing a return using TaxSlayer.* Not all forms are authorized for all volunteer programs. Forms intended specifically for the Military VITA Program will be annotated as such. Volunteers should only provide tax assistance based on their level of certification—Basic, Advanced, Military, International, Foreign Student and Puerto Rico 1 & 2.

The screening sheets/decision trees, charts and interview tips are from your training materials, **Publication 17,** Your Federal Income Tax Guide For Individuals, and other tax topic related publications. Use these tools during the dialogue with the taxpayer—"ask the right questions; get the right answers."



Here are the Icons used for ease of navigation though-out this publication. Hyperlinks in blue bold type will link you to the link or document labeled. Also the Table of Contents is linked to jump to every listing.

Interactive Tax Assistant (ITA), is an excellent tool to guide you through answers to tax law questions and is available **www.irs.gov/help/ita**.

SPEC allows volunteers to use the IRS provided software to prepare and electronically file their own tax return and the returns of family and friends. Unlike VITA/TCE returns, these returns have no income or tax law limitations.

The software may change after this publication becomes available. Screen shots in this guide may depict last year's version of the software. Follow the menus and prompts to enter current year tax information in the software. If additional information is needed, refer to TaxSlayer's VITA/TCE Blog. The blog will keep you up to date with any changes and notifications regarding preparing, creating or modifying returns. ***Publication 4491-X****, VITA/TCE Training Supplement, will be released in January to notify volunteers of any tax law and software updates.*

*TaxSlayer is a copyrighted software program owned by Rhodes Computer Services. All screen shots that appear throughout the official Volunteer Income Tax Assistance (VITA) and Tax Counseling for the Elderly (TCE) training materials are used with the permission of Rhodes Computer Services.

Scope of Service

When using the list, please note that column 3 (In Scope?) does not stand alone. Additional information contained in columns 4 and 5 (Scope Limitations and Certification Levels) may include topics or certification levels that affect whether volunteers may or may not prepare the return under the provisions of the Volunteer Protection Act.

If no certification level is listed, the topic is in scope for all certification levels.

Many forms and schedules that are out of scope are included as reference. If a form or schedule is not listed, it is out of scope because no training has been provided. In addition, if a volunteer has not been trained on an in-scope tax law topic, that topic is out of scope for that volunteer.

F(orm) or S(chedule) Number	Line or Box Number	In Scope? Y or N	Scope Limitations	Certification Levels
F 1040	Digital asset (virtual currency) question	Y	In scope if taxpayers can check the No box. Taxpayers check No if they: • held no virtual currency for the tax year or if the taxpayer's only transactions involving virtual currency during the tax year were purchases of virtual currency with real currency • held virtual currency in a wallet or account • transferred virtual currency from one wallet or account they own or control to another that they own or control • received virtual currency as an inheritance or gift	
F 1040	1	Yes	Wages, salaries, tips, etc.	Advanced certification required for unreported tip income.
F 1040	2a, b	Yes	Tax-exempt and taxable interest See F 1099-INT for limitations	
F 1040	3a, b	Yes	Qualified and Ordinary dividends See F 1099-DIV for limitations	
F 1040	4a, 4b, 5a, 5b	Yes	IRAs, pensions and annuities See F 1099-R for limitations **Not in scope for:** • Foreign retirement arrangements that may need special reporting on FINCEN 114 or F 8938	Basic certification if taxable amount is determined. Advanced certification required if taxable amount is **NOT** determined.
F 1040	6a, b	Yes	Social Security benefits **Not in scope for:** • Foreign social security from Canada or Germany that is treated as U.S. Social Security	
F 1040	7	Yes	Capital gain or loss. See F 8949 limitations	Advanced certification required.
F 1040	12	Yes	Standard deduction or Itemized deductions See F 1040 Schedule A limitations	Advanced certification required for itemized deductions.
F 1040	13	Yes	Qualified Business Income deduction **In scope for:** • The 20% deduction for sole proprietors and taxpayers with qualifying REIT dividends • Form 8995 **Not in scope for:** • Taxable income over $170,050 ($340,100 if MFJ) • Publicly traded partnership income • Form 8995-A	
F 1040	16	Yes	Tax See Schedule 2 for limitations	
F 1040	19	Yes	Child tax credit or credit for other dependents	
F 1040	23	Yes	Other taxes See limitations on Schedule 2	

F(orm) or S(chedule) Number	Line or Box Number	In Scope? Y or N	Scope Limitations	Certification Levels
F 1098-E		Yes	Student Loan Interest Statement	
F 1098-MA		No	Mortgage Assistance Payments	
F 1098-Q		Yes	Qualifying Longevity Annuity Contract Information (information only) No tax reporting required.	
F 1098-T		Yes	Tuition Statement **Not in scope for:** • Boxes 4 and 6 (Adjustments)	
F 1099-A		Yes	Acquisition or Abandonment of Secured Property See F 982 for limitations **In scope for:** • Qualified principal residence (if extended)	Advanced certification required
F 1099-B		Yes	Proceeds from Broker and Barter Exchange Transactions **Not in scope for:** • FATCA filing requirement box checked • Boxes 1f, 3 and 7-11, 13	Advanced certification required
F 1099-C		Yes	Cancellation of Debt See F 982 for limitations **In scope only for:** • Nonbusiness credit card debt cancellation including interest in box 3 when taxpayer is solvent before the cancellation • Discharge of qualified principal residence indebtedness • Discharge of certain student loan debt in 2021 through 2025 **Not in scope for:** • Cancellation of debt when Form 1099-C includes an amount for interest (exception listed above)	Advanced certification required
F 1099-CAP		Yes	Changes in Corporate Control and Capital Structure (information only) • No tax reporting required.	
F 1099-DIV		Yes	Dividends and Distributions **Not in scope for:** • Taxpayer is a nominee • Boxes labeled Unrecap Sec. 1250 gain, Section 1202 gain, Collectibles (28%) gain , Section 897 ordinary dividends, Section 897 capital gain, Cash liquidation distributions, and Noncash liquidation distributions • FATCA filing requirement box checked	
F 1099-G		Yes	Certain Government Payments **In scope for:** • Unemployment compensation • Refunds, credits, or offsets of state or local income tax • Box 5, RTAA payments • Box 6, Taxable grants **Not in scope for:** • Box 3 is other than the current tax year • Boxes 7-9	
F 1099-H		No	Health Coverage Tax Credit, if extended	

F(orm) or S(chedule) Number	Line or Box Number	In Scope? Y or N	Scope Limitations	Certification Levels
F 1099-INT		Yes	Interest Income See F 8615 for limitations (children with unearned income) **Not in scope for:** • Taxpayer is a nominee • An adjustment is needed to any amount reported • Amounts reported in the box labeled Specified private activity bond interest if AMT applies • Amounts reported in the box labeled Bond premium that exceed amounts reported in the box labeled Interest • FATCA filing requirement box checked • Accrued bond interest other than for savings bonds • Bonds bought or sold between interest payment dates other than for savings bonds • Bond premium on Treasury obligations that exceed Interest on U.S. Savings Bonds and Treasury obligations • Bond premium on tax-exempt bond that exceed Tax-exempt interest	
F 1099-K		Yes	Payment Card and Third Party Network Transactions **In scope for:** • Taxable income received for self-employment income (such as shared-economy driving). • Form 1099-K received for rental income is in scope for Military certification only. **Not in scope for:** • Forms 1099-K received for any other type of taxable income	Advanced certification required; Military certification if received for rental income
F 1099-LTC		Yes	Long-Term Care and Accelerated Death Benefits	Advanced certification required
F 1099-MISC		Yes	Miscellaneous Information **Not in scope for:** • Box 5 Fishing boat proceeds • Boxes 7-15 • FATCA filing requirement box checked	Military certification required for Box 1 Basic certification required for Box 3 Advanced certification required for all other entries
F 1099-NEC		Yes	Nonemployee compensation **Not in scope for:** • Athletes receiving NIL income	Advanced Certification required
F 1099-OID		Yes	Original Issue Discount **Not in scope for:** • FATCA filing requirement box checked • Box 6 Acquisition premium • Adjustment needed, or no form received	
F 1099-PATR		Yes	Taxable Distributions Received From Cooperatives **In scope for:** • Box 1 for personal use only	Advanced certification required
F 1099-Q		Yes	Payment From Qualified Education Programs (under section 529 and 530) **Not in scope for:** Distributions from Educational Savings Accounts if: • Funds were not used for qualified education expenses or • Distribution was more than the amount of the qualified expenses	
F 1099-QA		Yes	Distribution from ABLE Account **Not in scope for:** • Distribution from ABLE Account that was more than the amount of the qualified expenses	

F(orm) or S(chedule) Number	Line or Box Number	In Scope? Y or N	Scope Limitations	Certification Levels
F 6251		Yes	Alternative Minimum Tax **In scope for:** • Interest from private activity bond on Line 2g **Out of scope if AMT applies**	
F 6252		No	Installment Sales Income	
F 6781		No	Gains and Losses From Section 1256 Contracts and Straddles	
F 7202		Yes	Credits for Sick Leave and Family Leave for Certain Self-Employed Individuals	Advanced certification required
F 3903		Yes	Moving Expenses **In scope for:** • Active duty military taxpayer only	**Military certification required**
F 8275		No	Disclosure Statement	
F 8275 R		No	Regulation Disclosure Statement	
F 8283		Yes	Noncash Charitable Contributions **In scope for:** • Noncash contributions of $500 or less are reported on Schedule A and are in scope (Advanced certficiation required) • Noncash charitable contributions over $500 are in scope for Military certification only	Advanced certification required Military certification if >$500
F 8332		Yes	Release/Revocation of Release of Claim to Exemption for Child by Custodial Parent	
F 8379		Yes	Injured Spouse Allocation See F 8958 limitations (community property states)	
F 8396		No	Mortgage Interest Credit	
F 8453		Yes	U.S. Individual Income Tax Transmittal for an IRS e-file Return	
F 8582		No	Passive Activity Loss Limitations	
F 8606		No	Nondeductible IRAs	
F 8615		Yes	Tax for Certain Children Who Have Unearned Income (also known as Kiddie Tax) **In scope for:** • Native Americans receiving per capita payments • Alaska residents receiving permanent fund dividends	Advanced certification required
F 8621		No	Information Return by A Shareholder of a Passive Foreign Investment Company or Qualified Electing Fund	
F 8801		No	Credit for Prior Year Minimum Tax	
F 8805		No	Foreign Partner's Information Statement of Section 1446 Withholding Tax	
S 8812		Yes	Additional Child Tax Credit	
F 8814		Yes	Parent's Election to Report Child's Interest and Dividends **In scope for:** • Alaska residents receiving permanent fund dividends	Advanced certification required
F 8815		No	Exclusion of Interest From Series EE and I U.S. Savings Bonds Issued after 1989	
F 8821		No	Tax Information Authorization	
F 8829		No	Expenses for Business Use of Your Home	
F 8833		No	Treaty-Based Return Positive Disclosure Under Section 6114 or 7701 (b)	
F 8834		No	Plug-In Electric Vehicle Credit	
F 8839		No	Qualified Adoption Expenses	
F 8848		No	Consent to Extend the Time to Access the Branch Profits Tax Under Regulations Section 1.884-2 (a) and (c)	

F(orm) or S(chedule) Number	Line or Box Number	In Scope? Y or N	Scope Limitations	Certification Levels
F 8853		Yes	Archer MSAs and Long-Term Care Insurance Contracts **In scope for**: • Section C	
F 8857		No	Request for Innocent Spouse Relief	
F 8862		Yes	Information to Claim Earned Income Credit After Disallowance	
F 8863		Yes	Education Credits (American Opportunity and Lifetime Learning Credits)	
F 8865		No	Return of U.S. Persons With Respect to Certain Foreign Partnerships	
F 8880		Yes	Credit for Qualified Retirement Savings Contributions	
F 8885		No	Health Coverage Tax Credit, if extended	
F 8886		No	Reportable Transaction Disclosure Statement	
F 8888		Yes	Allocation of Refund (Including Savings Bond Purchases)	
F 8889		Yes	Health Savings Accounts (HSAs) **Not in scope for:** • Excess contributions to an HSA that are not withdrawn in a timely fashion • Qualified HSA funding distributions from an IRA • Death of an HSA holder (when spouse is not the designated beneficiary) • Additional Tax for Failure to Maintain HDHP Coverage • Deemed distributions from an HSA due to prohibited transactions, such as using an HSA as a security for a loan • Archer Medical Saving Accounts (MSA) • Medicare Advantage MSA • Health Reimbursement Arrangement • Part III, lines 18-21	**Advanced certification required**
F 8903		No	Domestic Production Activities Deduction	
F 8908		No	Energy Efficient Home Credit	
F 8910		No	Alternate Motor Vehicle Credit	
F 8911		No	Alternative Fuel Vehicle Refueling Property Credit	
F 8915-B		No	Qualified 2017 Disaster Retirement Plan Distributions and Repayments	
F 8915-C		No	Qualified 2018 Disaster Retirement Plan Distributions and Repayments	
F 8915-D		No	Qualified 2019 Disaster Retirement Plan Distributions and Repayments	

F(orm) or S(chedule) Number	Line or Box Number	In Scope? Y or N	Scope Limitations	Certification Levels
F 8915-F		Yes	Qualified Disaster Retirement Plan Distributions and Repayments **In scope for:** • 2020 Coronavirus distributions and repayments **Not in scope for:** • Any other disaster-related distributions	**Advanced certification required**
F 8919		No	Uncollected Social Security and Medicare Tax on Wages	
F 8936		No	Qualified Plug-in Electric Drive Motor Vehicle Credit	
F 8938		No	Statement of Specified Foreign Assets	
F 8948		No	Preparer Explanation for Not Filing Electronically • Not applicable to volunteers	
F 8949		Yes	Sales and other Dispositions of Capital Assets **In scope for:** • Sale of stocks, mutual fund shares and personal residences • Bond sales reported on a brokerage statement with capital gain or loss only (no ordinary income/loss) • Capital gains and losses reported on K-1 • Capital loss carryovers • Inherited property of types listed above in this section and, if inherited in 2010, taxpayer provides the basis • Wash sales if reported on brokerage or mutual fund statement **Not in scope for:** • Adjustment codes N, Q, X, R, S or C • Reduced exclusion on sale of home • Residence inherited or received as gift and not used as personal residence. If used as personal residence, taxpayer must provide basis. • Taxpayers who have sold any assets other than stock, mutual funds, or a personal residence • Taxpayers who trade in options, futures, or other commodities, whether or not they disposed of any during the year • Determination of basis issues: ○ Basis of any asset acquired other than by purchase or inheritance, such as a gift or employee stock option, unless the taxpayer provides the basis and holding period ○ Basis of inherited property determined by a method other than the FMV of the property on the date of the decedent's death, unless the taxpayer provides the basis and holding period • Like-kind exchanges and worthless securities • Form 1099-B, boxes with entries for any of the following: Bartering; Profit or (loss) realized on closed contracts; Unrealized profit (loss) on open contracts – prior year; Unrealized profit or (loss) on open contracts – current year; or Aggregate profit (loss) on contracts; Proceeds from collectibles; or FATCA filing requirement • Reduced exclusion computations/determinations for the sale of a home • Married homeowners who do not meet all requirements to claim the maximum exclusion on the sale of a home • Decreases to basis, including: Deductible casualty losses and gains a taxpayer postponed from the sale of a previous home before May 7, 1997 • Depreciation during the time the home was used for business purposes or as rental property • Taxpayers with "nonqualified use" issues • Sale of a home used for business purposes or as rental property	**Advanced certification required**

F(orm) or S(chedule) Number	Line or Box Number	In Scope? Y or N	Scope Limitations	Certification Levels
F 8958		Yes	Allocation of Tax Amounts Between Certain Individuals in Community Property States **In scope for:** • Taxpayers who are not certain they are in a common law marriage (rules are complex and differ from state to state) • Applicable returns as limited by Site or Program Coordinator • Depending on your tax assistance program, community property tax laws for married taxpayers who file a separate return from their spouse	
F 8959		No	Additional Medicare Tax	
F 8960		No	Net Investment Income Tax – Individuals, Estates and Trusts	
F 8962		Yes	Premium Tax Credit (PTC) **Not in scope for:** • Self-employed health coverage deductions for taxpayers who are also allowed a PTC • Form 8962 Part IV, Allocation of Policy Amounts, and Part V, Alternative Calculation for Year of Marriage • Individuals eligible for the health coverage tax credit, if extended • If there is a code FF on Form W-2, box 12 and the employee has a Marketplace policy and is otherwise eligible for PTC	Advanced certification required
F 8995		Yes	Qualified Business Income Deduction Simplified Computation **Not in scope for:** • Certain rental real estate enterprises treated as a single trade or business	Advanced certification required
F 8995-A		No	Qualified Business Income Deduction	
F 9000		Yes	Request for Alternative Format or Language	
F 9452		No	Filing Assistance Program	
F 9465		Yes	Installment Agreement Request (See fee schedule)	
F 13844		No	Application For Reduced User Fee For Installment Agreement	
F 14039		Yes	Identity Theft Affidavit	
F SS-8		No	Determination of Worker Status for Purposes of Federal Employment Taxes and Income Tax Withholding	
FinCEN F 114		No	Report of Foreign Bank and Financial Accounts	

Form 1042-S, Foreign Person's U.S. Source Income Subject to Withholding, is in scope only for volunteers with Foreign Student & Scholar certification.

Chart C – Other Situations When You Must File

You must file a return if any of the conditions below apply for 2022.

1. You owe any special taxes, including any of the following.
   a. Alternative minimum tax (Out of Scope).
   b. Additional tax on a qualified plan, including an individual retirement arrangement (IRA), or other tax-favored account. But if you are filing a return only because you owe this tax, you can file Form 5329 by itself.
   c. Household employment taxes. But if you are filing a return only because you owe this tax, you can file Schedule H by itself (Out of Scope).
   d. Social security and Medicare tax on tips you did not report to your employer or on wages you received from an employer who did not withhold these taxes.
   e. Recapture of first-time homebuyer credit. See Instructions for Form 1040, Schedule 2.
   f. Write-in taxes, including uncollected social security and Medicare or RRTA tax on tips you reported to your employer or on group-term life insurance and additional taxes on health savings accounts. See the Instructions for Form 1040.
   g. Recapture taxes. See the Instructions for Form 1040 (Out of Scope).
2. You (or your spouse, if filing jointly) received HSA distributions (in scope), Archer MSA distributions (Out of Scope), or Medicare Advantage MSA distributions (Out of Scope).
3. You had net earnings from self-employment of at least $400. Net earnings are Sch C profit x 92.35%. There is no self-employment tax on Sch C profit of less than $433.
4. You had wages of $108.28 or more from a church or qualified church-controlled organization that is exempt from employer social security and Medicare taxes (Out of Scope).
5. Advance payments of the premium tax credit were made for you, your spouse, or a dependent who enrolled in coverage through the Marketplace. You or whoever enrolled you should have received Form(s) 1095-A showing the amount of the advance payments.
6. Advance payments of the health coverage tax credit (if extended) were made for you, your spouse, or a dependent. You or whoever enrolled you should have received Form(s) 1099-H showing the amount of the advance payments (Out of Scope).
7. You are required to include amounts in income under section 965 or you have a net tax liability under section 965 that you are paying in installments under section 965(h) or deferred by making an election under 965(i) (Out of Scope).

Chart D – Who Should File

Even if a taxpayer is not required to file a federal income tax return, they should file if any of the following situations below apply.

1. You had income tax withheld from your pay, pension, social security or other income.
2. You made estimated tax payments for the year or had any of your overpayment from last year's tax return.
3. You qualify for the earned income credit. See Publication 596, Earned Income Credit (EIC), for more information.
4. You qualify for the additional child tax credit. See the Instructions for Schedule 8812.
5. You qualify for a refundable American Opportunity Credit.
6. You qualify for the Premium Tax Credit.
7. You receive a 1099-B and the gross proceeds plus other income exceeds the filing limits in Chart A.
8. You receive Form 1099-S, Proceeds From Real Estate Transactions.
9. You are required to file a state return.
10. You want to file a $0 AGI return (such as to prevent tax identity theft, to claim a state credit, or for other assistance). Returns with zero AGI, no refund, and no balance due need to be paper filed. In certain situations, taxpayers may e-file these returns. To e-file, enter $1 as other income. Go to In come>Less Common Income>Other Income Not Reported Elsewhere and describe as “IN ORDER TO E-FILE.”.
11. You qualify for the refundable credit for prior year minimum tax. See Form 8801, Credit for Prior Year Minimum Tax — Individuals, Estates, and Trusts (Out of Scope).
12. You qualify for the Credit for Federal Tax Paid on Fuels, Form 4136 (Out of Scope).

Overview of the Rules for Claiming a Dependent

This table is only an overview of the rules. For details, see Publication 17, Your Federal Income Tax For Individuals.

- You can't claim any dependents if you, or your spouse if filing jointly, could be claimed as a dependent by another taxpayer.
- You can't claim a married person who files a joint return as a dependent unless that joint return is only to claim a refund of income tax withheld or estimated tax paid.
- You can't claim a person as a dependent unless that person is a U.S. citizen, U.S. resident alien, U.S. national, or a resident of Canada or Mexico.[1]
- You can't claim a person as a dependent unless that person is your **qualifying child** or **qualifying relative**.

Tests To Be a Qualifying Child	Tests To Be a Qualifying Relative
1. The child must be your son, daughter, stepchild, foster child, brother, sister, half brother, half sister, stepbrother, stepsister, or a descendant of any of them. An adopted child is always treated as your own child. The term "adopted child" includes a child who was lawfully placed with you for legal adoption.	1. The person can't be your qualifying child or the qualifying child of any other taxpayer. A child isn't the qualifying child of any other taxpayer if the child's parent (or any other person for whom the child is defined as a qualifying child) isn't required to file an income tax return or files an income tax return only to get a refund of income tax withheld.
2. The child must be: (a) under age 19 at the end of the year and younger than you (or your spouse, if filing jointly), (b) under age 24 at the end of the year, a full-time student, and younger than you (or your spouse, if filing jointly), or (c) any age if permanently and totally disabled.	2. The person either (a) must be related to you in one of the ways listed under Relatives who don't have to live with you (see Table 2, step 2), or (b) must live with you all year as a member of your household[2] (and your relationship must not violate local law).
3. The child must have lived with you for more than half of the year.[2]	3. The person's gross income for the year must be less than $4,400.[3] Gross income means all income the person received in the form of money, goods, property and services, that isn't exempt from tax. Don't include Social Security benefits unless the person is married filing a separate return and lived with their spouse at any time during the tax year or if 1/2 the Social Security benefits plus their other gross income and tax exempt interest is more than $25,000 ($32,000 if MFJ).
4. The child must not have provided more than half of his or her own support for the year.[5]	4. You must provide more than half of the person's total support for the year.[4, 5]
5. The child isn't filing a joint return for the year (unless that joint return is filed only to claim a refund of income tax withheld or estimated tax paid).	
6. If the child meets the rules to be a qualifying child of more than one person, you must be the person entitled to claim the child as a qualifying child. See the "Qualifying Child of More Than One Person" chart.	

Footnotes

[1] There is an exception for certain adopted children.

[2] There are exceptions for temporary absences, children who were born or died during the year, children of divorced or separated parents or parents who live apart, and kidnapped children. If you obtained a final decree of divorce or separate maintenance during the year, you can't take your former spouse as a dependent. This rule applies even if you provided all of your former spouse's support.

[3] There is an exception if the person is disabled and has income from a sheltered workshop.

[4] There are exceptions for multiple support agreements, children of divorced or separated parents or parents who live apart, and kidnapped children.

[5] A worksheet for determining support is provided later in this tab. If a person receives Social Security benefits and uses them toward his or her own support, those benefits are considered as provided by the person. Benefits provided by the state to a needy person are generally considered support provided by the state. A proposed rule on which taxpayers may choose to rely treats governmental payments made to a recipient that the recipient uses, in part, to support others as support of the others provided by the recipient, whereas any part of such payment used for the support of the recipient would constitute support of the recipient by a third party. For example, if a mother receives Temporary Aid to Needy Families (TANF) and uses the TANF payments to support her children, the proposed regulations treat the mother as having provided that support.

Qualifying Child of More Than One Person

Tiebreaker Rules

If the child meets the conditions to be the qualifying child of more than one person, only one person can claim the child as a qualifying child dependent for all tax benefits associated with an exemption unless the special rule for children of divorced or separated parents applies[1].

- Credit for other dependents
- Head of Household
- Credit for Child and Dependent Care Expenses
- Child Tax Credit
- Earned Income Credit
- Exclusion from income for Dependent Care Benefits

No other person can take any of the six tax benefits listed above unless he or she has a different qualifying child. To determine which person can treat the child as a qualifying child to claim these six tax benefits, the following tiebreaker rules apply. Subject to these tiebreaker rules, the taxpayer and the other person may be able to choose which person claims the child as a qualifying child.

If only one of the persons is the child's parent, the child is treated as the qualifying child of the parent.

If the parents file a joint return together and can claim the child as a qualifying child, the child is treated as the qualifying child of the parents.

If the parents don't file a joint return together but both parents claim the child as a qualifying child, the IRS will treat the child as the qualifying child of the parent with whom the child lived for the longer period of time during the year. If the child lived with each parent for the same amount of time, the IRS will treat the child as the qualifying child of the parent who had the higher adjusted gross income (AGI) for the year.

If no parent can claim the child as a qualifying child, the child is treated as the qualifying child of the person who had the highest AGI for the year.

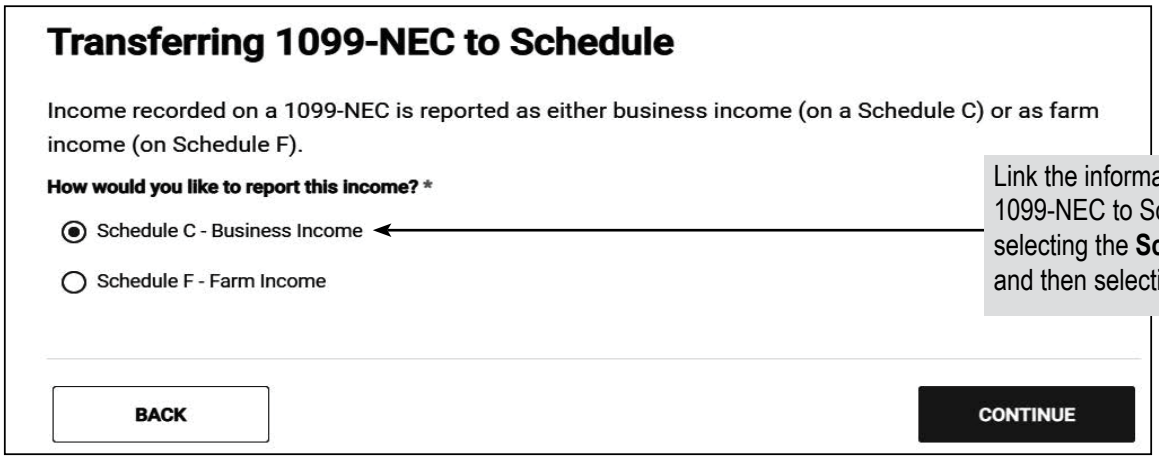
If a parent can claim the child as a qualifying child but no parent claims the child, the child is treated as the qualifying child of the person who had the highest AGI for the year, but only if that person's AGI is higher than the highest AGI of any of the child's parents who can claim the child.

Example: Your daughter meets the conditions to be a qualifying child for both you and your mother. Under the rules above, you are entitled to treat your daughter as a qualifying child for all of the six tax benefits listed above for which you otherwise qualify. Your mother isn't entitled to take any of the six tax benefits listed above unless she has a different qualifying child. However, if your mother's AGI is higher than yours, you can let your mother treat your daughter as her qualifying child. If you do that, your daughter isn't your qualifying child for any of the six benefits.
For more details and examples, see Publication 17 and Publication 501, Exemptions, Standard Deduction, and Filing Information.

Footnote

[1] When the special rule for children of divorced or separated parents applies (see Table 3, later in this tab) and the noncustodial parent claims the child as a dependent, the noncustodial parent may also claim the child tax credit and any educational benefit, if all other rules are met. The custodial parent should enter the child as a nondependent in the software (see software entries in Tab B, Starting a Return and Filing Status), because they may be eligible for the EIC, Child and Dependent Care Credit, Exclusion from income for Dependent Care Benefits and Head of Household filing status.

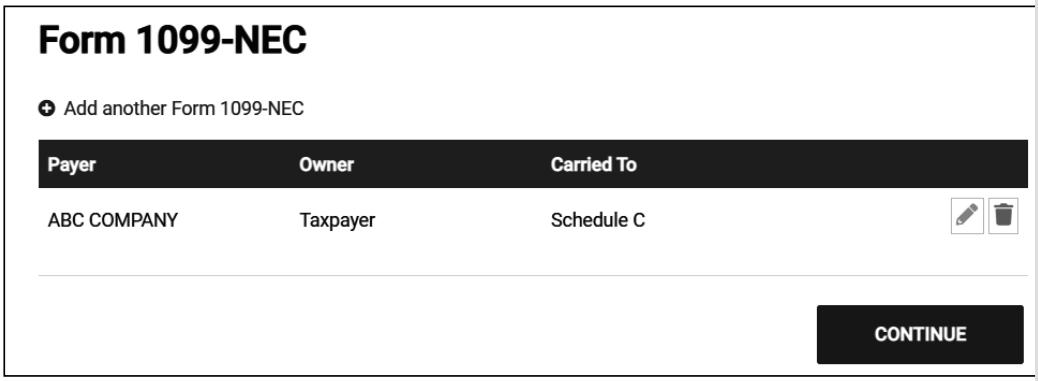
Connecting the Form 1099-NEC to Schedule C



Link the information from the 1099-NEC to Schedule C by selecting the **Schedule C** button and then selecting **Continue.**

If the taxpayer has more than one business, you must use a separate Schedule C for each.

Check to ensure the Form 1099-NEC is carried to the correct section of Form 1040.



If there is more than one Form 1099-NEC for the same business, ensure that they are all linked to the same Schedule C. To link a second Form1099-NEC click on **Add another Form 1099-NEC**, enter data, and select **Continue**. On the next screen select **Form C**, select **Report this income on a Schedule C I already created for my business** then choose business description and **Continue**.

*If the Carried To section says "None" the income is not being reported on the return. Select **Edit** and link to the appropriate Schedule.*

Form 1099-K

Taxpayers will receive Form 1099-K, Payment Card and Third-Party Network Transactions by January 31st if, in the prior calendar year, they received payments:

- From payment card transactions (e.g., debit, credit, or stored-value cards), AND/OR
- In settlement of third-party payment network transactions above the minimum reporting thresholds as follows:

For returns for calendar years prior to 2023:

- Gross payments that exceed $20,000, AND
- More than 200 such transactions

For returns for calendar years after 2022:

- Gross payments that exceed $600, AND
- Any number of transactions

For transactions made after March 11, 2021, The American Rescue Plan Act of 2021 clarifies Form 1099-K reporting by third-party settlement organizations applies only for transactions for the provision of goods or services settled through a third-party payment network.

☐ CORRECTED (if checked)

FILER'S name, street address, city or town, state or province, country, ZIP or foreign postal code, and telephone no.	FILER'S TIN	OMB No. 1545-2205
	PAYEE'S TIN	Form **1099-K** Payment Card and Third Party
	1a Gross amount of payment card/third party network transactions $	1
	1b Card Not Present transactions $	2
Check to indicate if FILER is a (an): Payment settlement entity (PSE) ☐ Electronic Payment Facilitator (EPF)/Other third party ☐	Check to indicate transactions reported are: Payment card ☐ Third party network ☐	3 Number of payment transactions
PAYEE'S name	5a January $	
Street address (including apt. no.)	5c March $	
	5e May $	

Combine the Box 1a amounts from all 1099-Ks received for any one business and include in TaxSlayer with any cash income on Schedule C.

1 Box 1a shows the aggregate gross amount of payment card/third party network transactions made to you through the PSE during the calendar year.

2 Box 1b shows the aggregate gross amount of all reportable payment transactions made through the PSE during the calendar year where the card was not present at the time of the transaction or the card number was keyed into the terminal.

*Taxpayers may receive a Form 1099-K representing the total dollar amount of total reportable payment transactions. This may **not** be the amount you should report as income, as it may not include all the receipts and it may include items that are not included in receipts (such as sales tax). You should consider the amounts shown on Form 1099-K, along with all other amounts received, when calculating gross receipts for the taxpayer's income tax return.*

Taxpayers who receive a Form 1099-K that does not belong to them should contact the Payment Settlement Entity (PSE). If there is an error on the form, request a corrected Form 1099-K from the PSE. Taxpayers should keep a copy of any corrected Form 1099-K with their records as well as any correspondence with the PSE.

If taxpayers shared a credit card terminal with another person or business, the Form 1099-K they receive will include payment card transactions belonging to the person or business that shared the terminal, in addition to their own payments. Where required, the taxpayer should file and furnish the appropriate information return (e.g., Form 1099-K or Form 1099-MISC) for each person or business with whom they shared a card terminal. In this case, the return is Out of Scope.

General FAQs on New Payment Card Reporting Requirements
(www.irs.gov/payments/general-faqs-on-new-payment-card-reporting-requirements)

Understanding Your Form 1099-K
(www.irs.gov/businesses/understanding-your-form-1099-k)

Gig Economy Tax Center
(www.irs.gov/businesses/gig-economy-tax-center)

Form 1099-K Frequently Asked Questions

For details about these or other FAQs, see Fact Sheet 2022-41 and Form 1099-K Frequently Asked Questions on IRS.gov.

Q1. How is the IRS planning to address the changes to the Form 1099-K reporting requirements?

A1. As outlined in **Notice 2023-10**, the IRS is delaying the implementation of the requirement for third party business reporting more than $600 for the 2022 calendar year.

Q2. Is the gain or loss on the sale of a personal item used to compute my taxable income? Is that reported on a Form 1099-K?

A2. The **gain** on the sale of a personal item is taxable. You must report the transaction (gain on sale) on Form 8949, Sales and Other Dispositions of Capital Assets, and Form 1040, U.S. Individual Income Tax Return, Schedule D, Capital Gains and Losses.

The **loss** on the sale of a personal item is not deductible. For calendar year 2022 tax returns, if you receive a Form 1099- K, for the sale of a personal item that resulted in a loss, you should make offsetting entries on Form 1040, U.S. Individual Income Tax Return, Schedule 1, Additional Income and Adjustments to Income, as follows:

- Report your proceeds (the Form 1099-K amount) on Part I – Line 8z – **Other Income**, using the description "Form 1099-K Personal Item Sold at a Loss."
- Report your costs, up to but not more than the proceeds amount (the Form 1099-K amount), on Part II – Line 24z – **Other Adjustments**, using the description "Form 1099-K Personal Item Sold at a Loss."

Example: If you bought a refrigerator for $1,000 (the purchase price) and sold it for $600 (the sales price), you have a **loss** of $400. Form 1040, Schedule 1, Part I – Line 8z, **Other Income.** List type and amount: "Form 1099-K Personal Item Sold at a Loss …. $600" to show the proceeds from the sale reported on the Form 1099-K. and,

Form 1040, Schedule 1, Part II – Line 24z, **Other Adjustments**. List type and amount: "Form 1099-K Personal Item Sold at a Loss…. $600" to show the amount of the purchase price that offsets the reported proceeds. Do not report the $1,000 you paid for the refrigerator because the loss on the sale of a personal item is not deductible.

Q3. How do I account for the fees I paid to an online marketplace related to the sale of my personal items?

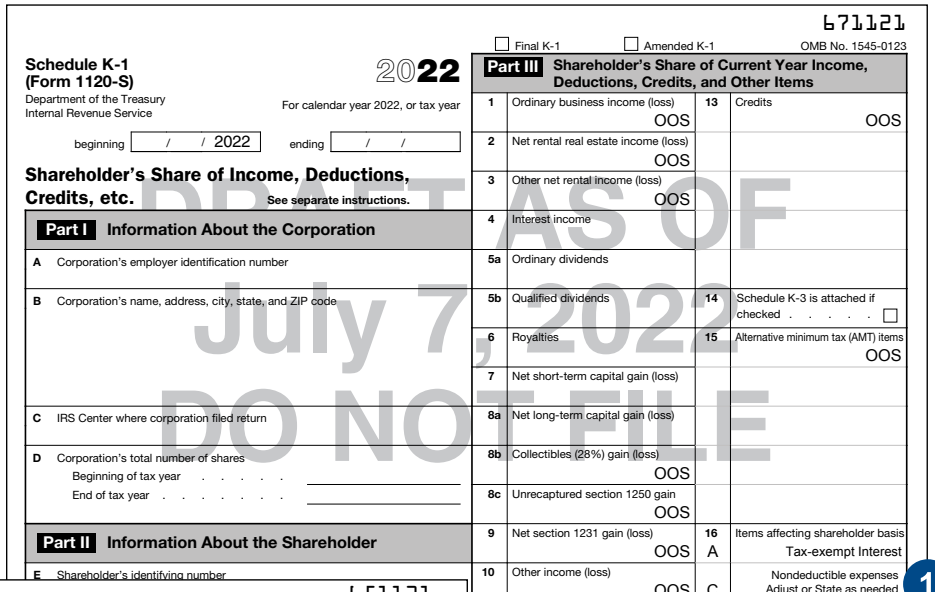
A3. You should include all fees (e.g., selling fees, payment processing fees, etc.) associated with the sale of your personal items in your basis when computing your gain or loss on the sale.

Q4. My friend and I went to a concert, and my friend reimbursed money to me for her concert ticket through an online application. If I get a Form 1099-K for the reimbursement, do I need to pay taxes on it?

A4. Because the money is not payment for the sale of goods or the provision of services, generally the reimbursement would not be taxable to you. If you cannot get the form corrected, the error should be reported on Form 1040, Schedule 1, Part I, **Additional Income**, Line 8z, **Other Income**, with an offsetting entry in Part II, **Adjustments to Income**, Line 24z**, Other Adjustments**. List type and amount in both entries. For example: "Form 1099-K Received in Error.... $1,000."

Schedule K-1 Scope (continued)

Schedule K-1 (Form 1120S) - S Corporation income passes directly to shareholders.



671121

Final K-1 ☐ Amended K-1 ☐ OMB No. 1545-0123

Schedule K-1 (Form 1120-S) 2022
Department of the Treasury
Internal Revenue Service
For calendar year 2022, or tax year
beginning / / 2022 ending / /

Shareholder's Share of Income, Deductions, Credits, etc. See separate instructions.

Part I Information About the Corporation

A Corporation's employer identification number

B Corporation's name, address, city, state, and ZIP code

C IRS Center where corporation filed return

D Corporation's total number of shares
Beginning of tax year
End of tax year

Part II Information About the Shareholder

E Shareholder's identifying number

Part III Shareholder's Share of Current Year Income, Deductions, Credits, and Other Items

1	Ordinary business income (loss) OOS	13	Credits OOS
2	Net rental real estate income (loss) OOS		
3	Other net rental income (loss) OOS		
4	Interest income		
5a	Ordinary dividends		
5b	Qualified dividends	14	Schedule K-3 is attached if checked ☐
6	Royalties	15	Alternative minimum tax (AMT) items OOS
7	Net short-term capital gain (loss)		
8a	Net long-term capital gain (loss)		
8b	Collectibles (28%) gain (loss) OOS		
8c	Unrecaptured section 1250 gain OOS		
9	Net section 1231 gain (loss) OOS	16	Items affecting shareholder basis
		A	Tax-exempt Interest
10	Other income (loss) OOS	C	Nondeductible expenses Adjust or State as needed (1)
			Other codes
		17	Other information
11	Section 179 deduction OOS		
12	Other deductions OOS		
18	☐ More than one activity for at-risk purposes*		
19	☐ More than one activity for passive activity purposes*		

* See attached statement for additional information.

w.irs.gov/Form1120S Cat. No. 11520D **Schedule K-1 (Form 1120-S) 2022**

DRAFT AS OF July 7, 2022 DO NOT FILE

651121

Final K-1 ☐ Amended K-1 ☐ OMB No. 1545-0123

Schedule K-1 (Form 1065) 2022
Department of the Treasury
Internal Revenue Service
For calendar year 2022, or tax year
beginning / / 2022 ending / /

Partner's Share of Income, Deductions, Credits, etc. See separate instructions.

Part I Information About the Partnership

A Partnership's employer identification number

B Partnership's name, address, city, state, and ZIP code

C IRS center where partnership filed return:

D ☐ Check if this is a publicly traded partnership (PTP)

Part II Information About the Partner

E Partner's SSN or TIN (Do not use TIN of a disregarded entity. See instructions.)

F Name, address, city, state, and ZIP code for partner entered in E. See instructions.

G ☐ General partner or LLC member-manager ☐ Limited partner or other LLC member

H1 ☐ Domestic partner ☐ Foreign partner

H2 ☐ If the partner is a disregarded entity (DE), enter the partner's:
TIN Name

I1 What type of entity is this partner?

I2 If this partner is a retirement plan (IRA/SEP/Keogh/etc.), check here ☐

J Partner's share of profit, loss, and capital (see instructions):

	Beginning	Ending
Profit	%	%
Loss	%	%
Capital	%	%

Check if decrease is due to sale or exchange of partnership interest ☐

K Partner's share of liabilities:

	Beginning	Ending
Nonrecourse	$	$
Qualified nonrecourse financing	$	$
Recourse	$	$

Check this box if item K includes liability amounts from lower-tier partnerships ☐

L **Partner's Capital Account Analysis**
Beginning capital account $
Capital contributed during the year $
Current year net income (loss) $
Other increase (decrease) (attach explanation) $
Withdrawals and distributions $ ( )
Ending capital account $ If negative, OOS

M Did the partner contribute property with a built-in gain (loss)?
☐ Yes ☐ No If "Yes," attach statement. See instructions.

N **Partner's Share of Net Unrecognized Section 704(c) Gain or (Loss)**
Beginning $
Ending $

Part III Partner's Share of Current Year Income, Deductions, Credits, and Other Items

1	Ordinary business income (loss) OOS	14	Self-employment earnings (loss) OOS
2	Net rental real estate income (loss) OOS		
3	Other net rental income (loss) OOS	15	Credits
4a	Guaranteed payments for services OOS		
4b	Guaranteed payments for capital OOS	16	Schedule K-3 is attached if checked ☐
4c	Total guaranteed payments OOS	17	Alternative minimum tax (AMT) items
5	Interest income		
6a	Ordinary dividends		
6b	Qualified dividends	18	Tax-exempt income and nondeductible expenses
6c	Dividend equivalents	A	Tax-exempt Interest
7	Royalties	C	Nondeductible expenses Adjust or State as needed (1)
			Other Codes OOS
8	Net short-term capital gain (loss)	19	Distributions N/A Disregard
9a	Net long-term capital gain (loss)		
9b	Collectibles (28%) gain (loss) OOS	20	Other information
9c	Unrecaptured section 1250 gain OOS		OOS
10	Net section 1231 gain (loss) OOS		
11	Other income (loss) OOS		
12	Section 179 deduction OOS	21	Foreign taxes paid or accrued
13	Other deductions OOS		(2)
22	☐ More than one activity for at-risk purposes*		
23	☐ More than one activity for passive activity purposes*		

*See attached statement for additional information.

For IRS Use Only

For Paperwork Reduction Act Notice, see the Instructions for Form 1065. www.irs.gov/Form1065 Cat. No. 11394R **Schedule K-1 (Form 1065) 2022**

DRAFT AS OF July 21, 2022 DO NOT FILE

(1) No need to enter in TaxSlayer

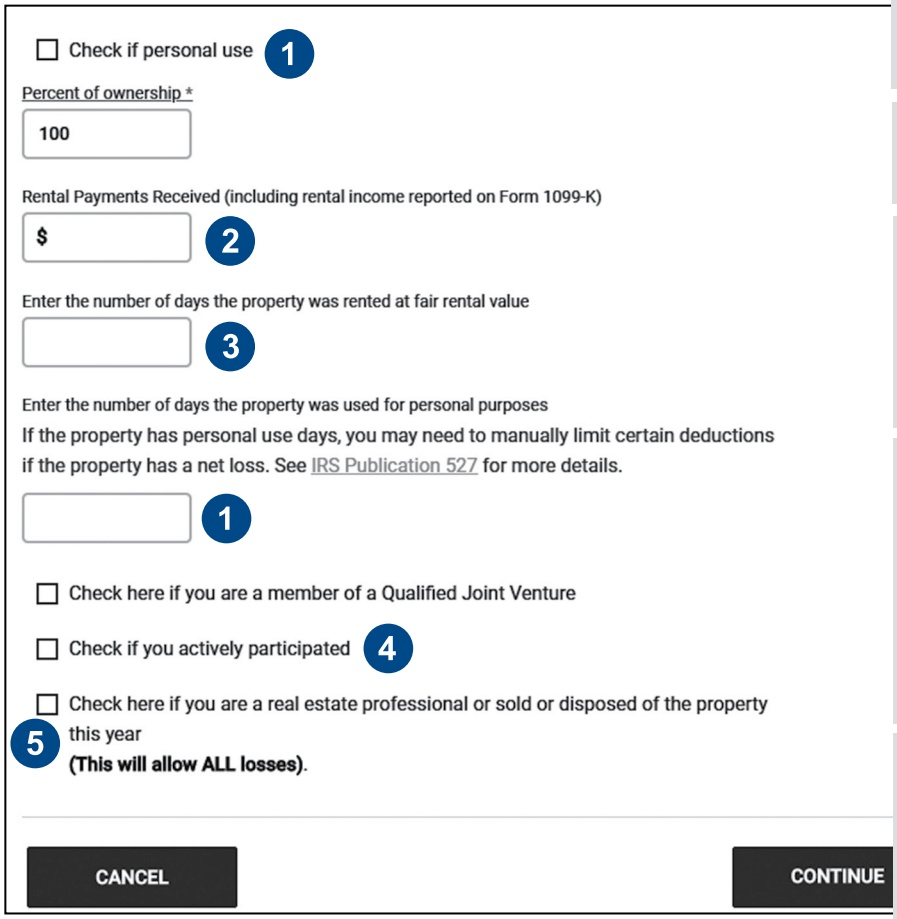
(2) Box 21 does not appear in the TaxSlayer Form 1065 K-1 entry screen. Instead make the following entries:

1. Enter amounts from Line 21 in Deductions>Credits>Foreign> Taxes Paid.
2. Enter in state as needed.

Entering Rental and Royalty Income in TaxSlayer

Income>Supplemental Income and Loss>Schedule E Rent and Royalty Information; or Keyword "SC"

Volunteers must certify at Military level to prepare Schedule E for rental income. Rental income and expenses are in-scope only for military families renting their personal residences.



1 Check the box if the taxpayer had any days of personal use while the property was available for rent. Enter the number of days here.

2 Enter the total rental payments received for the tax year.

3 Enter number of days rented at fair rental value. If the property is temporarily rented for less than 15 days during the tax year, the rental income is not taxable and the expenses are not deductible on a Schedule E.

4 Check here if the taxpayer actively participated. A rental loss will not appear on Form 1040, unless the taxpayer actively participated. In order to actively participate, the taxpayer must have substantial involvement in managing the rental property, such as making management decisions and arranging for repairs.

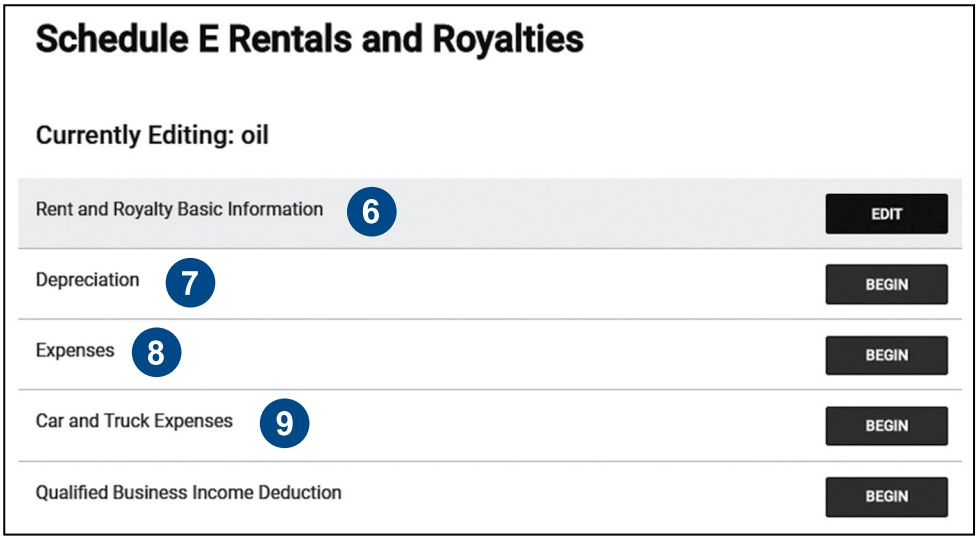
5 Use Schedule E to report rental income only when the taxpayer is not a real estate professional (determination of professional status is Out of Scope). Refer taxpayers who are real estate professionals to a professional tax preparer.

6 Select to edit the physical address, type of property, and to report the number of fair rental and personal use days.

7 If Form 4562 is required, the tax return is Out of Scope.

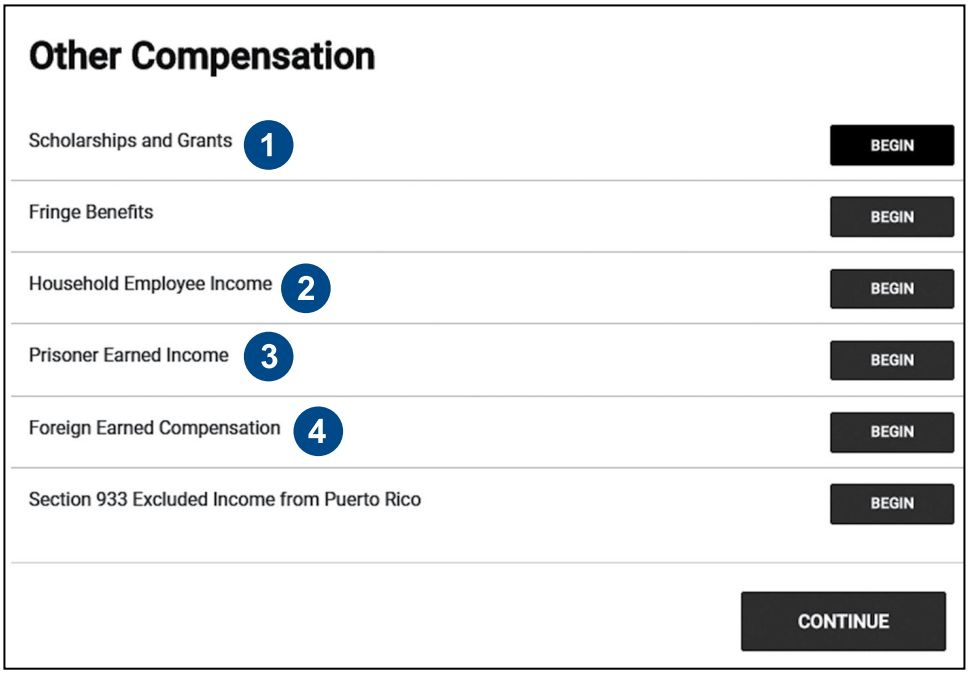
8 Select to enter rental expenses. See the next page.

9 Select to enter vehicle expenses.



Entering Other Compensation in TaxSlayer

Income>Less Common Income>Other Compensation



1 Scholarships and grants used to pay for tuition, fees and course-related expenses are not taxable. Use this link to report only amounts that were used for nonqualifying expenses. The amount will appear on Form 1040, Schedule 1. Taxable scholarship is considered unearned income for most purposes but is considered earned income for determining filing requirement.

2 Enter wages received as a household employee for which the taxpayer did not receive a Form W-2 because the employer paid less than $2,400 in 2022.

3 Enter the amount received for work while an inmate in a penal institution. For purposes of the Earned Income Credit, this isn't considered earned income. This includes amounts received for work performed while in a work release program or while in a halfway house. Wages earned while incarcerated will appear on Form 1040, Schedule 1. This entry is made in addition to entering the Form W-2 from the penal institution.

4 Enter foreign earned income (wages, salaries, etc.) paid by a foreign employer for work performed while the taxpayer lived in a foreign country.

If Rebate/Patronage Dividends issued by co-ops on Form 1099-PATR Box 1 are for personal use only, the amount is nontaxable and is not entered into TaxSlayer. Enter note on intake sheet and tax return noting it is for personal use only. No other box or use is in scope.

Publication 4731
Screening Sheet for Nonbusiness Credit Card Debt Cancellation

If the taxpayer is in bankruptcy, the tax return is out of scope for the VITA/TCE Programs.

Instructions: Use this Screening Sheet for taxpayers with Form 1099-C or other documentation resulting from cancellation of nonbusiness credit card debt and to assist in identifying taxpayers with cancellation of credit card debt issues.

Credit Card Debt

1. Did the taxpayer receive Form 1099-C, Cancellation of Debt, or other documentation (if less than $600) from a creditor and is the information shown on the form or document correct?

☐ **Yes** – Go to Step 2
☐ **No** – Go to Step 6

Note: The creditor is not required to issue a Form 1099-C if the canceled debt is under $600. However, the taxpayer may be required to report the canceled debt as income regardless of the amount.

2. Was the credit card debt related to a business?

☐ **Yes** – Go to Step 6
☐ **No** – Go to Step 3

3. Does box 6 of the Form 1099-C indicate Code A for bankruptcy?

☐ **Yes** – Go to Step 6
☐ **No** – Go to Step 4

Note: If box 6 is not marked with a Code A, but the taxpayer has subsequently filed bankruptcy, answer “yes.”

4. Was the taxpayer insolvent* immediately before the cancellation of debt?

☐ **Yes** – Go to Step 6
☐ **No** – Go to Step 5

Use the Insolvency Determination Worksheet in Publication 4012 and interview the taxpayer to determine if the taxpayer was insolvent immediately before the cancellation of debt.

5. The cancellation of nonbusiness indebtedness or cancellation of debt (the amount in box 2 of Form 1099-C or an amount less than $600 provided in other documentation) must be reported as ordinary income on Form 1040, Schedule 1 (Other Income). No additional supporting forms or schedules are required for reporting income from canceled credit card debt.

6. This tax issue is outside the scope of the volunteer programs. The taxpayer may qualify to exclude all or some of the discharged debt. However, the rules involved are complex.

Refer the taxpayer to:

- www.irs.gov for the most up-to-date information.
- A professional tax preparer.
- The Taxpayer Advocate Service (TAS): 1-877-777-4778, TTY/TDD 1-800-829-4059. TAS may help if the problem cannot be resolved through normal IRS channels.
- Publication 4681, Canceled Debts, Foreclosures, Repossessions, and Abandonments (For Individuals)

*If the taxpayer is not in bankruptcy or unable to determine if they are insolvent the credit card debt forgiveness is presumed fully taxable.

Publication 4731 (Rev. 10-2022) Catalog Number 52643X Department of the Treasury **Internal Revenue Service** www.irs.gov

Health Saving Accounts (HSA) (continued)

Don't rely on this document alone. Refer to HSA references to provide assistance.

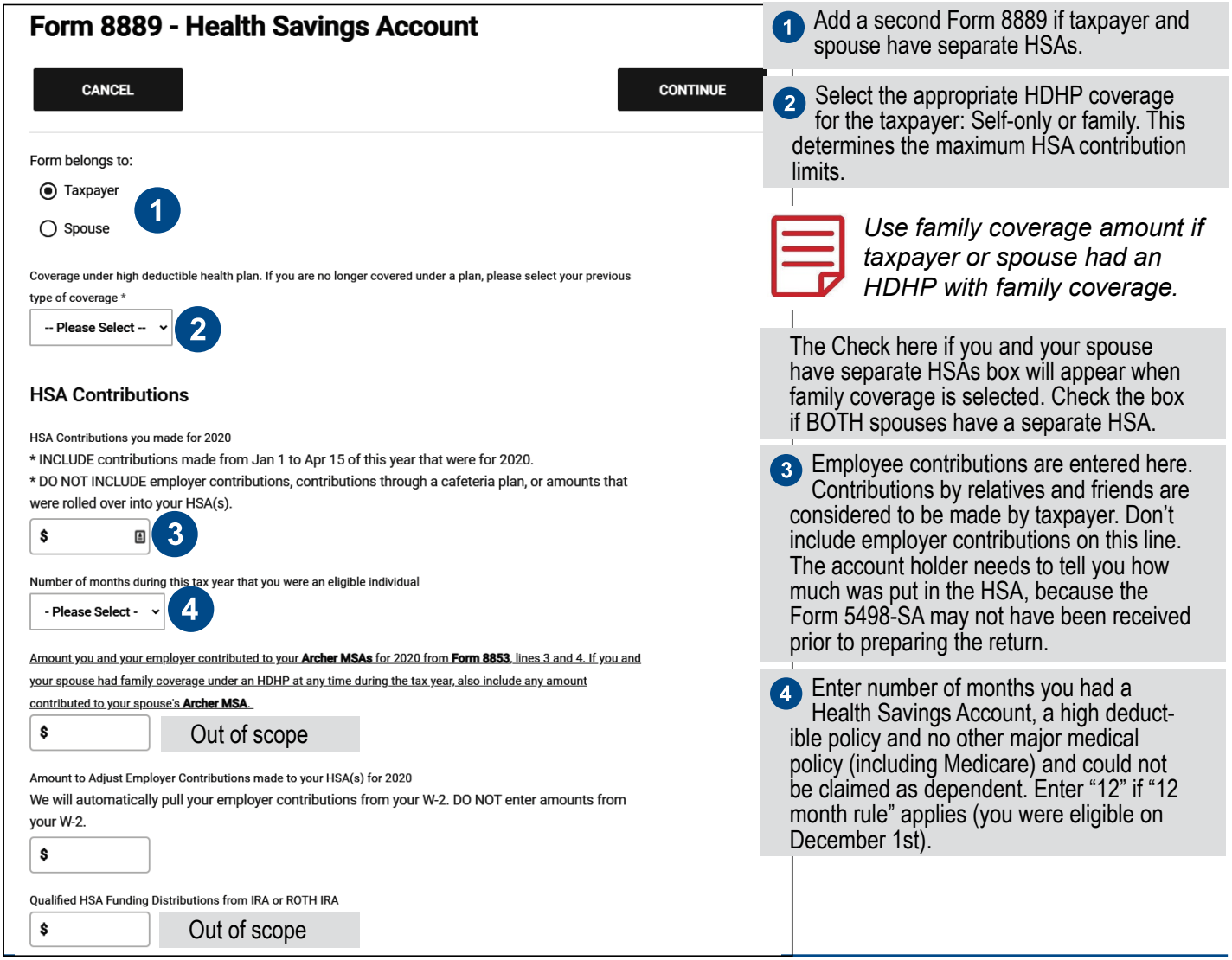
How will you know if the taxpayer has an HSA issue?

- The Interview/Intake & Quality Review Sheet has the Yes or Unsure HSA box checked.
- The taxpayer's (or spouse's) Form W-2 will contain code W in box 12 for employer contributions.
- The taxpayer (or spouse) has a Form 1099-SA with an X in the box showing distributions from an HSA.
- The taxpayer (or spouse) may receive Form 5498-SA for their HSA contributions. If taxpayers don't have this form they can provide the information regarding HSA contributions based on their records.

Contributions to an employee's account through a Section 125 (cafeteria) plan are treated as employer contributions and aren't deductible.

2022 Contribution Limits

- Family Plan: $7,300
- Self only Plan: $3,650
- Add $1,000 if the owner is age 55 or over at end of year



1. Add a second Form 8889 if taxpayer and spouse have separate HSAs.

2. Select the appropriate HDHP coverage for the taxpayer: Self-only or family. This determines the maximum HSA contribution limits.

Use family coverage amount if taxpayer or spouse had an HDHP with family coverage.

The Check here if you and your spouse have separate HSAs box will appear when family coverage is selected. Check the box if BOTH spouses have a separate HSA.

3. Employee contributions are entered here. Contributions by relatives and friends are considered to be made by taxpayer. Don't include employer contributions on this line. The account holder needs to tell you how much was put in the HSA, because the Form 5498-SA may not have been received prior to preparing the return.

4. Enter number of months you had a Health Savings Account, a high deductible policy and no other major medical policy (including Medicare) and could not be claimed as dependent. Enter "12" if "12 month rule" applies (you were eligible on December 1st).

Health Saving Accounts (HSA) (continued)

HSA Distributions

Total distributions received during 2020 from all HSAs.
(Usually shown in Box 1 of Form(s) 1099-SA)

$ 1

Distributions used for qualified medical expenses
* If you do not enter an amount here your entire distribution will be considered taxable.

$ 2

Distributions you received in 2020 that you rolled over into another HSA. Also include any excess contributions (and the earnings on those excess contributions) included above that were withdrawn by the due date of your return.

$ 3

Exceptions - The additional 20% tax does not apply to distributions made after the account beneficiary dies, becomes disabled, or turns age 65.

☐ Check here if you meet any of the exceptions to the 20% tax. 4

HSA Adjustments 5

Limitation - Adjust amount of limitation from worksheet (entries here carry to Line 3 of 8889)
Note: This amount will adjust a calculated amount.

$ 6

Adjust your share of high-deductible health plan. If you and your spouse had separate HSAs AND had family coverage under an HDHP, see Page 4 of the Instructions for the amount to enter.
Note: This amount will adjust a calculated amount.

$ 7

If you were age 55 or older at the end of the tax year, married, AND you or your spouse had family coverage under an HDHP at any time during the year, enter your Additional Contribution Amount. (entries here carry to Line 7 of 8889)
Note: This amount will adjust a calculated amount.

$ 8

1 Enter HSA distributions here. Ask the taxpayer for Form 1099-SA, with the HSA box checked. If not an HSA distribution, refer the taxpayer to a professional tax preparer.

2 Enter amount spent on qualifying expenses not reimbursed by insurance. See list below.

3 If Form 8889 Line 2 exceeds Line 13, there are excess contributions.



If the excess contributions and earnings are not withdrawn by the due date of the return, including extensions, then the return is out of scope.

4 If the taxpayer meets one of exceptions to the 20% additional tax, check this box. The exceptions are that the account beneficiary dies, becomes disabled, or turns age 65.

5 If no adjustments to calculated amounts are needed, stop here.

6 If both taxpayer and spouse had an HSA for the whole year, enter $7,300 in 1st adjustment box. If account owner had changes in coverage or eligibility during the year, use the worksheet in the Instructions for Form 8889 to calculate the adjustment.

7 If both taxpayer and spouse had an HSA and taxpayers wish to split the limitation amount, enter the limitation amount for this account.

8 An entry is not needed in the age 55 or older box. This is a calculated amount.

Standard Deduction

This chart provides the standard deduction amounts for tax year 2022.

Standard Deduction Chart for Most People*

If the taxpayer's filing status is...	Your standard deduction is ...
Single or married filing separate return	$12,950
Married filing joint return or qualifying surviving spouse with dependent child	$25,900
Head of household	$19,400

*Don't use this chart if the taxpayer was born before January 2, 1958, or is blind, or if someone can claim the taxpayer as a dependent (or their spouse if married filing jointly). (See the chart on the following page.)

Persons Not Eligible for the Standard Deduction

Your standard deduction is zero and you should itemize any deductions you have if:

- Your filing status is married filing separately, and your spouse itemizes deductions on his or her return. It doesn't matter who files first.
- You are filing a tax return for a short tax year because of a change in your annual accounting period (Out of Scope)
- You are a nonresident or dual-status alien during the year. You are considered a dual-status alien if you were both a nonresident and resident alien during the year (Out of Scope).
- If you are a nonresident alien who is married to a U.S. citizen or resident alien at the end of the year, you can choose to be treated as a U.S. resident. (See Publication 519, U.S. Tax Guide for Aliens.) If you make this choice, you can take the standard deduction.



If you can be claimed as a dependent on another taxpayer's return (such as your parents' return), your standard deduction may be limited.

Standard Deduction (continued)

Standard Deduction Chart for People Born Before January 2, 1958 or Who are Blind

Don't use this chart if someone can claim you (or your spouse if filing jointly) as a dependent. Use the second worksheet below.

Standard Deduction Chart for People Who Were Born Before January 2, 1958, or Were Blind

Don't use this chart if someone can claim you, or your spouse if filing jointly, as a dependent. Instead, use the worksheet above.

- ☐ You were born before January 2, 1958
- ☐ You are blind
- ☐ Spouse was born before January 2, 1958
- ☐ Spouse is blind

Blind is defined in Tab R, Glossary and Index

Enter the total number of boxes checked . . . . . ▶ ☐

IF your filing status is . . .	AND the number in the box above is . . .	THEN your standard deduction is . . .
Single	1 2	$14,700 16,450
Married filing jointly	1 2 3 4	$27,300 28,700 30,100 31,500
Qualifying widow(er)	1 2	$27,300 28,700
Married filing separately	1 2 3 4	$14,350 15,750 17,150 18,550
Head of household	1 2	$21,150 22,900

Standard Deduction Worksheet for Dependents

Use this worksheet only if someone else can claim you (or your spouse if filing jointly) as a dependent.

1. Check if:
   - ☐ You were born before January 2, 1958
   - ☐ You are blind
   - ☐ Spouse was born before January 2, 1958
   - ☐ Spouse is blind

   Total number of boxes checked . . . . . 1. _____
2. Is your **earned income*** more than $750?
   - ☐ **Yes.** Add $400 to your earned income, Enter the total
   - ☐ **No.** Enter $1,150

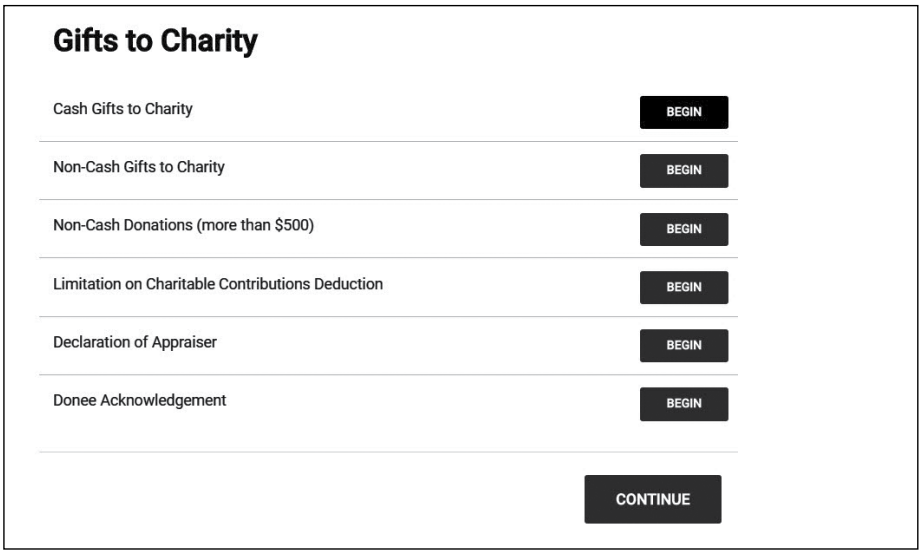
   . . . . . 2. _____
3. Enter the amount shown below for your filing status.
   - Single or married filing separately**— $12,950
   - Married filing jointly— $25,900
   - Head of household— $19,400

   . . . . . 3. _____
4. **Standard deduction.**
   - a. Enter the **smaller** of line 2 or line 3. If born after January 1, 1958, and not blind, **stop here** and enter this amount on Form 1040 or Form 1040-SR, line 12. Otherwise go to line 4b . . . . . 4a. _____
   - b. If born before January 2, 1958, or blind, multiply the number on line 1 by $1,400 ($1,750 if single or head of household) . . . . . 4b. _____
   - c. Add lines 4a and 4b. Enter the total here and on Form 1040 or 1040-SR, line 12 . . . . . 4c. _____

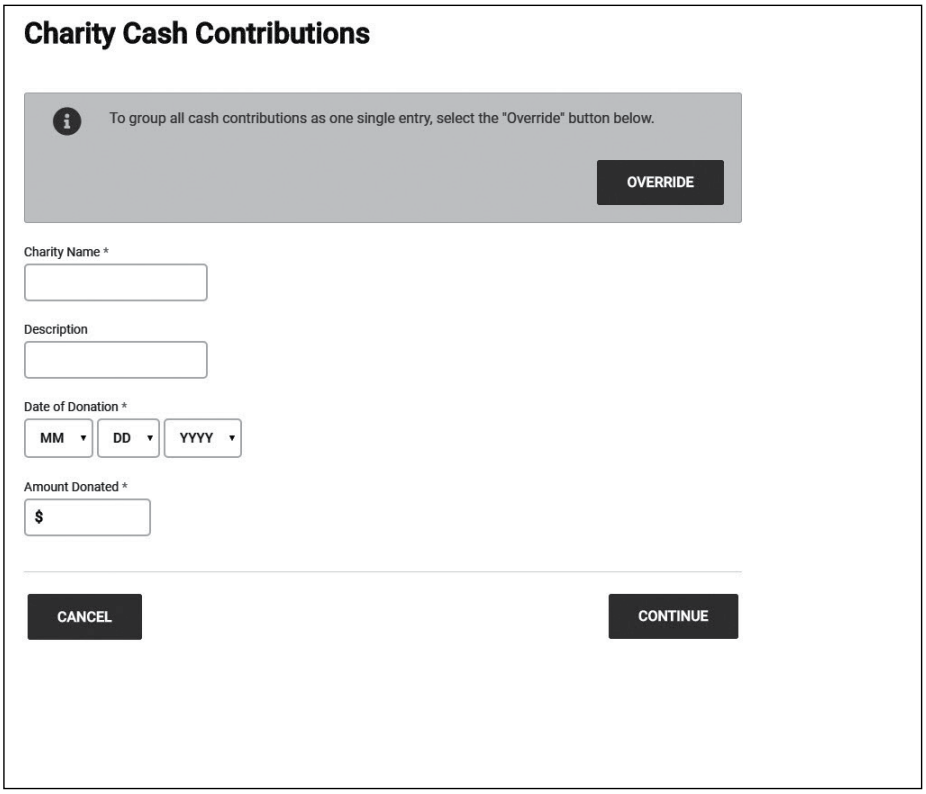
** **Earned income** includes wages, salaries, tips, professional fees, and other compensation received for personal services you performed. It also includes any taxable scholarship or fellowship grant. Generally, your earned income is the total of the amount(s) you reported on Form 1040, line 1z, and Sch 1 - line 3 business income or (loss); line 6 farm income or (loss); minus the amount, if any, on Schedule 1, line 15.*

*** **Married Filing Separately** – You can check the boxes for "Your spouse" if your filing status is married filing separately and your spouse had no income, isn't filing a return, and can't be claimed as a dependent on another person's return.*

Schedule A - Itemized Deductions (continued)



Enter amounts given by cash or check under Cash Gifts to Charity. See Publication 526 for definitions. Enter the value of noncash items (including miles (14 cents per mile) driven in service to a charity) donated under Noncash Gifts to Charity. Be careful to list them separately.
If noncash contributions are greater than $500, Form 8283, Noncash Charitable Contributions must be completed and this form is Out of Scope (In Scope for Military certification).



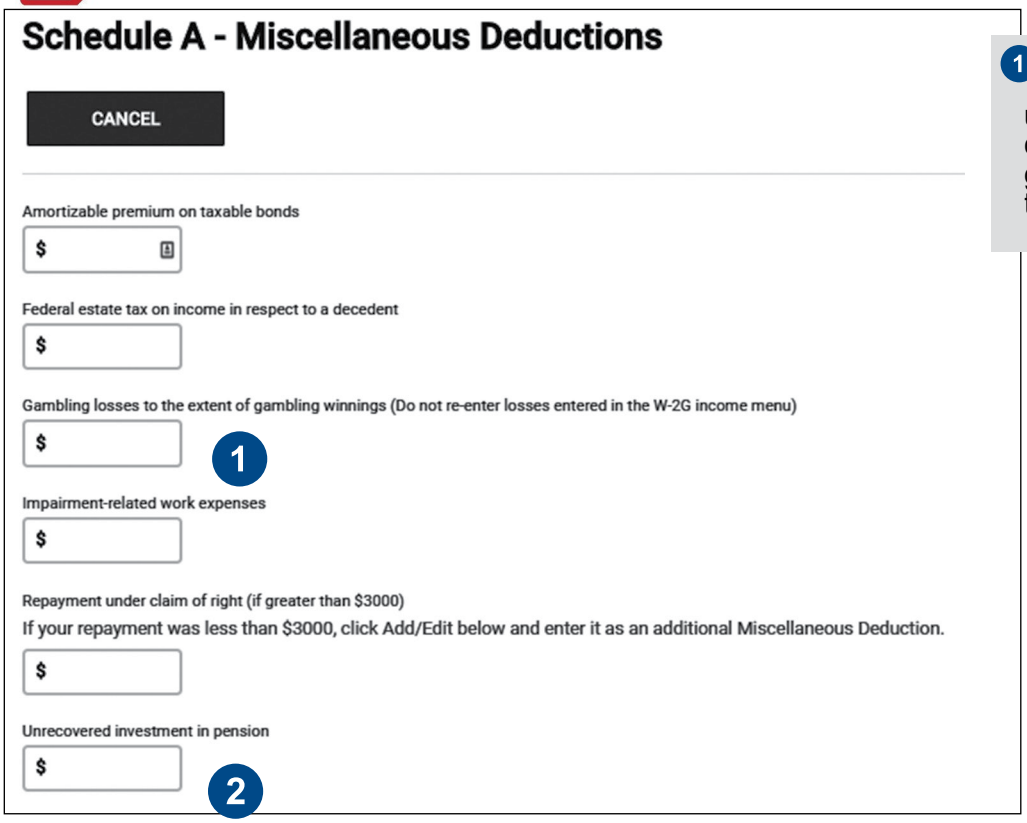
Although you can't deduct the value of your services given to a qualified organization, you may be able to deduct some volunteer expenses you pay in giving services to a qualified organization. The amounts must be:

- *Unreimbursed;*
- *Directly connected with the services;*
- *Expenses you had only because of the services you gave; and*
- *Not personal, living, or family expenses.*

These types of donations are not deductible: political; country club/fraternal lodge; chambers of commerce; raffle, bingo, or lottery tickets; tuition; value of time/services; gifts to lobby groups; civic leagues, social clubs; labor unions, homeowners association dues.

Schedule A - Miscellaneous Deductions

No miscellaneous itemized deductions will be allowed for job expenses and certain miscellaneous deductions subject to the 2% limitation. These expenses may be deductible on state returns.



1 Gambling losses and expenses incurred in gambling activities up to the amount of winnings are deducted here. You can't deduct gambling losses that are more than the taxpayer's winnings.

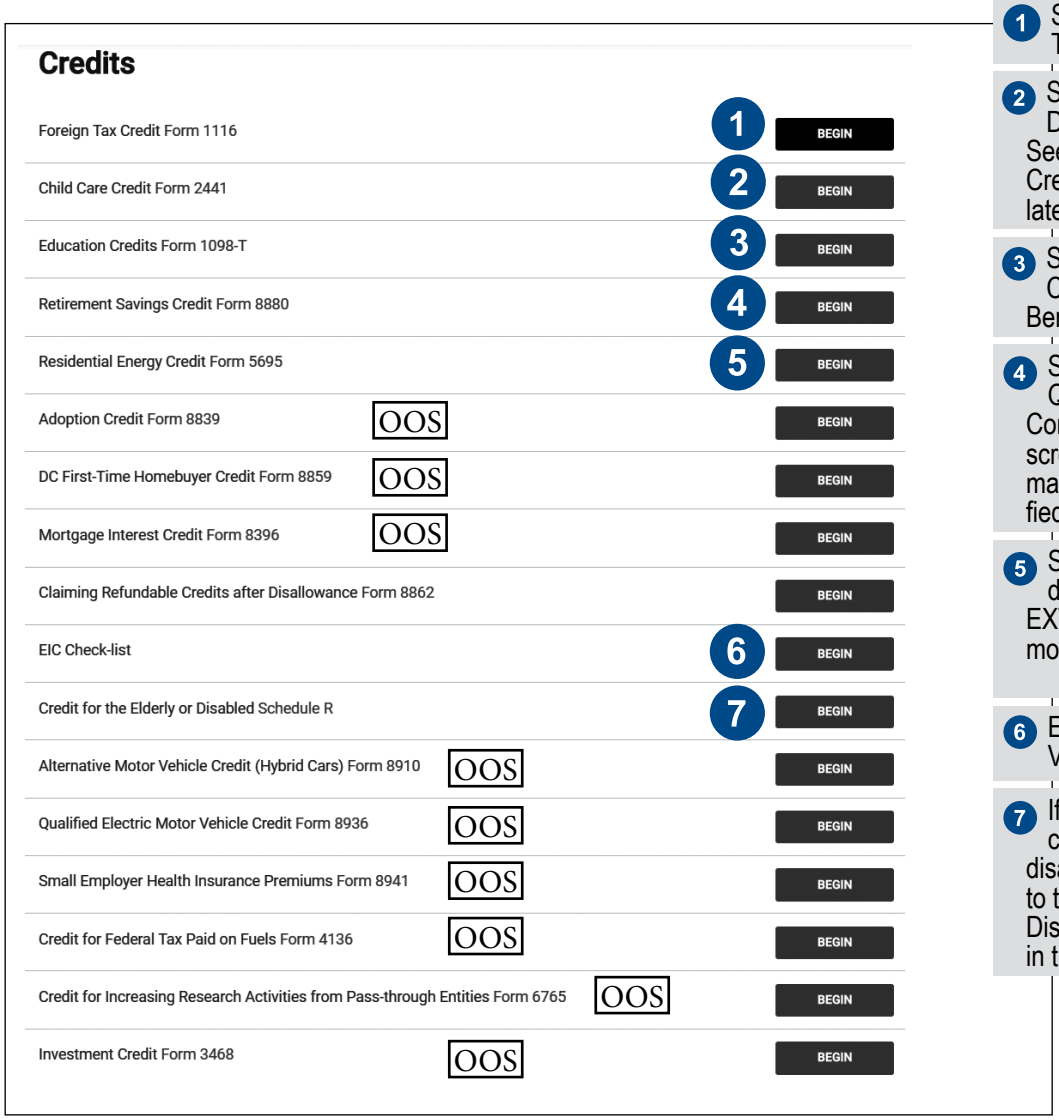
2 A retired taxpayer who contributed to the cost of an annuity can exclude from income a part of each payment received as a tax-free return of the investment. If the retired taxpayer dies before the entire investment is recovered tax free, any unrecovered investment can be deducted on the retired taxpayer's final income tax return in the unrecovered investment pension box.

Unrecovered Investment in pension = Total Employee Contribution less amount recovered using Simplified Method prior to death.

Nondeductible expenses: commuting; home repair; rent; loss from sale of home; personal legal expenses; lost/misplaced cash or property; fines/penalties; safe deposit box rental; tax return preparation; investment fees and expenses.

Nonrefundable Credits

Federal Section>Deductions>Credits Menu



1. Select for Form 1116, Foreign Tax Credit
2. Select for Form 2441, Child and Dependent Care Expenses. See Child and Dependent Care Credit Expenses/Screening Sheet later in this tab.
3. Select for Form 8863 Education Credits. See Tab J, Education Benefits
4. Select for Form 8880, Credit for Qualified Retirement Savings Contributions. Complete this screen if taxpayer (or spouse) made any contributions to a qualified retirement plan.
5. Select for Form 5695, Residential Energy Credit. See Tab EXT, Legislative Extenders for more information.
6. EIC checklist is not required for VITA/TCE.
7. If taxpayer qualifies for the credit for the elderly or the disabled, open Schedule R. Refer to the Credit for the Elderly or the Disabled - Screening Sheet later in this tab.

Nonrefundable credits can't exceed the taxpayer's federal income tax.

Form 8863

Federal Section>Deductions>Credits Menu>Education Credits; or Keyword "8863". For complete education credit information refer to Tab J, Education Benefits

Child Tax Credit



Make sure the taxpayer's credit hasn't been disallowed previously. If previously disallowed, see Form 8862, Information To Claim Certain Credits After Disallowance, in Tab I, Earned Income Credit.

This is a credit intended to reduce tax. This part of the credit isn't refundable. The credit is up to $2,000 per qualifying child and calculates automatically.

Qualifying child:

1. Under age 17 at the end of the tax year.
2. A U.S. citizen or U.S. national* or resident alien of the United States. See Tab L, Resident/NR Alien.
3. Child must be claimed as your dependent.**
4. Your:
   a. son or daughter, adopted child, stepchild, eligible foster child, or a descendant of any of them
   b. brother, sister, half brother, half sister, stepbrother, stepsister, or a descendant of any of them (for example, your niece or nephew)
5. Didn't provide over half of his or her own support.
6. Lived with the taxpayer for more than half of the tax year. (See exceptions to time lived with taxpayer in the Overview of the Rules for Claiming a Dependent chart)
7. Must have a Social Security number that is valid for employment issued before the due date of the return, including extensions.

* A national is an individual who, although not a U.S. citizen, owes his or her allegiance to the United States. U.S. nationals include American Samoans and Northern Mariana Islanders who chose to become U.S. nationals instead of U.S. citizens.

**Refer to the tables in Tab C, Dependents, for the rules governing who may be claimed as a dependent.



If the taxpayer is able to claim the dependent under the rules for divorced and separated parents, he or she is the only parent entitled to claim the child tax credit or additional child tax credit.

Schedule 8812 (Form 1040), Credits for Qualifying Children and Other Dependents, is intended to be filed by all taxpayers claiming the child tax credit, the additional child tax credit, or the credit for other dependents. See Tab C, Dependents, for additional information (including definitions and special rules relating to an adopted child, foster child, or qualifying child of more than one person).

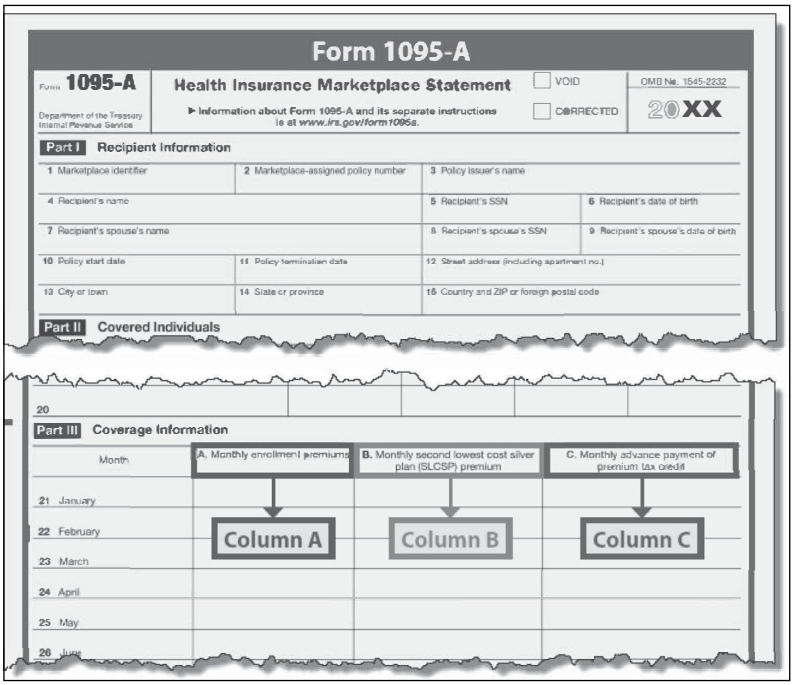
Premium Tax Credit: Form 1095-A Overview (continued)

Examine these areas:

- Recipient information (Part I)
- Policy start or end date (Part I, Part II)
- Covered individuals (Part II) - Are all listed individuals included in this tax return?
- Premium cost (Part III, Column A)
- APTC (Part III, Column C)

Marketplace call center:
1-800-318-2596 (TTY: 1-855-889-4325)
For states not using Healthcare.gov, look up state Marketplace at healthcare.gov

To obtain an original or corrected Form 1095-A the taxpayer can log into his or her online account, or call the Marketplace call center.



Column A - Monthly Premium: These are the monthly enrollment premiums for the policy in which the individuals are covered. This is the full premium, including the amount paid by APTC for essential health benefits. The amount does not include the cost of certain "extra" benefits such as adult dental coverage. It may not match the taxpayer's actual monthly premium.

Column B - Monthly SLCSP premium: If this column is blank and the individual is enrolled in a plan through a federally facilitated Marketplace, go to Healthcare.gov and use the tax tool to find the SLCSP premium to enter in Column B. If the individuals enrolled through a state-based Marketplace, go to the state's website or call your state's marketplace to determine the SLCSP premium. The SLCSP premium is the premium for the second lowest cost silver-level plan that covers all the members of the coverage family.

Column C - Advance payment of PTC

You may need to look up the SLCSP premium if:

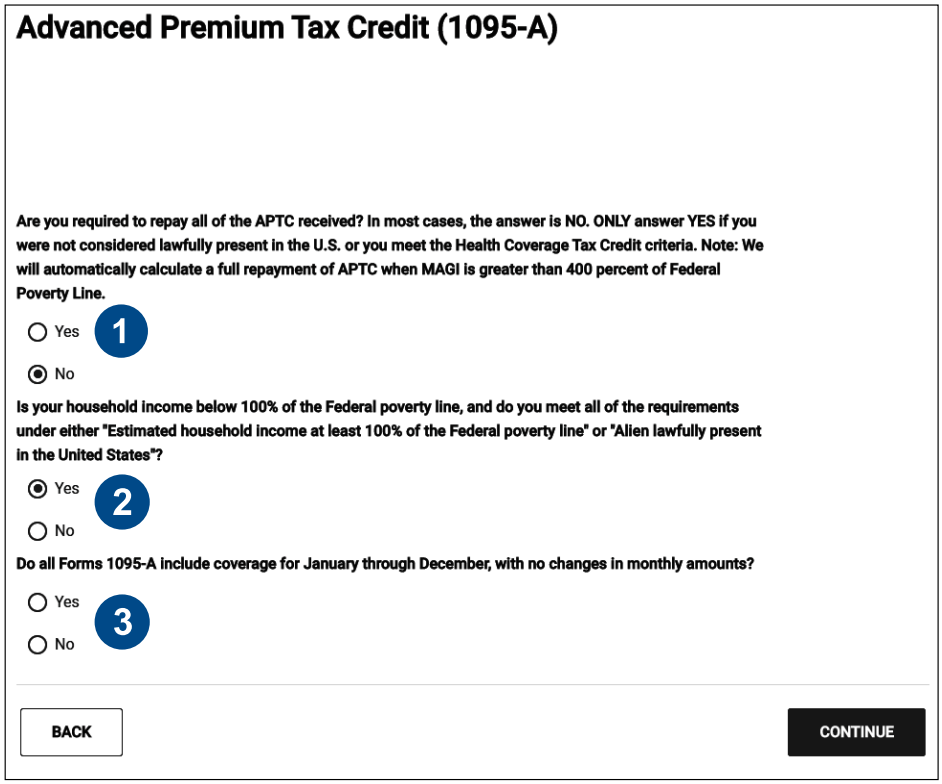
- It is incorrect, perhaps because a change in family size was not reported.
- It is missing. When someone paid the full premium because he or she did not request APTC, Marketplaces routinely leave this space blank.
- There are multiple Forms 1095-A with conflicting information or the taxpayer otherwise thinks it's incorrect.

The taxpayer should seek a corrected Form 1095-A if information is incorrect, except for SLCSP premium information that can be completed or fixed.

A person may be entitled to PTC even if no APTC was paid for the coverage. Do not assume someone is ineligible for PTC just because Columns B and C of Form 1095-A are blank. If an individual meets all the eligibility rules in the Form 8962 instructions but only the enrollment premium amounts in Column A appear on Form 1095-A and Columns B and C are blank, look up the person's SLCSP premiums and enter them on the 1095-A screen in the SLCSP section.

Premium Tax Credit (continued)

For taxpayers who purchased insurance through the Marketplace, complete this screen using their Form 1095-A.



1 This question appears for all taxpayers with APTC.
This question is really asking whether the taxpayer is liable for unlimited APTC repayment.
Answer NO in most cases.
Only answer **YES** if all individuals on the tax return for whom APTC was paid:

- Are undocumented immigrants; or
- Were eligible for the Trade Adjustment Health Care Tax Credit (HCTC), if extended (Out of Scope)

2 **Answer YES in most cases in which household income is below 100% of the FPL.**
Answer YES if:

- There is an amount in column C of Form 1095-A (APTC) for one or more months; or
- One of the individuals on the taxpayer's Form 1095-A is lawfully present but ineligible for Medicaid

The TaxSlayer default answer is NO for this question. It is very important to change to Yes if income is below 100% of the Federal Poverty Line (FPL) and one of the two "yes" conditions is met. If it is not changed to Yes, the software will complete Form 8962 showing repayment of all the APTC without limitation.

Answer NO ONLY if:
Income is below 100% (FPL), no APTC was paid, and the second bullet from above does not apply.

3 If Form 1095-A shows the same monthly amounts for all 12 months, select **Yes** and enter the annual amounts below. Otherwise, select **No** and enter monthly amounts.
If one or more of the amounts in column B is incorrect and the correct SLCSP premium amounts are not the same for all 12 months, select **No**.

If the taxpayer is Married Filing Separately a checkbox will appear on this screen. If the taxpayer cannot file a joint return because of **domestic abuse or spousal abandonment** check the box. See Instructions for Form 8962, Premium Tax Credit for details. If a taxpayer is Married Filing Separately and is not eligible for relief, he/she is not eligible for a premium tax credit and must repay APTC, subject to the repayment limitation.

Out of Scope Situations

Allocation of Policy Amounts (Shared Policy)

If the following situations apply, the taxpayer may have to allocate policy amounts with another taxpayer. If so, the return is Out of Scope:

- The 1095-A lists a covered person who is not on this tax return or,
- A person on the tax return was enrolled in another taxpayer's Marketplace coverage. (The person is listed on a Form 1095-A sent to a taxpayer not on this tax return.)

Alternative Calculation for Year of Marriage

If the following situation applies, an **Alternative Calculation for Year of Marriage** may be elected. If the taxpayer elects this option, the return is Out of Scope.

- Taxpayers got married during 2022, are filing a joint return for 2022, and both spouses were unmarried as of January 1, 2022, and
- A member of the taxpayers' tax family was enrolled in a qualified health plan for which APTC was paid for months prior to the first full month of marriage, and
- Taxpayers have excess APTC (their APTC exceeds their allowed PTC).



Taxpayers may choose to file MFJ or MFS without the alternative calculation, which remains in scope.

Self-employed Taxpayers

Self employed taxpayers can deduct their health insurance premiums as an adjustment to gross income. When a taxpayer is eligible for PTC, the computation of each is a circular calculation and the return is Out of Scope for VITA/TCE.

See Publication 974, Premium Tax Credit (PTC), for more details about these out of scope topics.

Premium Tax Credit, Form 8962

1. If a taxpayer is MFS and is eligible for relief from the requirement to file MFJ because of spousal abuse or abandonment, this box should be checked.
If MFS but not eligible for relief, he/she is not eligible for a PTC and must repay APTC, subject to the repayment limitation. Refer taxpayer to Part IV, Allocation Situation 2, of the Form 8962 instructions to determine the amount of APTC the taxpayer must repay (Out of Scope)..

2. The dependents' MAGI should appear on line 2b **ONLY IF the dependents' gross income is above the filing threshold**. See Tab A, Who Must File, Chart B - For Children and Other Dependents.

3. The net premium tax credit a taxpayer can claim (the excess of the taxpayer's premium tax credit over APTC) will appear on Form 1040, Schedule 3. This amount will increase taxpayer's refund or reduce the balance due.

4. The amount of excess APTC (amount by which APTC exceeds the taxpayer's premium tax credit) that needs to be repaid will appear on Form 1040, Schedule 2 line 2.

Premium Tax Credit (PTC)

► Attach to Form 1040, 1040-SR, or 1040-NR.
► Go to *www.irs.gov/Form8962* for instructions and the latest information.

OMB No. 1545-0074
20XX
Attachment Sequence No. 73

Your social security number

se (if filing a joint return), received, or were approved to receive, unemployment compensation for any week beginning d 2021,
instructions . . . . . ► ☐ 1

PTC if your filing status is married filing separately unless you qualify for an exception. See instructions. If you qualify, check the box ► ☐

nd Monthly Contribution Amount

nter your tax family size. See instructions		1	
er your modified AGI. See instructions	2a		
your dependents' modified AGI. See instructions	2b		
e. Add the amounts on lines 2a and 2b. See instructions		3	
ne. Enter the federal poverty line amount from Table 1-1, 1-2, or 1-3. See instructions. Check the or the federal poverty table used. a ☐ Alaska b ☐ Hawaii c ☐ Other 48 states and DC		4	
as a percentage of federal poverty line (see instructions)		5	%
e use			
Using your line 5 percentage, locate your "applicable figure" on the table in the instructions		7	
mount. Multiply line 3 by est whole dollar amount	8a	b Monthly contribution amount. Divide line 8a by 12. Round to nearest whole dollar amount	8b

Tax Credit Claim and Reconciliation of Advance Pay… Credit

See the Applicable Figure Table later in this tab.

Reminder - Household income is MAGI of taxpayer (and spouse if filing jointly) plus MAGI of dependents claimed by the taxpayer who are required to file a return because the dependent's gross income is above the tax return filing threshold. MAGI is:

- Adjusted Gross Income (AGI), plus
- Tax-exempt interest, plus
- Social Security income not included in AGI, plus
- Foreign earned income

24	Total premium tax credit. Enter the amount from line 11(e) or add lines 12(e) through 23(e) and enter the total here	24	
25	Advance payment of PTC. Enter the amount from line 11(f) or add lines 12(f) through 23(f) and enter the total here	25	
26	Net premium tax credit. If line 24 is greater than line 25, subtract line 25 from line 24. Enter the difference here and on Schedule 3 (Form 1040 or 1040-SR), line 9, or Form 1040-NR, line 65. If line 24 equals line 25, enter -0- here. If line 25 is greater than line 24, leave this line blank and continue to line 27	26	
Part III	**Repayment of Excess Advance Payment of the Premium Tax Credit**		
27	Excess advance payment of PTC. If line 25 is greater than line 24, subtract line 24 from line 25. Enter the difference here	27	
28	Repayment limitation (see instructions)	28	
29	Excess advance premium tax credit repayment. Enter the smaller of line 27 or line 28 here and on Schedule 2 (Form 1040 or 1040-SR), line 2, or Form 1040-NR, line 44	29	

For Paperwork Reduction Act Notice, see your tax return instructions. Cat. No. 37784Z Form **8962** (20XX)

If a taxpayer must repay APTC or gets additional PTC, remember to adjust the insurance premium deduction on Schedule A if itemizing. Increase the deduction for APTC repayment; decrease the deduction for additional PTC.

Premium Tax Credit – Special Situations (continued)

- PTC can be claimed for an individual who was eligible for, but not enrolled in, employer-sponsored coverage only if:
  - **a.** The employer coverage was unaffordable, or
  - **b.** The taxpayer advised the Marketplace of the employer offer and the Marketplace determined the coverage was unaffordable for the employee (see Exception below), or
  - **c.** The coverage did not provide a minimum level of benefits, referred to as "minimum value." A taxpayer can check with the employer if he or she suspects coverage did not meet minimum standards.
- **Exception:** A person who is eligible for employer-sponsored coverage and gave the Marketplace accurate information about the offer of coverage but was still determined eligible for APTC can claim PTC for his or her Marketplace coverage, if otherwise eligible, even if the employer coverage is affordable based on the taxpayer's actual household income.
- See Publication 974 for more information and special rules on employer-sponsored coverage, including coverage waiting periods, health reimbursement arrangements, and coverage after employment ends.

Medicaid/CHIP:

- If the Marketplace determined the taxpayer was eligible for APTC and therefore ineligible for Medicaid or CHIP, and APTC was paid for the taxpayer, the taxpayer will generally remain ineligible for Medicaid or CHIP for the plan year, even if actual household income suggests the person may have been eligible for Medicaid or CHIP. If this is the case, answer Yes to the question in TaxSlayer which asks "Is your household income below 100% of the Federal poverty line, and do you meet all of the requirements under either "Estimated household income at least 100% of the Federal poverty line" or "Alien lawfully present in the United States"?
- If an individual for whom APTC is being paid is determined to be eligible for government-sponsored coverage retroactively, the individual is not considered eligible for that coverage until the month after the eligibility determination is made. (For example, a person who enrolled at the beginning of the year in Marketplace coverage with APTC, but in July is determined eligible for Medicaid retroactive to April 1, can, if otherwise eligible, claim PTC for January through July, despite concurrent enrollment in Medicaid in April through July.)

Medicare:

- A person eligible for Medicare loses eligibility for PTC for the person's Marketplace coverage even if he or she fails to enroll in Medicare. The loss of eligibility occurs the first day of the fourth full month after the person became eligible for Medicare. For example, a person who is enrolled in Marketplace coverage with APTC, but becomes Medicare-eligible on his 65th birthday on May 17, loses eligibility for PTC on September 1, the first day of the fourth full month after Medicare eligibility.

Handling Unexpected APTC Repayments

You may encounter a taxpayer with an unexpected repayment of APTC on Form 8962, Line 29, that he or she must repay. An unexpected repayment may occur when the taxpayer receives unanticipated income, such as retroactive disability, lump-sum social security benefits, a work bonus or gambling winnings.

Form 8962: Part III

Part III	Repayment of Excess Advance Payment of the Premium Tax Credit		
27	Excess advance payment of PTC. If line 25 is greater than line 24, subtract line 24 from line 25. Enter the difference here	27	
28	Repayment limitation (see instructions)	28	
29	Excess advance premium tax credit repayment. Enter the smaller of line 27 or line 28 here and on Form 1040, line 46; Form 1040A, line 29; or Form 1040NR, line 44	29	

Review the Health Care section in the software:

- Make sure Form 1095-A is correct and complete (see Premium Tax Credit: Form 1095-A Overview, earlier in this tab).
- Ask the taxpayer to contact the Marketplace if the form doesn't reflect premiums that were paid or if there are other errors.
- If the taxpayer received Form 1095-A, make sure the question "Is your household income below 100%..." is answered correctly in the Health Insurance section of the software (see the Premium Tax Credit entry screens, earlier in this tab).
- Check the Health Insurance section of the software to see if the question "Are you required to repay all of the APTC received?" is answered correctly (see the Premium Tax Credit entry screens, earlier in this tab).
- If the taxpayer or spouse lived in Hawaii or Alaska at any point during the year, ensure that state is selected as the resident state in the Basic Information section.

Consider income adjustments to reduce household income:

- If the taxpayer is eligible to claim an IRA deduction, remember that taxpayers can contribute to an IRA until the tax filing deadline.
- If the taxpayer or spouse has an HSA and has not contributed the maximum for the tax year, he or she may contribute to their HSA until the tax filing deadline.
- If the taxpayer or spouse is self-employed, ensure all business expenses have been claimed. The taxpayer may be able to claim the self-employed health insurance deduction which reduces household income, in which case the return is Out of Scope.
- If the taxpayer or spouse is eligible and wishes to claim HCTC, if extended or establish a SEP-IRA, refer him/her to a professional return preparer.

Summary of EIC Eligibility Requirements

Part A Rules for Everyone	Part B Rules If You Have a Qualifying Child	Part C Rules If You Don't Have a Qualifying Child	Part D Earned Income and AGI Limitations
Taxpayers & qualifying children must all have SSN that is valid for employment by the due date of the return (including extensions).[1]	Child must meet the relationship, age, residency test and joint return tests but not the support test. The child doesn't have to be your dependent.[2]	Must be at least age 25 but under age 65 as of December 31.[3]	You must have earned income to qualify for this credit. Your earned income and AGI must be less than: • $53,057 ($59,187 for married filing jointly) if you have three or more qualifying children, • $49,399 ($55,529 for married filing jointly) if you have two qualifying children, • $43,492 ($49,622 for married filing jointly) if you have one qualifying child, or • $16,480 ($22,610 for married filing jointly) if you don't have a qualifying child.
Filing status can't be married filing separately unless you meet an exception.[4]	Qualifying child can't be used by more than one person to claim the EIC.	Can't be the dependent of another person.	
Must be a U.S. citizen or resident alien all year.	The taxpayer can't be a qualifying child of another person.	Must have lived in the United States more than half the year.	
Can't file Form 2555 (relating to foreign earned income).		Can't be a qualifying child of another person.	
Investment income must be $10,300 or less.			
Can't be a qualifying child of another person.			



Taxpayers cannot file an amended return to claim the credit for a year they did not originally have a valid Social Security number.

[1] If the taxpayer's Social Security card says "VALID FOR WORK ONLY WITH INS OR DHS AUTHORIZATION," the taxpayer can use the Social Security number to claim EIC if they otherwise qualify.

If taxpayer (or spouse, if filing a joint return) or dependent has an individual taxpayer identification number (ITIN), they can't get the EIC. ITINs are issued by the IRS to noncitizens who can't get an SSN. Singles and couples who have Social Security numbers can claim the credit, even if their children don't have SSNs. In this instance, they would get the smaller credit available to childless workers. In the past, these filers didn't qualify for the credit.

If the taxpayer's Social Security card has a "NOT VALID FOR EMPLOYMENT" imprint, and if the card-holder obtained the SSN to get a federally funded benefit, such as Medicaid, they can't get the EIC.

[2] To meet the joint return test, the child cannot file a joint return for the year unless it's only to claim a refund of income tax withheld or estimated tax paid.

[3] Taxpayers turning 25 on January 1st are considered to be 25 as of December 31st. Taxpayers reaching the age 65 on January 1st are still considered to be 64 as of December 31st.

[4] Taxpayers can claim EIC who are married, not filing a joint return, had a qualifying child living with them for more than 1/2 the year and either lived apart from their spouse for the last 6 months of the year or are legally separated according to state law under legal separation agreement or a decree of separate maintenance and didn't live in the same household as the spouse at the end of the year.

EIC General Eligibility Rules

Step	Probe/Ask the taxpayer	Action
1	Calculate the taxpayer's earned income and adjusted gross income (AGI) for the tax year. Are both less than: • $53,057 ($59,187 married filing jointly) with three or more qualifying children; • $49,399 ($55,529 married filing jointly) with two qualifying children; • $43,492 ($49,622 married filing jointly) with one qualifying child; or • $16,480 ($22,610 married filing jointly) with no qualifying children?	If **YES**, go to Step 2. If **NO**, STOP. You can't claim the EIC.
2	Do you (and your spouse, if filing jointly) have a Social Security number (SSN) that allows you to work?[1] Answer "NO" if the taxpayer's Social Security card has a "NOT VALID FOR EMPLOYMENT" imprint, and if the cardholder obtained the SSN to get a federally funded benefit, such as Medicaid.	If **YES**, go to Step 3. If **NO**, STOP. You can't claim the EIC.
3	Is your filing status married filing separately?	If **YES**, You can't claim the EIC unless you meet an exception. See Footnote 4 on page I-2. If **NO**, go to Step 4
4	Are you (or your spouse, if married) a nonresident alien? Answer "NO" if the taxpayer is married filing jointly, and one spouse is a citizen or resident alien and the other is a nonresident alien.	If **YES** and you are either unmarried or married but not filing a joint return, STOP. You can't claim the EIC. If **NO**, go to Step 5.
5	Are you (or your spouse, if filing jointly) filing Form 2555 (Foreign Earned Income) to exclude income earned in a foreign country?	If **YES**, STOP. You can't claim the EIC. If **NO**, go to Step 6.
6	Is your investment income (interest, tax exempt interest, dividends, capital gains distributions & capital gains) more than $10,300?	If **YES**, STOP. You can't claim the EIC. If **NO**, go to Step 7.
7	Are you (or your spouse, if filing jointly) the qualifying child of another taxpayer?	If **YES**, STOP. You can't claim the EIC. If **NO**, go to the interview tips for EIC—With a Qualifying Child or EIC—Without a Qualifying Child.

[1] If the taxpayer's Social Security card says **VALID FOR WORK ONLY WITH INS OR DHS AUTHORIZATION**, the taxpayer can use the Social Security number to claim EIC if they otherwise qualify.

Taxpayer must check the checkbox on Schedule EIC for MFS treated as not married for purpose of claiming EIC to claim the credit.

If the taxpayer is filing MFS and meets the requirements to claim EIC, go to Basic Information>Personal Information>Filing Married Filing Separate and meets the requirements to claim the EIC.

Completing the e-File Section (continued)

(Administrator) Configuration>Office Setup

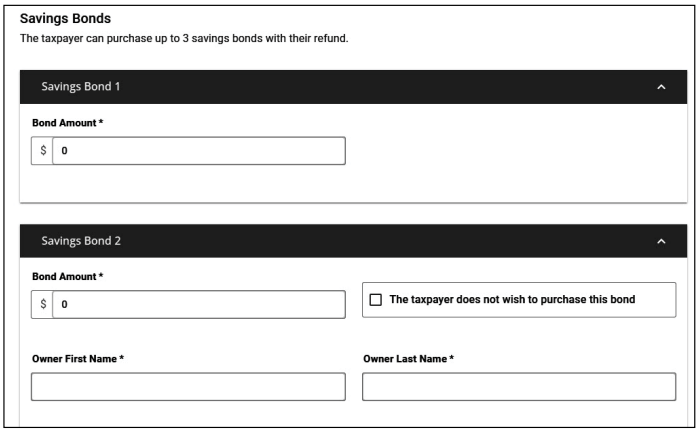
Split Refund Option

When the taxpayer elects to direct deposit his or her refund into two or three accounts or to purchase saving bonds, you will need to answer additional questions in the e-file section.

First, someone with Administrator privileges must go to Configuration>Office Setup and mark the box for Offer 8888. This will allow all preparers at that site to offer Form 8888, Allocation of Refund (Including Savings Bond Purchases). Form 8888 also supports double-entry of bank routing and account information.

Purchase Savings Bonds

From Split Refund Screen, savings bonds can be purchased.



See **Publication 5381**, Fact Sheet: Filing Form 8888 and Series I Savings Bonds for VITA/TCE Partners.

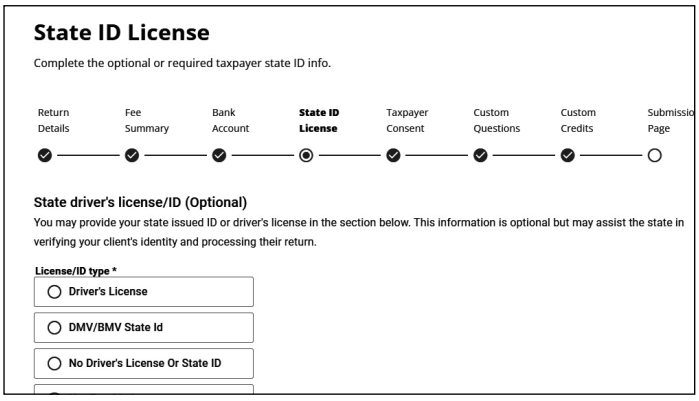
U.S. Series I Savings Bonds Taxpayers can request that their refund (or part of it) be used to buy up to $5,000 in series I savings bonds. Taxpayers can buy bonds electronically by direct deposit into their TreasuryDirect® account. Or, if they don't have a TreasuryDirect® account, they can buy paper savings bonds.

TreasuryDirect® Account

*Taxpayers can request a deposit of their refund (or part of it) to a TreasuryDirect® online account to buy U.S. Treasury marketable securities and savings bonds. For more information, go to Treasury Direct (**http://go.usa.gov/3KvcP**)*

The taxpayer's name must be on the account in order for a refund to be deposited.

State ID (Optional)

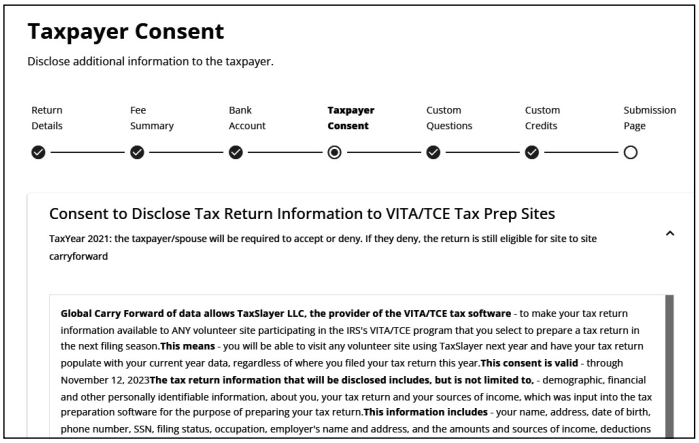


Some states require a drivers license or additional taxpayer identification in order to e-file the return. This screen will appear only if there is a state return.

Select driver's license or ID, license number, date issued, date expires and issuing state. If taxpayer's license has expired, select None Available. See state requirement and work around if applicable.

Global Carryforward

Paper Form 15080, Consent to Disclose Tax Return Information to VITA/TCE Tax Return Preparation Sites, is not needed if the taxpayer denies the Global Carryforward of return data to all sites, enters his/her own PIN into TaxSlayer, or if the site uses another tax preparation software.



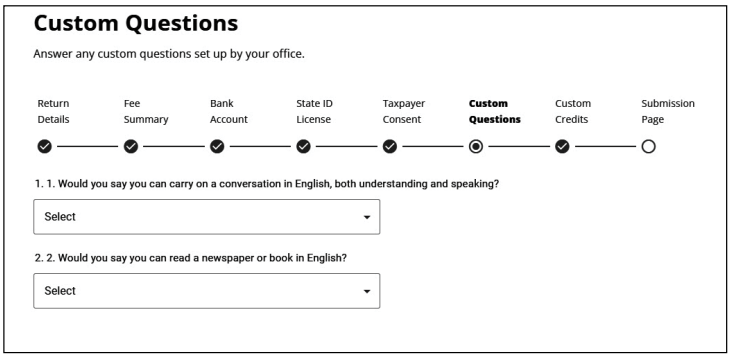
Accept = Next year, the taxpayer's data will carry forward to any VITA/ TCE site using TaxSlayer.

Decline = Next year, the taxpayer's data will carry forward only to the VITA/TCE site that prepared the return.

Questions

Answer national and local questions.

Use these fields for information that is helpful to your site. For example, these fields could be used to enter the preparer's name and/or new versus returning taxpayers. These fields are used by the military to report rank, grade, enlisted/retired, etc.

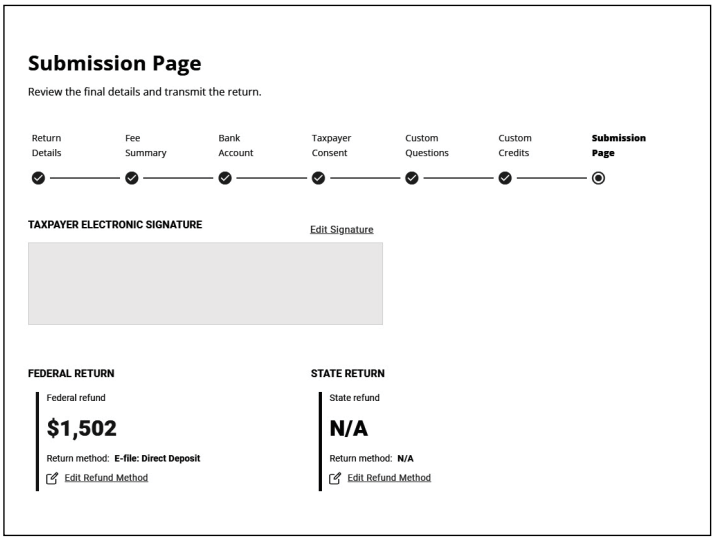


After the end of the tax season a custom report can be created.

*If your site or group administrator marked a question as **Required**, you must answer the question to continue. If you select **BACK** before you answer the required questions, TaxSlayer Pro Online does **NOT** save any of the data entered on this page.*

Completing the Submission Page

TaxSlayer Pro Online indicates in State Return Information if the preparer selected Paper Return for the state(s) associated with the return.



2022 Publication 4491, VITA/TCE Training Guide

Page Number	Changes
	Course Introduction
2-16	Remove drill holes on the page. Under the heading, **Student loan forgiveness and Higher Education Emergency Financial Grants**, in the second sentence, change: education to education
2-17	Remove drill holes on the page.
	Filing Basics
3-3	Under heading, **Who Should File?**, in the fifth bullet replace the sentence with: The health coverage tax credit, if extended (4 out of scope)
3-4	No changes.
3-9	Under heading **What situations are out of scope for the VITA/TCE program?**, in the first bullet behind **Taxpayers who may qualify for the health coverage tax credit**, add: (if extended)
4-1	No changes.
	Filing Status
4-2	No changes.
4-3	Under the heading, **What is Married Filing Separately?**, in the **Tip**, remove: If an amended return if filed to change the filing status, you must file a paper return.
	Income - Wages, Interest, Etc.
8-6	No changes.
8-7	Under the heading, **Scholarship and Fellowship Income (Form W-2 and Form 1098-T)**, in the **Taxslayer software** statement remove "as part of Wages on the tax return with "SCH printed on the line", and **replace** with: on Form 1040, Schedule 1.
8-14	No changes.
8-15	Under **Summary** replace the third bullet statement with: Wages from Form W-2 are generally included on Form 1040.
	Income - Capital Gain or Loss
10-3	Under the heading, **Basis Other Than Cost**, in the third sub-bullet under **Wash Sales** at the end of the sentence, add: (out of scope)
10-4	No changes.
	Income - Retirement Income
11-13	No changes.
11-14	Under the heading, **Special CARES Act Provisions and Tax-Favorable Treatment of Retirement Fund Distributions,** in the last sentence of the paragraph change 2021 to: 2022,
	Income - Other Income
15-4	No changes.
15-5	In the first **Tip** at the top of the page remove the current sentence and replace with: The discharge of certain student loan debt in 2021 through 2025 is excluded from gross income. If excludible, the lender will not issue Form 1099-C.

Page Number	Changes
15-6	Under the heading, **EXERCISES, Question 1,** at the end of the answer a, replace: Form 1040 with Schedule 1. Under the heading, **EXERCISES, Question 3,** at the end of the second sentence, replace: Form 1040 with Schedule 1.
15-7	No changes.
15-16	Under **EXERCISE Answers, Answer 3**, replace: Form 1040 with Schedule 1.
16-1	No changes.
	Premium Tax Credit
26-8	Under the heading, **How is the PTC claimed on the tax return?**, in the second sentence of the fourth paragraph, remove: for the excess APTC attributable to an individual who is taking the health coverage tax credit (out of scope) and
26-9	No changes.
26-10	No changes.
26-11	Under the heading, **What situations are out of scope for the VITA/TCE programs?**, at the end of the fourth bulleted sentence, add: , if extended
	Payments and Miscellanous Refundable Credits
28-5	Under the heading, **What situations are out of scope for the VITA/TCE programs?**, at the end of the fourth bulleted sentence, add: , if extended
29-1	No changes.
	Refund and Amount of Tax Owed
30-8	In the first **TIP**, change the hyperlink to: **www.irs.gov/payments/your-online-account**
30-9	No changes.
	Completing the Return
31-1	No changes.
31-2	Under heading, **EXERCISE**, remove: What are the extension requirements for taxpayers outside of the U.S. and Puerto Rico? Taxpayers *cannot* use the automatic six-month extension if they: • Choose to have the IRS figure their tax or • Are under a court order to file their returns
	Appendix
A-10	No changes.
A-11	Under header, **Form 1095-A Health Insurance Marketplace Statement**, and before the text box add: The amount shown for APTC is for illustration purposes only. APTC cannot be more than the policy cost.

The corrected pages follow. On the reverse side of each revised page is the continuing page

How should the foreclosure and loss be reported?

a. Report the $40,000 debt cancellation on Form 982, line 10b

b. Report the $40,000 debt cancellation on Form 982, line 2, only

c. Report the $40,000 debt cancellation on Form 982, line 2, and the foreclosure on Form 8949 and Schedule D

d. Report the $40,000 debt cancellation on Form 1040

Summary

This lesson included the following temporary changes. Refer to the retirement income lesson for deferred Coronavirus-related distributions. Changes to the premium tax credit are discussed later in the Premium Tax Credit lesson.

Student loan forgiveness and Higher Education Emergency Financial Grants

Both of these provisions represent nontaxable income to the recipient. Further, the recipient's qualified education expenses are not reduced and can be fully used for an education credit or other benefit, if otherwise eligible.

Business expenses paid to restaurants

Allows self-employed individuals who incur business meal expenses paid to a restaurant to claim 100% of such cost instead of the normal 50%.

Itemized Deductions

If extended, taxpayers may be able to deduct qualified mortgage insurance premiums.

Nonbusiness Energy Property Credit

If extended, taxpayers who make certain energy-efficient improvements to their main home may be eligible for this credit (Form 5695, Part II). The limit for this credit is $500 total for all tax years after 2005.

Cancellation of Debt (COD) – Principal Residence

Cancellation of debt can be complex. VITA/TCE volunteers may assist a taxpayer with issues related to cancellation of debt as long as the taxpayer meets all the criteria for discharge of qualified principal residence indebtedness.

Taxpayers who go through a foreclosure or abandonment of their principal residence receive Form 1099-A, Acquisition or Abandonment of Secured Property. Form 1099-A will have information needed to determine the gain or loss due to the foreclosure or abandonment.

If the debt on the principal residence is canceled, the taxpayer will receive Form 1099-C, Cancellation of Debt. If foreclosure/abandonment and debt cancellation occur in the same calendar year, the lender may issue only Form 1099-C, including the information that would be reported on Form 1099-A.

What situations are out of scope for the VITA/TCE programs?

The following are out of scope for this lesson. While this list may not be all inclusive, it is provided for your awareness only.

- Residential clean energy credit (Form 5695, Part I) and qualified electric vehicle credits (Form 8834)
- Cancellation of debt on a residence other than a qualified principal residence
- Cancellation of debt for a principal residence that was used in a business or as rental property

- Cancellation of debt when Form 1099-C includes an amount for interest
- Cancellation of debt was because the taxpayer filed bankruptcy or was insolvent immediately before the debt was canceled

EXERCISE Answers

Answer 1: b, No. Because Angie used part of the home as rental property, all the canceled debt may not qualify to be excluded from income. The rules involving mortgage debt exclusions are complex. Angie should be referred to a professional tax preparer.

Answer 2: b, No. Fred's situation is outside the scope of the volunteer program since a portion of his refinanced debt was used for purposes other than to buy, build, or substantially improve his principal residence. Fred should be referred to a professional tax preparer, per the guidance in Publication 4731-A.

Answer 3: a. The volunteer should use Publication 4731-A, Part I to determine if Robert had a gain or loss on the foreclosure. If the taxpayer receives a Form 1099-C, the volunteer would use the screening sheet to determine if the related tax issues are within scope.

Answer 4: c. The volunteer would need to complete Form 8949, Schedule D, and Form 982. Although there is a loss, it cannot be deducted. The mortgage debt cancellation is not included in income on the tax return because it is covered by the qualified principal residence indebtedness exclusion on Form 982.

Answer 5: b. The volunteer would complete Form 982 and report the reduction in the basis of the home. The $20,000 in debt cancellation can be excluded as qualified principal residence indebtedness on Form 982 and is not counted as income on the tax return. Form 8949 and Schedule D are not required because Tom and Grace did not dispose of the home.

Answer 6: c. Form 982, Form 8949, and Schedule D should be completed. When a residence that is security for a mortgage is abandoned or foreclosed upon, it is treated as having been sold. This results in the foreclosure being reported on Form 8949 and Schedule D as sale of home. Failure to file Form 8949 and Schedule D may result in an IRS notice to the taxpayer.

EXERCISES

Refer to the Who Must File section of the Volunteer Resource Guide to answer these questions. Answers are at the end of the lesson summary.

Question 1: Bob is 27 years old and single. His gross income was $17,000 during the tax year. Based only on this information, is he required to file a tax return?

a. Yes

b. No

Question 2: Janet and Harry are married, file jointly, and lived together all year. During the tax year, she turned 66 and he turned 64. Their gross income was $19,800. Based only on this information, are they required to file a tax return?

a. Yes

b. No

Question 3: Juanita has a dependent child and can file as a Qualifying Surviving Spouse. She is 47 years old. Her gross income was $27,000. Based only on this information, is she required to file a tax return?

a. Yes

b. No

Who should file?

Even if individuals are not required to file a tax return, they should file a return if they qualify for certain credits or a refund. These items are listed in the Volunteer Resource Guide, Tab A, Who Must File.

Individuals *should* file a return if they are eligible to claim:

- A refund of withheld taxes
- The earned income credit (EIC)
- The additional child tax credit
- Premium tax credit
- The health coverage tax credit, if extended (out of scope)
- The American opportunity credit

Taxpayers who should file may be entitled to a refundable tax credit, and filing a return is the only way to get it. Individuals who are not required to file a federal return may benefit by filing for state purposes.

A nonrefundable credit is a dollar-for-dollar reduction of the tax liability. A nonrefundable credit can only reduce the tax liability to zero. A refundable credit can zero out the tax liability and result in a cash refund to the taxpayer.

How do I find out if a taxpayer is eligible to claim a refund or refundable credit?

The taxpayer may qualify for a tax refund, earned income credit, additional child tax credit, premium tax credit, or American opportunity credit if:

- Federal or state income tax was withheld on any income form
- The taxpayer had earned income
- The taxpayer has a qualifying child

- The taxpayer or their dependent paid higher education expenses
- The taxpayer made estimated tax payments
- The taxpayer purchased health coverage through the marketplace



The earned income credit may apply with or without a child. See the Earned Income Credit and Child Tax Credit lessons for details on determining eligibility.

If a taxpayer is not required to file a tax return, and you are uncertain if they will benefit from filing, begin a return to determine if filing a tax return would benefit the taxpayer.

How do I verify taxpayer identity?

As the first step in the interview process, you should verify the identity of the taxpayer(s), address, and the spelling of names entered on the taxpayer's intake and interview sheet.

What documents do I use to verify identity?

Ask to see original photo identification such as:

- Valid driver's license (U.S.)
- Visa
- State ID (U.S.)
- Military ID
- Passport
- National ID
- Employer ID
- School ID

Judgment should be used in accepting any other valid form of identification. For example, the Coordinator can allow proof of identity of an elderly person with a disability who has an expired driver's license and passport but also provides a valid birth certificate. IRS-tax-law certified volunteers preparing tax returns are required to confirm the identity of the taxpayer to avoid identity theft, tax fraud, and to validate the correct name and Social Security number. If a taxpayer cannot prove their identity, or if the volunteer is uncomfortable accepting the items presented as proof of identity, the taxpayer should be advised to return with an acceptable form of identification.

Exceptions to requiring photo ID should only be made under extreme circumstances and should be approved by the Coordinator. For example, there may be limited situations where an exception may apply to a person with a disability, the elderly, or other unique circumstances. Additionally, the Coordinator has discretion to approve exceptions to verification of taxpayer identity rules. Refer to Publication 4299, Privacy, Confidentiality and Civil Rights for additional information.



A spouse who is Married Filing Separately is not required to provide the Social Security card for the other spouse, although the return cannot be e-filed without the spouse's Social Security number.

In addition to photo identification for taxpayers, they must also present proof of taxpayer identification numbers (TIN) for themselves and all persons listed on their tax return. (TIN is explained in next section.) Exceptions to this rule should be rare and only the Coordinator has discretion to approve an exception.

Taxpayers who **cannot** prove their identity should seek professional tax assistance.

How do I verify taxpayer identity?

An initial step in the interview process is to verify the identity of the taxpayer(s), the accuracy of each SSN or ITIN, and spelling of names with the appropriate documents.

Which tax forms are used?

Form 1040/1040-SR are used with Schedules 1 through 3.

Filing the Return

E-filing is the safest, fastest, and easiest way to file a tax return. With e-file, taxpayers can generally expect their refund in less than 21 calendar days after the receipt of their tax return.



No refund for an overpayment for a taxable year shall be made to a taxpayer before February 15 if the taxpayer claimed a refundable credit such as the earned income credit on the tax return.

What situations are out of scope for the VITA/TCE programs?

The following are out of scope for this lesson. While this list may not be all inclusive, it is provided for your awareness only.

- Taxpayers who may qualify for the health coverage tax credit (if extended) or credit for the repayment of previously taxed income
- Taxpayers who **cannot** prove their identity



EXERCISE Answers

Answer 1: a, Yes, Bob is required to file a return.

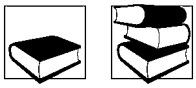
Answer 2: b, No, Janet and Harry are not required to file.

Answer 3: a, Yes, Juanita must file.

Answer 4: a, True. To prevent processing delays, check the accuracy of each Social Security number you enter on the return, as well as the spelling of the name associated with the number.

Answer 5: The Form 1040 Instructions provide an answer and the index in Publication 17 directs us to a paragraph in the chapter on Filing Information.

Filing Status



Introduction

This lesson will help you determine the most advantageous (and allowable) filing status for the taxpayer. Selecting and entering the correct filing status is a critical component of completing the taxpayer's return.

See Tab B, Starting a Return and Filing Status, in the Volunteer Resource Guide for filing status interview tips with helpful probing questions to use in your interview with the taxpayer.

Objective

At the end of this lesson, using your resource materials, you will be able to:

- Determine the most beneficial filing status allowed for the taxpayer.

What do I need?

- Form 13614-C
- Publication 4012
- Publication 17

Optional:

- Publication 501
- Publication 555
- Publication 971
- Form 1040
- Form 2120
- Form 8379

What are the five filing statuses?

Taxpayers must use one of five filing statuses. Filing status impacts the calculation of income tax, affects the amount of the standard deduction, and determines allowance or limitation of certain credits and deductions. The following list puts them in order from the most beneficial to the least beneficial to the taxpayer.

- Married Filing Jointly
- Qualifying Surviving Spouse
- Head of Household
- Single
- Married Filing Separately

Most nonresident aliens and dual status aliens have different filing requirements and may have to file Form 1040-NR. In this case, the return is Out of Scope. Refer the taxpayer to a site with Foreign Student certification.

Taxpayers may qualify for more than one filing status. Choose the filing status that results in the lowest tax for the taxpayer. Use the Volunteer Resource Guide to help determine the correct filing status.

Filing status is selected in the Basic Information section. Go to the Volunteer Resource Guide to review the software entries.

How does marital status affect filing status?

The first step in determining taxpayers' filing status is to confirm their marital status on *the last day of the tax year. Avoid using information from the prior year*, as it may have changed.

Generally, taxpayers are considered to be **unmarried** for the entire year if, on the last day of the tax year, they were:

- Unmarried.
- Legally separated from their spouse under a divorce or separate maintenance decree. State law governs whether taxpayers are married or legally separated under a divorce or separate maintenance decree.

Taxpayers are considered to be **married** for the entire year if:

- They were married on the last day of the tax year, **or**
- The spouse died during the year and the surviving spouse has not remarried

What are the requirements for each filing status?

Who is considered Single?

Taxpayers can use the Single filing status if, on the last day of the tax year, they were:

- Not married
- Legally separated or divorced, or
- Widowed before the beginning of the tax year and did not remarry



A marriage that has been legally annulled is treated as never having existed, even if it is annulled in a later year.

Can Single taxpayers qualify for another status?

Some single taxpayers qualify for Head of Household or for Qualifying Surviving Spouse status, which can mean a lower tax. These statuses will be discussed later in this lesson.

What is Married Filing Jointly?

Married taxpayers who choose to file a joint return will use one return to report their combined income and to deduct combined allowable expenses. Married taxpayers can select this status even if one of the spouses did not have any income or any deductions. The Married Filing Jointly status can be claimed by taxpayers who, on the last day of the tax year:

- Were married and lived together.
- Were married and living apart, but were not legally separated under a divorce or separate maintenance decree, (such as medical reasons or Military separation). State law governs whether taxpayers are married or legally separated under a divorce or separate maintenance decree.
- Were common law married pursuant to the laws of the state in which they live (or in the state where the common law marriage began) and the marriage has not been dissolved, such as by death or divorce.
- Are the surviving spouse who did not remarry before the end of the tax year (surviving taxpayer can file a joint return with the deceased spouse).



Taxpayers who file a joint return can't choose to file separate returns for that year after the due date of the return. See the Amended and Prior Years Returns lesson for an exception for executors.



A citizen or resident alien married to a nonresident alien may be able to choose from more than one filing status. More information can be found in the Unique Filing Situations lesson.



Filing a joint return for a common law marriage applies to the federal return only. Volunteers must check state or local laws before completing a state return. Volunteers are not responsible for determining whether a couple is in a common law marriage. If taxpayers are not certain, refer them to a professional tax preparer.

What are the responsibilities of each taxpayer on a joint return?

Both taxpayers must include all worldwide income on their joint return. They each may be held responsible for all the tax and for any interest or penalty due, even if all the income was earned by only one spouse. A subsequent divorce usually does not relieve either spouse of the liability associated with the joint return.

In some cases, a spouse may be relieved of joint liability. Information is available in Publication 971, Innocent Spouse Relief, however, this topic is beyond the scope of the VITA/TCE programs. Refer taxpayers in this situation to a professional tax preparer.

When a joint return is filed and only one spouse owes a past-due amount, the other spouse may be considered an injured spouse and able to claim their portion of a joint refund. This is discussed later in this lesson.

What is Married Filing Separately?

The Married Filing Separately status is for taxpayers who are married, and either:

- Choose to file separate returns, or
- Cannot agree to file a joint return

Taxpayers who file as Married Filing Separately each report their own income and deductions on separate returns. These rules do not apply in community property states. More information on community property is provided later in this lesson.



Taxpayers can change their filing status from a separate return to a joint return by filing an amended return using Form 1040-X.

Can Married Filing Separately taxpayers qualify for another status?

Some married taxpayers may be considered unmarried even if they are not divorced or legally separated. Such taxpayers may be able to use the Head of Household filing status, which may result in a lower tax than Married Filing Separately. Refer to the topic “Can married taxpayers ever file as Head of Household?” in this lesson to see if the “considered unmarried” definition applies.

Why are taxes usually higher for Married Filing Separately?

Special rules apply to Married Filing Separately taxpayers, which generally result in a higher tax. For example, when filing separately:

- The tax rate is generally higher than on a joint return.
- Taxpayers cannot take the child and dependent care credit, education credits, and certain other benefits and credits.
- Some credits and deductions, such as the child tax credit and the retirement savings contributions credit, are reduced at income levels that are half those for a joint return.
- If a taxpayer is Married Filing Separately and the spouse itemizes deductions on their return, the taxpayer must itemize and cannot take the standard deduction.

For Married Filing Separately taxpayers, enter the spouse’s name and Social Security number or ITIN on the tax return. If the taxpayer does not know the spouse’s Social Security number, refer to the Volunteer Resource Guide, Tab B, Starting a Return and Filing Status, Entering Basic Information (continued). The return will need to be paper filed.

Tip Income

Self-employed taxpayers who receive tips, such as hair stylists and manicurists, should include their tips in gross receipts on Schedule C.

If taxpayers have jobs in which tips are normally received (e.g., waiter/waitress, bellhop, or motel/hotel housekeeper), be sure to ask about any tips they may have received. All tip income is taxable, whether or not it is reported to the employer.

If individuals receive more than $20 per month in tips at one job and report their tip income to their employer, the tips will be included in Boxes 1 and 7 on Form W-2.

What are allocated tips?

To ensure that everyone reports their fair share of income from tips, some employers have tip allocation programs. These programs are approved by the IRS. If an employee reports tips to the employer that were less than the designated share based on the employer's formula, the employer reports the difference as "allocated tips" and includes it on the employee's Form W-2.

Allocated tips are shown separately in Form W-2, Box 8. Social Security and Medicare taxes are not withheld on allocated tips. Allocated tips are not included in the amount in Form W-2, Box 1. Explain to the taxpayers that unless they kept a written and reliable record of tips actually received at that job, the allocated tips must be included in Form 1040 as wages.

When allocated tips are reported on Form W-2, the software automatically adds them to Form 1040 and also completes Form 4137, Social Security and Medicare Tax on Unreported Tip Income. Refer to the Volunteer Resource Guide for instructions to enter the taxpayer's actual amount of tips according to their tip log

What about unreported tips?

An individual is not required to report tip income to their employer if it is $20 or less per month. Since these tips are subject to federal income tax, ask taxpayers if they have any tip income that was not reported to their employer.

Other Tips

- Noncash tips (e.g., tickets or passes) do not have to be reported to the employer, but must be included as taxable income at their fair market value.
- Tips of less than $20 per month or noncash tips are not subject to Social Security and Medicare taxes.
- If tips of more than $20 a month were not reported to the employer, the taxpayer must also pay Social Security and Medicare taxes. Complete Form 4137 if the taxpayer received tips that were not reported to the employer. This form calculates the appropriate income, Social Security, and Medicare taxes.

If the taxpayer has unreported tip income, enter the income on Form W-2, unreported tip income box. This will initiate Form 4137. Refer to the Volunteer Resource Guide, Tab D, Income, for instructions on how to enter tip income.

For more information about tip income, see Publication 531, Reporting Tip Income.

What is penal income (or prisoner income)?

An individual may be compensated while in a penal institution, a work-release program, or in a halfway house. The compensation will be reported on Form W-2 but it is not treated as earned income for most tax benefits, such as the earned income credit. The amount is reported as wages on Form 1040, Schedule 1. Refer to the Volunteer Resource Guide, Tab D, Income, for instructions on how to identify and enter penal income, also known as prisoner income.

Under the PATH Act, a wrongfully incarcerated individual does not include in income any civil damages, restitution, or other monetary award received that relates to his or her incarceration.




Scholarship and Fellowship Income (Form W-2 and Form 1098-T)

Are scholarships and fellowships taxable income?

Scholarships and fellowships may be fully or partially taxable, or nontaxable. Taxable amounts include:

- Payment for services
- Money used for personal living expenses, such as room and board

If the taxpayer received Form W-2 for the scholarship or fellowship it is considered earned income. Include the amount on Form 1040 as wages just as you would any other Form W-2.

Form 1098-T lists qualified tuition and related expenses paid to the school. Verify that these amounts have been paid by reviewing the student's detailed financial account transcript which lists scholarship and grant money the student received. If scholarships or grants exceed the qualified educational costs, some of the grant or scholarship may be taxable to the student (not the taxpayer claiming the student as a dependent).

In certain situations, the student may choose to include all or part of certain scholarships or grants in income in order to increase an education credit. This is explained in the education credits lesson, and examples can be found in the Form 8863 Instructions and Publication 970, Tax Benefits for Education.

Taxable scholarships are entered into the software in the Income>Less Common Income>Other compensation> Scholarships and Grants section, but are shown on Form 1040, Schedule 1. Refer to the Volunteer Resource Guide for specific entries.

What about higher education emergency financial aid grants?

Emergency financial aid grants under the CARES Act for unexpected expenses, unmet financial need, or expenses related to the disruption of campus operations due to the COVID-19 pandemic, such as unexpected expenses for food, housing, course materials, technology, health care, or childcare, are qualified disaster relief payments under section 139 of the Internal Revenue Code. This grant is not includible in gross income and it does not reduce qualified education expenses that can be used for an education credit or deduction.

What about loan repayment assistance programs (LRAPs) for health care professionals?

Education loan repayments are not taxable if they are made to taxpayers by:

- The National Health Service Corps Loan Repayment Program
- A state education loan repayment program eligible for funds under the Public Health Service Act, or
- Any other state loan repayment or loan forgiveness program that promotes increased availability of health professionals/services in underserved areas

Taxpayer Interview and Tax Law Application

Leonard and Gloria are filing a joint return. Leonard and the volunteer are discussing dividend income.

Sample Interview

Volunteer Says…	Leonard Responds…
Do you and your wife own shares of stock, mutual funds, or bond funds?	Yes, I have an IRA and I own shares in several mutual funds and a bond fund. My wife has an IRA. Here are the statements.
The earnings on the IRAs are tax deferred until you take a distribution. These 1099-DIVs are what we want right now. Are these the only Forms 1099-DIV that you received?	Yes
We will enter the information from each of these in the tax software. It will add everything up and display it properly on your tax return	

How do I report a refund of state or local income taxes?

Taxpayers who receive a refund of state or local income taxes may receive Form 1099-G reporting their refund amount(s). Only taxpayers who itemized and received a federal income tax benefit for deducting their state or local income taxes have to include their state/local tax refunds in income. Not everyone must include the refund in their taxable income.

- Taxpayers who claimed the standard deduction on the tax return for the year they received a refund of state or local income taxes do not have to include the refund in their taxable income.
- Taxpayers who itemized and deducted the state sales tax instead of the state income tax withheld or paid do not have to include the refund in their taxable income.
- Some taxpayers could not deduct all their state income taxes because of the annual cap on state and local taxes deduction. Refer to the Volunteer Resource Guide, Tab D, Income, for the State and Local Refund Worksheet in the software to determine the amount, if any, of the refund that is taxable.



Refer taxpayers who received a state or local income tax refund for a year other than the previous tax year to a professional tax preparer.



Nancy itemized her deductions on last year's federal return. She included the income taxes paid to her state on Schedule A. During the current tax year, she received a state refund on the overpaid portion of those taxes. When filing her current year tax return, she must use the state tax refund worksheet to see how much of the refund to include in her federal taxable income.

What is alimony?

Alimony is a payment to or for a spouse or former spouse under a separation or divorce instrument. It may include payments on behalf of the spouse or former spouse, such as medical bills, housing costs, and other expenses. It does not include child support or voluntary payments outside the instrument.

Post-1984 and Pre-2019 Divorces

The person receiving alimony must include it as income. The person paying alimony can subtract it as an adjustment to income. Both items are reported on Form 1040, Schedule 1. The date of divorce or separation agreement must also be provided.



If the taxpayer is unsure whether a payment is alimony or child support, ask if the payments will stop once the child is grown.

Alimony income received under a pre-2019 divorce or separation instrument is unearned income. However, it is considered compensation, which may allow the taxpayer receiving alimony income to make a deductible traditional IRA or nondeductible Roth IRA contribution.

If the agreement was executed before 1985, refer the taxpayer to a professional tax preparer.

Where do I get alimony information?

Ask if the taxpayer received alimony under a divorce or separation instrument. If so, explain that you need the exact amount, since it may also be reported as a deduction by the payor, and the two amounts must agree.

How do I report alimony income?

Enter any alimony income on the alimony received screen. The Social Security number of the person paying the alimony is not needed.

Post-2018 Divorces

The Tax Cuts and Jobs Act provides that alimony and separate maintenance payments are not deductible by the payor spouse and repeals the code provisions that specify that alimony and separate maintenance payments are included in income by the recipient of the payments.

This treatment is effective for any divorce or separation instrument executed after December 31, 2018, or for any divorce or separation instrument executed on or before December 31, 2018, and modified after that date, if the modification expressly provides that the amendments made by the Tax Cuts and Jobs Act, Section 11051, apply to such modification.

State laws may differ.

Summary

This lesson covered income reported on Form 1040, including how to differentiate taxable and nontaxable income, and earned or unearned income.

- Earned income is any income received for work, such as wages or business/self-employment income.
- Unearned income is any income produced by investments, such as interest on savings, dividends on stocks, or rental income.
- Wages from Form W-2 are generally included on Form 1040.
- Common sources of taxable interest income are checking and savings accounts, certificates of deposit (CDs), savings certificates, or U.S. government bonds. This interest is reported by the payer on Form 1099-INT and included in the taxpayer's income on Form 1040.
- Interest on certain bonds, such as from state political subdivisions, District of Columbia, or port authorities, are exempt from federal income tax but must be reported on Form 1040.
- Dividends are reported to the taxpayer on Form 1099-DIV. Ordinary dividends are corporate distributions paid out of the earnings and profits of a corporation. Qualified dividends are ordinary dividends that qualify for lower, long-term capital gains tax rates. Capital gain distributions are reported on Form 1040 and Schedule D, if required.

- A stock split is a method used by corporations to lower the market price of stock. A two for one stock split will decrease the basis per share by half. For example, the original basis of $200 for 100 shares becomes $200 for 200 shares.
- DRP (dividend reinvestment plan) accounts leave cash dividends with the company for the purchase of additional shares. Even though these shares are from the same company, they retain their own individual basis separate from the original purchase. Each new purchased share could have a different basis.

Brokers or mutual fund companies will track the basis of mutual fund shares for covered securities. Still, taxpayers should keep track of their basis in mutual fund shares.

- The original basis of mutual fund shares bought is usually their cost or purchase price. The purchase price usually includes any commissions or load charges paid for the purchase.
- The cost basis of mutual fund shares acquired by reinvesting distributions is the amount of the distributions used to purchase each full or fractional share. This rule applies even if the distribution was an exempt-interest dividend that was not reported as income.
- The basis in mutual fund shares may need to be increased or reduced. For more information, refer to Publication 550.



Alice paid $1,100 for 100 shares of ABC, Inc. stock (which included the broker's commission of $25). The original basis per share was $11 ($1,100 ÷ 100). She received 10 additional shares as a tax-free stock dividend. Her $1,100 basis must be allocated to the 110 shares (100 original shares plus the 10-share stock dividend). This results in an adjusted basis of $10 per share ($1,100 ÷ 110).

Basis Other than Cost

There are times when cost alone cannot be used as basis. In some cases, the fair market value (FMV) or adjusted basis is used.

- Property Received as a Gift – To determine the basis of property received as a gift, taxpayers must know its adjusted basis to the donor just before it was given to the taxpayer. Taxpayers also need to know the FMV at the time of the donation and the amount of any gift tax paid on the donation. Determination of the adjusted basis of property received as a gift can be very complex and is beyond the scope of the VITA/TCE programs.
- Inherited Property
  - Before 2010 and after 2010: the basis of property inherited during this time is generally the FMV of the property on the date of the decedent's death. However, this can vary if the personal representative of the estate elects to use an alternate valuation date or other acceptable method. If the taxpayer cannot provide the basis for the property, refer the taxpayer to a professional tax preparer.
  - During 2010 (after December 31, 2009, and before January 1, 2011): special rules may apply to property inherited from a decedent who died in 2010. Determining the basis of such property can be complex. If the taxpayer cannot provide the basis for the property, refer the taxpayer to a professional tax preparer for determination of basis issues. For more information on the special rules, refer to Publication 4895, Tax Treatment of a Property Acquired from a Decedent Dying in 2010 (Rev. October 2011). Download Publication 4895 under Prior Year Forms and Instructions on IRS.gov.
- Wash Sales
  - The reporting of wash sales is in scope only if reported on Form 1099-B (Box 1g) or on a brokerage or mutual fund statement. Report the wash sale as an adjustment on Form 8949, line 1, columns (f) and (g).
  - A wash sale is the sale of securities at a loss and the acquisition of the same (substantially identical) securities within 30 days of the sale date (before or after).
  - Taxpayers cannot deduct losses from sales or trades of stock or securities in a wash sale unless the loss was incurred in the ordinary course of business as a dealer in stock or securities (out of scope).

- The disallowed loss is added to the cost of the new stock or securities. The result is an increase to the basis in the new stock or securities. This adjustment postpones the loss deduction until the disposition of the new stock or securities.
- The holding period for the new stock or securities includes the holding period of the stock or securities sold.



The taxpayer buys 100 shares of X stock for $1,000. The taxpayer sells these shares for $750 and within 30 days from the sale buys 100 shares of the same stock for $800. Because the taxpayer bought substantially identical stock, the taxpayer cannot deduct the loss of $250 on the sale. However, the taxpayer adds the disallowed loss of $250 to the cost of the new stock, $800, to obtain the basis in the new stock, which is $1,050.

For additional information on how to figure the basis, refer to Publication 551.



If the taxpayer knows the basis of property that was inherited or received as a gift, you can provide assistance. If they do not know the basis of the property, refer the taxpayer to a professional tax preparer.

How do I determine the holding period?

Long-Term or Short-Term

Brokerage firms report sales of securities, the acquisition cost, the dates of sale and acquisition, if there is a wash sale adjustment, and whether the cost basis was reported to the IRS on Form 1099-B.

Taxpayers will have to provide any information not reported on Form 1099-B or when their records disagree with the amount reported by the brokerage.

Form 1099-B will also indicate the date the stock was sold. The purchase and sell dates will determine the holding period. Capital gains and losses are either long-term or short-term, depending on how long the taxpayer owned the stock. Stock held for:

- One year or less has a short-term holding period
- More than one year has a long-term holding period



If a taxpayer acquired property by gift or inheritance, the taxpayer must provide the basis and acquisition date. Determining these tax items is complex and outside the scope of the VITA/TCE programs.

The holding period begins the day after the shares were purchased and includes the day the shares were sold. If investment property is inherited, the capital gain or loss is treated as long-term. This is true regardless of how long the property is held.

Determining the correct holding period is important because short-term gains are taxed at regular income tax rates and long-term gains are taxed at a lower rate than the other income reported on the return.

Stock acquired as a nontaxable stock dividend or stock split has the same holding period as the original stock owned. They are considered to have been acquired on the same day as the original stock. Stock acquired in a DRP has its own purchase date. The holding period for stock received as a taxable stock dividend begins on the date of distribution.



Lenny bought 500 shares of XYZ Corporation stock for $1,500, including his broker's commission. Five years later, XYZ distributed a 2% nontaxable stock dividend (10 shares). Three days after the stock dividend was distributed, Lenny sold all his XYZ stock for $2,030.



Myrna was 72 when she retired in 2018. She was required to begin taking minimum distributions from her traditional IRA by April 1 of the year following the year she turned 70½ even though she had not retired. Myrna had to take a second required distribution by December 31 of the same year.

This information is provided for your information only, to help you answer any questions a taxpayer may ask about RMD. RMD distributions are reported on Form 1099-R and included on the return using the procedures previously discussed.

Withdrawal of Excess IRA Contributions

An excess IRA contribution is the amount contributed to a traditional and/or Roth IRA during the year that is more than the smaller of the:

- Maximum IRA amount for the year based on the taxpayer's age, or
- Taxable compensation for the year

The taxpayer may not know that a contribution is excess until the tax return is completed after the end of the year. In this situation, the excess amount, with any earnings on that amount, must be withdrawn by the due date of the return (including extensions). If the excess amount is not withdrawn by the due date of the return, the taxpayer will be subject to an additional 6% tax on this amount, and the return is out of scope.

The withdrawn excess contribution is not included in the taxpayer's gross income if both of the following conditions are met:

- No deduction was allowed for the excess contribution
- All interest or other income earned on the excess contribution is withdrawn by the due date of the return, including extensions

However, taxpayers must include the earnings on the excess contribution as income on the return. This income is reported on the return for the year in which the excess contribution was made. The withdrawal of interest or other income may also be subject to an additional 10% tax on early distributions.

If the taxpayer is subject to an additional tax due to excess IRA contributions, refer them to professional tax preparer.



EXERCISES (continued)

Question 7: Taxpayers who withdraw excess contributions and earnings on the excess contributions by the due date of the tax return are not subject to an additional 6% tax on the excess contribution.

a. True

b. False

Question 8: Helen turned 70½ on March 17, 2020. She retired in 2013. She has never taken any distribution from her traditional IRA accounts. Helen is required to:

a. Take a distribution by December 31, 2020.

b. Take a distribution by April 1, 2021.

c. Take a distribution by December 31, 2021.

d. Take a distribution by April 1, 2022, and another by December 31, 2022.

What retirement distributions qualify for tax-favorable treatment?

Special CARES Act Provisions and Tax-Favorable Treatment of Retirement Fund Distributions

The CARES Act of 2020 provided for three special rules for up to $100,000 of coronavirus-related distributions from eligible retirement plans to qualified individuals for 2020: exception to the additional tax on early distributions; distributions may be included in income over a 3-year period; and, to the extent the distribution is eligible for tax-free rollover treatment, the distribution may be recontributed. If the retirement distribution recipient is not a qualified individual, none of these provisions apply. For 2022, the three-year spread and permitted recontributions need to be reported on Form 8915-F.

What are the rules for the 3-year spread of eligible distributions?

A taxpayer who elected to include designated coronavirus-related distributions in income ratably over a 3-year period needed to file Form 8915-E with their 2020 tax return. For a 2020 designated coronavirus-related distribution received on or after January 1, 2020, and before December 31, 2020, the taxpayer will report the taxable distribution equally, 1/3 in each year 2020, 2021, and 2022. The election to opt out of the 3-year spread provision cannot be made or changed after the timely filing of the return (including extensions) for the year of the distribution.

What are the rules for recontributions of eligible distributions?

A qualified individual may recontribute part or all of their eligible designated coronavirus-related distributions to an eligible retirement plan (up to an aggregate limit of $100,000), but not an amount in excess of the amount of the distribution. Recontribution is permitted whether or not the 3-year spread is elected. The recontribution must be completed within three years beginning with the day after the date that the distribution was received.

Not all coronavirus-related distributions may be repaid. That is, a distribution that is eligible for the 3-year spread may or may not be eligible for recontribution. In general, distributions that would be eligible for tax-free rollover treatment are eligible for recontribution under the CARES Act. The following distributions are not eligible for recontribution:

1. Any coronavirus-related distribution (whether from an employer retirement plan or an IRA) paid to a qualified individual as a beneficiary of an employee or IRA owner (other than the surviving spouse of the employee or IRA owner).
2. Any distribution (other than from an IRA) that is one of a series of substantially equal periodic payments made (at least annually) for:
   - **a.** A period of 10 years or more,
   - **b.** The individual's life or life expectancy, or
   - **c.** The joint lives or joint life expectancies of the individual and the individual's beneficiary.

A pension is a periodic payment and cannot be repaid, even if the taxpayer elects to use the 3-year spread of the income.

The recontribution can be made to any qualified account that will accept the recontribution. In general, it is anticipated that eligible retirement plans will accept recontributions of coronavirus-related distributions, which are to be treated as rollover contributions. However, a recontribution under this CARES Act provision will not be treated as a rollover contribution for the one-in-12-months limitation.

Cancellation of Debt – Nonbusiness Credit Card Debt

Cancellation of Debt – Basics

A debt includes any indebtedness for which a taxpayer is liable or which attaches to the taxpayer's property, such as auto loans, credit card debt, medical care, professional services, mortgages, and home equity loans. Generally, if a debt for which a taxpayer is personally liable is canceled or forgiven, the taxpayer must include the canceled amount in income. There is no income from canceled debt if the cancellation or forgiveness of debt is a gift or bequest.

Use Form 13614-C, Intake/Interview & Quality Review Sheet, to determine if the taxpayer received one or both of Forms 1099-C, Cancellation of Debt, or 1099-A, Acquisition or Abandonment of Secured Property. Refer to the Legislative Extenders section for possible exclusion of cancellation of debt income on a main home.

Taxability of Canceled Debt

Taxpayers often question the taxability of canceled debt because they did not receive money in hand. In situations where property is surrendered, such as a foreclosure, taxpayers feel that by giving up the property they are relieved from any further obligation. Explain that the benefit to the taxpayer is the relief from personal liability to pay the debt. Information in Publication 17, Your Federal Income Tax for Individuals, can assist with the explanation. Refer to Publication 4681, Canceled Debts, Foreclosures, Repossessions, and Abandonments.

Generally, when debt is canceled, the lender will issue Form 1099-C, Cancellation of Debt, which is then reported as income by the recipients on their tax return. There are exceptions and exclusions to the general rule that determines whether a canceled debt is included as income. This is covered in greater detail in the Legislative Extenders lesson and later in this lesson.

Form 1099-C

Generally, if a taxpayer receives Form 1099-C for canceled credit card debt and was **solvent** (assets greater than liabilities) immediately before the debt was canceled, all the canceled debt will be included on the tax return as other income.

Sometimes, Form 1099-C will show an interest amount in Box 3. Because only **nonbusiness** credit card debt income is in scope, any interest on the account would not have been deductible. The amount shown in Box 3 is included in Box 2; therefore, the full amount shown in Box 2 should be reported as other income.



John made a deal with his credit card company to pay $2,000 on his $7,000 balance, and the company agreed to take it as payment in full. In January of the current year, John received a Form 1099-C from his credit card company reporting $5,000 (the amount of debt canceled). John was solvent immediately before the debt was canceled. John must include the entire $5,000 as other income on his tax return.

Lenders and creditors are required to issue Form 1099-C if they cancel a debt of $600 or more. If the debt canceled is less than $600, some lenders or creditors may send a letter or some other form of notification to the taxpayer. Generally, taxpayers must include all canceled amounts (even if less than $600) in income.



For information on cancellation of debt on a principal residence, refer to the Temporary Provisions lesson.

The discharge of certain student loan debt in 2021 through 2025 is excluded from gross income. If excludible, the lender will not issue Form 1099-C.

Insolvency (Out of Scope for VITA/TCE)

Insolvency is a condition in which the fair market value (FMV) of all assets is less than one's liabilities. The amount or level of insolvency is expressed as a negative net worth.

For purposes of determining insolvency, assets include the value of everything owned (including assets that serve as collateral for debt and exempt assets which are beyond the reach of creditors under the law, such as an interest in a pension plan and the value of a retirement account).

Liabilities are amounts owed and include:

- The entire amount of recourse debts
- The amount of nonrecourse debt that is not in excess of the FMV of the property and is security for the debt

Refer to the Insolvency Determination Worksheet in the Volunteer Resource Guide, Tab D, Income, as a resource. Taxpayers must determine if they are considered insolvent.

If the taxpayer had nonbusiness credit card debt canceled, all or part of the debt may be excluded if the cancellation occurred in bankruptcy, or if the taxpayer was insolvent immediately before the cancellation. These situations are beyond the scope of VITA/TCE. If any of these situations apply, refer the taxpayer to a professional tax preparer. See IRS Publication 4681, Canceled Debts, Foreclosures, Repossessions, and Abandonments, for more information.

Publication 4731, Screening Sheet for Nonbusiness Credit Card Debt Cancellation, located in the Volunteer Resource Guide, Tab D, Income, provides step-by-step guidance for the volunteer tax return preparer to determine if the cancellation of credit card debt is within scope.

Taxpayer Interview and Tax Law Application

Here is how a volunteer advised Michelle regarding her canceled credit card debt.

Sample Interview

Volunteer Says…	Michelle Responds…
I notice you received a 1099-C from a credit card company.	Yes, I negotiated with them to cancel $3,000 of my debt.
Yes, Form 1099-C shows the amount of debt discharged.	I could only afford to pay them $1,000, so it really helped me.
Do you think your debts at the time exceeded your assets?	I'm not sure, but it's certainly possible.
Let's fill out the Insolvency Determination Worksheet to help us determine whether you were insolvent.	OK.
According to the worksheet, you are insolvent. I am afraid I am not able to help you. VITA/TCE volunteers are not trained to compute the nontaxable portion of canceled credit card debt.	Oh, I understand.
I suggest you seek assistance from a professional tax preparer.	I will, thank you.

Insolvency Determination Worksheet

Assets (FMV)		Liabilities	
Homes	**$120,000.00**	Mortgages	**$180,000.00**
Cars	**$15,000.00**	Home equity loans	**$50,000.00**
Recreational vehicles, etc.		Vehicle loans	**$18,000.00**
Bank accounts	**$1,000.00**	Personal signature loans	
IRAs, 401Ks, etc.	**$60,000.00**	Credit card debts	**$3,000.00**
Jewelry		Past-due mortgage interest, real estate taxes, utilities, and child care costs	
Furniture	**$2,000.00**		
Clothes	**$1,550.00**		
Misc.		Student loans	
Other assets		Other liabilities	
Total Assets:	**$199,550.00**	**Total Liabilites**	**$251,000.00**
Total Assets minus Total Liabilities = (**$51,450.00**) Liabilities are more than assets (Negative amount equals insolvency) Positive amount equals solvency			

EXERCISES

Question 1: Greg was released from his obligation to pay $5,000 of personal credit card debt. The credit card company sent Form 1099-C showing canceled debt of $5,000. Greg is fairly certain he has more debt than he has assets.

Can the VITA/TCE site provide tax return preparation assistance to Greg?

a. Yes, since the entire $5,000 in canceled debt is considered income and reported on Schedule 1.

b. No, because it appears Greg is insolvent, which might mean some of the canceled credit card debt would be nontaxable and beyond the scope of the VITA/TCE programs.

Question 2: Kay was released from her obligation to pay personal credit card debt. She owed $10,000 to her credit card company, which agreed to accept $2,500 as payment in full. Before paying the credit card company, it was determined Kay was solvent (assets greater than liabilities) and not in bankruptcy. The credit card company issued Kay a Form 1099-C, reporting $7,500 as the amount of debt discharged.

Based on the information above, can Kay be assisted at her local VITA/TCE site?

a. Yes

b. No

Question 3: Review the information in Question 2 about Kay's canceled debt. If the VITA/TCE site is able to assist Kay, what amount would be reported on Kay's Schedule 1?

a. $0

b. $10,000

c. $2,500

d. $7,500

What is Worldwide Income?

U.S. citizens and U.S. resident aliens are required to report worldwide income on a U.S. tax return regardless of where they live and even if the income is taxed by the country in which it was earned. Filing requirements are the same as for U.S. citizens and U.S. resident aliens and apply whether income is from within or outside the U.S.

U.S. citizens and U.S. resident aliens living abroad may be able to claim tax benefits such as the foreign earned income exclusion or the foreign tax credit. This part of the lesson covers the foreign earned income exclusion. The foreign tax credit will be covered in another lesson.



In the current year, Alfredo Kendall earned $40,000 while working in Dallas, Texas, for Dade Corporation. In September of this year, he transferred to their office in Stuttgart, Germany. While in Germany, he earned $30,000 (U.S. dollars). All of Alfredo's wages, including the income he earned in Germany, is included in his gross income. His Form 1040 will show $70,000 in wages.

Income is treated the same on the return regardless of the country from which it is derived. Similar income earned inside or outside the U.S. is generally taxed in the same way on the return. Likewise, income earned in the U.S. and not taxed will be treated in the same way if earned outside the U.S. The lines on which income is reported on Form 1040 are the same whether the U.S. citizen or U.S. resident alien is living within or outside U.S. boundaries.



Foreign income might be reported to taxpayers on forms or in ways that are not used in the United States. Question taxpayers closely to ensure that they are reporting all worldwide income. Review the income records to ensure that includible amounts are accurate and complete.



Taxpayers with foreign income, bank accounts, or assets may have additional filing responsibilities, which are out of scope. See Schedule B and Form 8938 for additional information.



To review information related to income from a foreign employer, go to the Volunteer Resource Guide, Tab D, Income, Entering Other Compensation in TaxSlayer.



EXERCISES (continued)

Answers are listed following the lesson summary.

Question 4: Marta Bremer, a U.S. citizen, lives in Mussbach, Germany. Her income included $22,000 in wages earned in Germany. She earned $300 in interest from her U.S. bank. What is Marta's total income?

a. $0

b. $22,300

c. $300

d. $22,000

If the taxpayers are eligible to exclude some or all of their foreign earned income, then Form 2555 must be completed. The excludable amount will be entered as a negative number on Schedule 1 to offset income reported as wages or self-employment income.

What situations are out of scope for the VITA/TCE programs?

The following are out of scope for this lesson. While this list may not be all inclusive, it is provided for your awareness only.

- Distributions from an ABLE account in which the funds were not fully used for qualified disability expenses
- Distributions from Educational Savings Accounts in which the:
  - Funds were not used for qualified education expenses, or
  - Distribution was more than the amount of the qualified expenses
- Taxpayers who are insolvent and had debt canceled



To gain a better understanding of the tax law, complete the practice return(s) for your course of study using the Practice Lab on L&LT.



EXERCISE Answers

Answer 1: b. Greg is fairly certain that he has more debt than he has assets, which means he is insolvent. This situation is beyond the scope of the VITA/TCE programs.

Answer 2: Yes. Kay was solvent and not in bankruptcy, and the credit card company issued her a Form 1099-C.

Answer 3: d. Kay would report $7,500 on her Schedule 1.

Answer 4: b. Marta's gross income includes her wages and interest, both of which should be reported on her tax return.

Answer 5: c. Mary's gross income includes her wages, interest, and gambling winnings, all of which should be reported on her tax return. Her child support payments are her only nontaxable income.

Answer 6: a. Dividing 200 Euros by the .75514 exchange rate comes to $264.85.

Answer 7: c. Dividing 36,000 Euros by the .7000 exchange rate comes to $51,428.57.

Answer 8: b, No. Miranda is not eligible for the foreign earned income exclusion because Puerto Rico is not a foreign country.

Answer 9: a, True. Generally, the tax home is the country in which taxpayers maintain their place of business. Because Alan works in China, it is considered to be his tax home. For taxpayers who do not have a regular place of business because of the nature of the work, their tax home is the place where they regularly live.

Answer 10: b, No. Stan is considered to have a residence in the United States and does not satisfy the tax home test in the foreign country. He is not eligible for the foreign earned income exclusion.

Answer 11: a, Yes. Since Zach went to Spain to work and has established a permanent residence there with his spouse, he meets the bona fide residence test.

Answer 12: b, No. Social Security benefits, pension, and dividends do not qualify as earned income; therefore, Juanita does not qualify for the foreign earned income exclusion.

Military Income

Introduction

This lesson will help you determine which income items received by current and former members of the U.S. Armed Forces are reportable on the return, and the status of any medical separation pay or pay related to service in a combat zone.

Community property laws may impact the income reported by some military members on their returns.

Objectives

At the end of this lesson, using your resource materials, you will be able to determine:

- Which income items received by members of the U.S. Armed Forces are reportable on the tax return and
- The status of any medical separation pay or pay related to service in a combat zone

What do I need?

- Form 13614-C
- Publication 4012
- Publication 3
- Publication 525
- Publication 555

What are the types of income?

U.S. Armed Forces members receive many different types of pay and allowances. Some are includible in gross income while others are excludable from gross income.

Refer to the Volunteer Resource Guide, Tab D, Income, Armed Forces Gross Income chart, for detailed lists of these types of military pay and to determine if they are included in gross income or excluded.

What income is includible?

Includible items are subject to tax and must be reported on the tax return. The items listed in Publication 3, Armed Forces' Tax Guide, Table 1, and the Volunteer Resource Guide, Tab D, Income, are included in gross income, unless the pay is for service in a combat zone or in a qualified hazardous duty area. All includible military income will generally be shown on Form W-2, Box 1, and reported on Form 1040 as wages.

If the amount shown on Form W-2, Box 1, differs from the last Leave and Earnings Statement for the current tax year, advise the taxpayer to contact the local accounting and finance or payroll office for an explanation.

What income is excludable?

Excludable income does not have to be reported as income on the tax return. The exclusion applies whether the item is furnished in kind, or is a reimbursement or an allowance.

For example, the Basic Allowance for Housing (BAH) can be excluded from gross income as a qualified military benefit. Excludable income will not be included in the amount on Form W-2, Box 1.

If U.S. Armed Forces members were provided a commuter highway vehicle (such as a van) by their employer, refer them to Publication 525, Taxable and Nontaxable Income, and to a professional tax preparer.

Taxpayers should notify the Marketplace about changes in circumstances when they happen, which allows the Marketplace to update the information used to determine the expected amount of the PTC and adjust the APTC payment amount. This adjustment decreases the likelihood of a significant difference between the advance credit payments and the actual PTC. Changes in circumstances that can affect the amount of the actual PTC include:

- Increases or decreases in household income
- Marriage
- Divorce
- Birth or adoption of a child
- Other changes in household composition
- Gaining or losing eligibility for government-sponsored or employer-sponsored health care coverage
- Change of address



If taxpayers are currently enrolled in Marketplace coverage and have an excess APTC repayment, they should contact the Marketplace now to adjust their APTC and avoid another repayment.

What documentation will taxpayers receive to claim the PTC?

By January 31 of the year following the year of coverage, the Marketplace will send Form 1095-A to taxpayers who purchased insurance through the Marketplace. The Marketplace also reports this information to the IRS.

Use the information on Form 1095-A to compute the taxpayers' PTC on their tax returns and to reconcile the advance credit payments made on their behalf with the amount of the actual PTC on Form 8962. If Form 1095-A was lost or never received, the taxpayer must contact the Marketplace. These forms can be downloaded by taxpayers through their Marketplace account. Volunteers cannot prepare a return without this information.

How is the PTC claimed on the tax return?

Taxpayers who received the benefit of APTC payments must file a tax return even if they otherwise are not required to file. Remember, the PTC is only available to taxpayers who purchased health coverage through the Marketplace for themselves or a tax family member.

A taxpayer computes the amount of PTC on Form 8962 and reconciles it with the APTC payments for the year. If the PTC computed on the return is more than the APTC payments made on the taxpayer's behalf during the year, the difference will increase the refund or lower the amount of tax owed.

If the APTC payments are more than the PTC (excess APTC), some or all of the difference will increase the taxpayer's tax liability and result in either a smaller refund or a larger balance due. Taxpayers with household income below 400 percent of the FPL for their family size may be allowed a limitation on their excess APTC repayment. The limitation is based on the taxpayer's household income as provided in the repayment limitation table, which can be found in the Important Changes lesson in this publication and in the Volunteer Resource Guide, Tab H, Other Taxes, Payments, and Refundable Credits.

For taxpayers who use the Married Filing Separately filing status, the repayment limitation applies to the spouses separately based on the household income reported on each return. There are situations where the cap does not apply; for example, the repayment cap is not allowed for APTC paid on behalf of individuals not lawfully in the U.S. Refer to Instructions for Form 8962 and Publication 974 for additional

information. The repayment cap applies in all other situations in which a taxpayer's household income is below 400 percent of the applicable FPL and the applicable repayment cap amount is less than the taxpayer's excess APTC.

Taxpayers who chose to forego APTC will get all of the benefit of their PTC on their tax return. This will either increase their refund or lower the balance due.



The itemized deduction for health insurance premiums is net of PTC meaning that only the portion of the premiums that exceeds the PTC is deductible. For taxpayers who itemize their deductions, the deduction for health premiums is increased for any APTC repayment and decreased for additional PTC as shown on Form 8962.



For taxpayers who are self-employed claiming the self-employed health insurance adjustment to gross income, the calculation becomes circular and their returns are out of scope for VITA/TCE. Refer such taxpayers to a professional tax preparer or Publication 974.



Brandon is single with no dependents. When he enrolled through the Marketplace, Brandon was approved for APTC based on his projected household income. Brandon's Form 1095-A shows APTC of $1,486. Based on Brandon's actual modified AGI, he is eligible for a PTC of $500. Brandon's income is household income is at 310 percent of the FPL, so he is allowed a repayment limitation. Brandon must increase his tax liability by the lesser of the excess of his APTC over his PTC, $986, or the repayment limitation.



EXERCISES (continued)

Question 5: Pedro is retired and covered by Medicare. His wife Camilla is too young for Medicare. Both are U.S. citizens. Even though Pedro is on Medicare, can Camilla get a PTC if she enrolls in coverage through the Marketplace (and is otherwise eligible for a PTC)?

a. Yes

b. No

Question 6: You are completing the return for Antonio, who purchased health coverage through the Marketplace and received the benefit of APTC. In completing Form 8962, you note that Antonio's MAGI is 401 percent of the FPL and the calculation shows that he has to repay most of his APTC. Assuming that Antonio would be entitled to an IRA deduction if he made an IRA contribution, can Antonio reduce his MAGI for the PTC calculation even though the tax year has ended?

a. Yes

b. No

Question 7: Piper's income is 300 percent of the FPL for her family size. She purchased health insurance through her employer. Is Piper eligible to take the PTC for her coverage? ☐ Yes ☐ No

Question 8: Harry purchased insurance through the Marketplace. What form will he receive from the Marketplace to prepare his tax return?

a. Form 8962

b. Form 1095-A

c. Form W-2

Question 9: Roger's APTC is $2,500. He is single with no dependents, and lives in Mississippi. On Form 8962, he calculates an actual PTC of $1,000. His household income is over 300 percent of the FPL but under 400 percent of the FPL for a family size of one. Does the repayment limitation apply to Roger?

a. Yes

b. No

Question 10: Judy is single with no dependents. In December, Judy enrolled through the Marketplace in a qualified health plan for the following year. On July 14, Judy enlisted in the Army and was immediately eligible for government sponsored minimum essential coverage. For what period is Judy able to claim a PTC (if she meets all of the eligibility criteria)?

a. The entire tax year

b. January through June

c. January through July

d. Judy is not eligible for the PTC

What about unusual situations?

This lesson does not cover all the situations you may encounter. For situations listed below, consult the Volunteer Resource Guide, Tab H, Other Taxes, Payments, and Refundable Credits, instructions for Form 8962 and Publication 974.

What if taxpayers receive more than one Form 1095-A?

There is only one PTC calculation on Form 8962. Refer to the Volunteer Resource Guide, Tab H, Other Taxes, Payments, and Refundable Credits, for instructions on how to enter multiple Forms 1095-A in the software.

What if taxpayers must allocate policy amounts for a policy purchased through the Marketplace?

If a taxpayer is enrolled, or has a family member who is enrolled, in a policy with a person not in the taxpayer's tax family (a shared policy), the taxpayer may have to allocate the items on Form 1095-A (the enrollment premiums, the premium for the applicable SLCSP, and the advance credit payments) with another taxpayer (a shared policy allocation). The following taxpayers may have to do a shared policy allocation:

- Taxpayers who got divorced or legally separated during the tax year
- A taxpayer who claims as a dependent an individual enrolled in a policy with a member of another tax family
- A taxpayer who receives a Form 1095-A that includes an individual claimed as a dependent by another tax family
- A taxpayer who files a separate return from his or her spouse

Taxpayers allocate policy amounts on Form 8962, Part IV. Returns that require an allocation of policy amounts are out of scope for the VITA/TCE programs.

What about an individual the taxpayer enrolled who does not file a return and is not claimed as a dependent by anyone?

If an individual for whom APTC was paid neither files a tax return for the year the APTC was paid, nor is claimed as a dependent on a tax return for the year the APTC was paid, the taxpayer who indicated to the Marketplace at enrollment that the individual would be in the taxpayer's tax family for the year the APTC was paid must report the APTC paid for that individual's coverage. See the instructions for Form 8962 and Publication 974 for more information.

What if taxpayers get married during the year?

If taxpayers got married during the tax year and one or both spouses received the benefit of APTC payments for the pre-marriage months, the spouses may be eligible to use an alternative calculation to determine their excess APTC. The alternative calculation can be used to reduce excess APTC, but not to claim net PTC. See the instructions for Form 8962 for eligibility. If eligible, taxpayers will complete Form 8962, Part V, Alternative Calculation of Year of Marriage. This is out of scope for the VITA/TCE programs. If the taxpayers do not have excess APTC, they cannot use the alternative calculation and the return remains in scope.

What about individuals not lawfully present?

A PTC is not allowed for the coverage of an individual who is not lawfully present in the United States. All APTC paid for an individual not lawfully present who enrolls in a qualified health plan must be repaid. If a member of the family is not lawfully present and is enrolled in a qualified health plan with family members who are lawfully present for one or more months of the year, use the instructions in Publication 974 to find out how much APTC, if any, must be repaid. If all family members enrolled in a qualified health plan are not lawfully present, all APTC must be repaid. There is no repayment limitation on excess APTC attributable to the coverage of an individual not lawfully present in the United States. Refer to Publication 974.

Summary

The Affordable Care Act addresses health insurance coverage and financial assistance options for individuals and families, including the PTC.

Only taxpayers who purchase qualified health care coverage through the Marketplace for themselves, their spouse with whom they are filing jointly, or their dependents are allowed a PTC. Eligible taxpayers may choose to get the benefit of advance credit payments, the amount of which is based on their estimated PTC, to reduce their share of the cost of monthly premiums. Taxpayers who chose to forgo advance credit payments get all of the benefit of the PTC when they claim it on the tax return. The PTC is calculated and the advance credit payments are reconciled on Form 8962. Taxpayers will receive Form 1095-A from the Marketplace, which will contain the information necessary to complete Form 8962.

The PTC is claimed on Form 1040, Schedule 3. Any excess APTC that must be repaid is entered on Form 1040, Schedule 2.

Through 2025, a taxpayer’s required contribution is less than in prior years. Also, taxpayers with household income over 400% of the FPL may be allowed a PTC through 2025. Thus, more taxpayers who purchase their health coverage through the Marketplace will be able to claim PTC for these years.

What situations are out of scope for the VITA/TCE programs?

The following are out of scope for this lesson. While this list may not be all inclusive, it is provided for your awareness only.

- Self-employed health coverage deductions for taxpayers who are also allowed a PTC
- Form 8962 Part IV, Allocation of Policy Amounts, and Part V, Alternative Calculation for Year of Marriage
- Individuals eligible for the health coverage tax credit, if extended
- If there is a code FF on Form W-2, Box 12 and the employee has a Marketplace policy and is otherwise eligible for PTC
- Individual Coverage Health Reimbursement Arrangement (ICHRA) with Marketplace coverage

Summary

Listing all the payments the taxpayer made during the year, and the taxpayer's refundable credits is critical to completing an accurate return. You must be able to identify the types of payments and credits that apply to each taxpayer when you are preparing their return.

What situations are out of scope for the VITA/TCE programs?

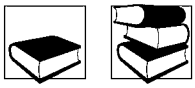
The following is out of scope for this lesson. While this list may not be all inclusive, it is provided for your awareness only.

- Taxpayers who choose to claim any of the following credits:
  - Form 4136, Credit for Federal Tax Paid on Fuels
  - Form 2439, Notice to Shareholder of Undistributed Long-Term Capital Gains
  - Form 8839, Qualified Adoption Expenses
  - Form 8885, Health Coverage Tax Credit, if extended
  - Credit for repayment of amounts included in income in a previous year (IRC 1341)



To gain a better understanding of the tax law, complete the practice return(s) for your course of study using the Practice Lab on L&LT.

Earned Income Credit (EIC)



Introduction

This lesson covers the earned income credit (EIC). There are several common errors associated with claiming this credit on the return. The Volunteer Resource Guide and the intake and interview sheet are critical tools in avoiding these mistakes.

Objectives

At the end of this lesson, using your resource materials, you will be able to:

- Determine if a taxpayer is eligible for the earned income credit
- Calculate the earned income credit

What do I need?

- Form 13614-C
- Publication 4012
- Publication 17
- Form 1040 and Instructions
- Form 8862

Optional:

- Publication 596
- Schedule EIC

What is the EIC?

The earned income credit (EIC) is a refundable tax credit for most people who work but do not earn high incomes. The purpose of the EIC is to reduce the tax burden and to supplement the wages of working families whose earnings are less than the maximums for their filing status. Eligible taxpayers can receive a refund with this credit, even if they have no filing requirement, owe no tax, and had no income tax withheld. All taxpayers and dependents must have valid Social Security numbers by the due date of the return (including extensions) to claim the credit. The refund for taxpayers claiming the EIC will not be issued prior to February 15.

The EIC can be a very valuable credit. The EIC was permanently expanded to allow families to claim credit for three or more children. The EIC amounts are adjusted for inflation every year.

The EIC is reported on its own line on the tax return.

How does a taxpayer qualify for the EIC?

There are general sets of rules for claiming the earned income credit:

- Rules for everyone
- Rules for taxpayers with a qualifying child
- Rules for taxpayers who do not have a qualifying child

What rules apply to everyone?

The taxpayer must meet all the rules to qualify for the earned income credit. Turn to the chart titled Summary of EIC Eligibility Requirements in the Volunteer Resource Guide, Tab I, Earned Income Credit. Review Part A, Rules for Everyone, and Part D, Earned Income and AGI Limitations.



Both earned income and adjusted gross income must be below the income limits in order for the taxpayer to qualify for the EIC. These amounts are adjusted for inflation every year.

Go to the Volunteer Resource Guide, Tab K, Finishing the Return, to review the information on balance due returns. Be sure to read this reference and refer to it when preparing a return that has an amount owed.

Taxpayers can check the balance owed on their account by creating an account on IRS.gov or by requesting an account transcript at **www.irs.gov/payments/view-your-tax-account**.

Taxpayers can use the IRS2Go app on their mobile device to access their account and make a payment.

What if the taxpayer cannot pay?

If taxpayers state that they cannot pay, first advise them to file the return and pay as much as they can with the return. This will reduce penalty and interest charges. Once they receive a notice, they can pay the remaining amount in full or choose another payment option if more time is needed.

Taxpayers who cannot pay the full amount owed, shown on Form 1040 in the Amount You Owe section, may use one of the following options:

- Request a short-term payment plan of up to 180 days using the Online Payment Agreement Application (OPA) or calling. No fee is charged, but interest and penalties are charged on payments after the April due date.
- Monthly installment payments (established online using OPA or file Form 9465, Installment Agreement Request). A fee is charged for this option, in addition to interest and penalties. The fee is less with OPA. Taxpayers may qualify for waiver or reimbursement.
- Referral to Low-Income Taxpayer Clinics (LITC). Services are offered for free or a small fee.

Any amount of tax owed that is not paid by the April due date is subject to penalties and interest. Taxpayers who cannot pay should choose the option that is the least costly. For example, the 180-day short-term plan option has no user fee. Print extra vouchers for taxpayers who need to send in multiple payments or they can make their payments using DirectPay on IRS.gov or the IRS2Go app.

Taxpayers who can show they will have a substantial financial difficulty if they pay their tax on the due date are considered to have an undue hardship. Such taxpayers can request an extension of time to pay by filing Form 1127, Application for Extension of Time for Payment of Tax Due to Undue Hardship, by the due date of the return. Remember, undue hardship is more than an inconvenience.

How do I handle Form 9465, Installment Agreement Request?

The following outlines key information related to an installment agreement.

- Taxpayers who owe can immediately establish an installment agreement online, using the Online Payment Agreement Application (OPA). Taxpayers can also use OPA to agree to a short-term payment plan up to 180 days. With OPA, there is no need to complete Form 9465. For more information, go to **www.irs.gov/payments/online-payment-agreement-application**.
- If the return is being filed electronically, Form 9465 can also be included with the e-filed return. Refer to the Volunteer Resource Guide, Tab K, Finishing the Return.
- When filing a paper return, Form 9465 should be completed and attached to the front of the return before mailing. The processing fee charged is higher if Form 9465 is used.

- If taxpayers already have an installment agreement with the IRS, they may be able to add the current year's amount owed to the same agreement. Taxpayers in this situation should contact the IRS directly at 1-800-829-1040 or complete Form 9465 reflecting the balance of all amounts (prior and current year amounts) and indicate the new total monthly payment. Submit Form 9465 electronically with the return.
- If the request is granted, the taxpayers must pay an installment agreement user fee. The amount of the fee varies depending on whether the agreement was setup online or the taxpayer agreed to pay by direct debit. If the taxpayers' income is below certain limits, they may qualify for a reduced or waived fee. Taxpayers can also request a reduced user fee by completing Form 13844, Application for Reduced User Fee for Installment Agreement. Taxpayers can obtain Form 13844 at IRS.gov or by calling the IRS forms number at 1-800-829-3676. The fee for establishing an installment agreement using OPA is lower.
- If the IRS approves the agreement, a notice is issued that provides details of the agreement and requests the user fee at that time.
- If the total amount due is more than $25,000, there are additional requirements. Refer to Form 9465 instructions.



Some low-income taxpayers may qualify for a modification of user fee requirements. The IRS will waive or reimburse user fees associated with installment agreements for taxpayers who earn less than 250% of the federal poverty rate. For details, see User fee waivers and refunds on IRS.gov.



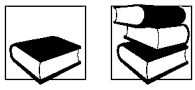
An offer in compromise allows taxpayers to settle tax debt for less than the full amount owed. Low-income taxpayers qualify to waive the application fee for an Offer-in-Compromise (OIC) if their AGI is at or below 250% of the federal poverty level. Assisting a taxpayer with an OIC is out of scope for the VITA/TCE Programs.

Where can I refer taxpayers for other options to resolve tax-related matters?

Low-Income Taxpayer Clinics (LITCs) are independent from the IRS and Taxpayer Advocate Service (TAS). LITCs represent taxpayers whose income is below a certain level and who need to resolve tax problems with the IRS. LITCs can represent taxpayers in audits, appeals, and tax collection disputes before the IRS and in court. In addition, LITCs can provide information about taxpayer rights and responsibilities in different languages for individuals who speak English as a second language. Services are offered for free or a small fee. For more information or to find an LITC, see the LITC page at **www.taxpayeradvocate.irs.gov/about-us/low-income-taxpayer-clinics-litc** or **Publication 4134**, Low Income Taxpayer Clinic List. This publication is available online at IRS.gov or by calling the IRS at 1-800-829-3676.

Under the Taxpayer First Act, programs funded by IRS grants are encouraged to refer taxpayers when appropriate to an LITC. As mentioned above, LITCs can provide help with many issues that VITA volunteers might identify in their work with taxpayers. LITC staff may also be a resource to VITA Quality Reviewers or preparers in helping with the interpretation of tax law. Ideally, tax preparation programs and LITCs will share information and discuss how best to make a referral to provide the best possible service to our taxpayers. LITCs are encouraged to refer taxpayers to free preparation options such as VITA and TCE by the LITC Program Office.

Completing the Return



Introduction

In this lesson, you will receive insights and information for concluding your interview with the taxpayer and completing the return.

Using the tools discussed in the Volunteer Resource Guide, Tab K, Finishing the Return, share the following with the taxpayers:

- What to file when a taxpayer moves
- When tax returns are due
- Getting an extension of time to file
- Which records/documents they should keep and why
- What documentation is maintained at the site – why, how long, etc.
- What they need to know and do if they overpaid their taxes (such as submitting a new Form W-4 to their employer to reduce the amount of withholding). See the Refund and Amount of Tax Owed lesson for additional information.
- What they need to know and do if they owe additional taxes (e.g., payment due date, estimated tax payments, and submitting a new Form W-4 to increase withholding). See the Refund and Amount of Tax Owed lesson for additional information.

These are important tasks to accomplish after the tax return is completed, quality reviewed, and ready to be filed. The way that you conclude the interview can impact taxpayers' attitudes toward the taxpaying experience and their satisfaction with the volunteer tax return assistance program. It can also make next year's tax preparation easier for taxpayers and the volunteer who assists them.

Objectives

At the end of this lesson, using your resource materials, you will be able to:

- Determine where to file a return when a taxpayer moves
- Determine when a return should be filed
- Assist with getting an extension of time to file a return
- Assemble the taxpayer's copy of the tax return
- Identify the records the site maintains
- Explain to taxpayers which records they should maintain
- End the interview

What do I need?

- Publication 4012
- Publication 17
- Publication 730
- Form 1040-V

Optional:

- Form 8332
- Form 8879
- Form 9465
- Form 8822

What action should be taken when a taxpayer moves?

Taxpayers who changed their mailing address during the year should notify the IRS of the change on Form 8822, Change of Address, or use their new address when they file a tax return, give an oral notification or signed written statement to the IRS, or update their address with the U.S. Postal Service (USPS).

Taxpayers who move after filing a tax return should fill out and mail Form 8822 to the IRS service center based on the state where their returns were previously filed. The service centers' addresses are listed on page 2 of the form.

EXERCISES

ANSWERS are after the lesson summary.

Question 1: Tony, who is due a refund, filed his tax return from his home address in Florida on March 12. On March 30 he was transferred to Puerto Rico. Where should Tony submit his Form 8822, Change of Address?

a. To the IRS service center for Florida

b. To the IRS service center for Puerto Rico

c. Either of the above

When should taxpayers file their returns?

Most individual tax returns cover a calendar year, January through December. Calendar-year taxpayers who live in the United States or Puerto Rico should file their individual tax returns by the April due date of the following year.



Taxpayers who have a balance due can pay by check, money order, electronic funds withdrawal, or credit card.



If April 15 falls on a weekend or holiday, then the due date is the next business day.



If the postal service does not deliver to the taxpayer's street address and the taxpayer has a post office box, enter the post office box number on the line for the present home address.

What are the extension requirements for taxpayers within the U. S.?

Taxpayers can receive extensions of time to file their returns. Different rules apply to taxpayers who live in the U.S. and those who live outside the U.S.

The IRS will charge interest on taxes not paid by the due date, even if an extension of time to file is granted. The only exception is when the combat zone extension applies. See Military Finishing and Filing the Return, later.

How does a taxpayer get an automatic extension?

Taxpayers living in the United States can receive an automatic six-month extension of time to file their federal tax returns.

To get the automatic extension, taxpayers must file Form 4868, Application for Automatic Extension of Time To File U.S. Individual Income Tax Return, by the due date for their tax return (usually April 15). Calendar-year taxpayers who take the extension will have until October 15 to file their tax return.

Page 1 of the intake sheet with volunteer entries:

Form **13614-C** (October 2022)	Department of the Treasury - Internal Revenue Service **Intake/Interview & Quality Review Sheet**	OMB Number 1545-1964

You will need:
- **Tax Information such as Forms W-2, 1099, 1098, 1095.**
- **Social security cards or ITIN letters for all persons on your tax return.**
- **Picture ID (such as valid driver's license) for you and your spouse.**

- **Please complete pages 1-4 of this form.**
- **You are responsible for the information on your return. Please provide complete and accurate information.**
- **If you have questions, please ask the IRS-certified volunteer preparer.**

Volunteers are trained to provide high quality service and uphold the highest ethical standards.
To report unethical behavior to the IRS, email us at wi.voltax@irs.gov

Part I – Your Personal Information (If you are filing a joint return, enter your names in the same order as last year's return)

1. Your first name	M.I.	Last name	Best contact number	Are you a U.S. citizen?
CHARLES		BALDWIN	YOUR PHONE #	☒ Yes ☐ No
2. Your spouse's first name	M.I.	Last name	Best contact number	Is your spouse a U.S. citizen?
SHAY		BALDWIN		☒ Yes ☐ No

3. Mailing address	Apt #	City	State	ZIP code
775 BANKS STREET		YOUR CITY	YS	YOUR ZIP

4. Your Date of Birth	5. Your job title	6. Last year, were you:					
12/3/1981	CUSTOMER SERVICE REP	b. Totally and permanently disabled	☐ Yes	☒ No	c. Legally blind	☐ Yes	☒ No
7. Your spouse's Date of Birth	8. Your spouse's job title	9. Last year, was your spouse:					
6/10/1985	CASHIER	b. Totally and permanently disabled	☐ Yes	☒ No	c. Legally blind	☐ Yes	☒ No

6. Last year, were you:				a. Full-time student	☐ Yes	☒ No	
9. Last year, was your spouse:				a. Full-time student	☐ Yes	☒ No	
10. Can anyone claim you or your spouse as a dependent?	☐ Yes	☒ No	☐ Unsure				
11. Have you, your spouse, or dependents been a victim of tax related identity theft or been issued an Identity Protection PIN?					☐ Yes	☒ No	

12. Provide an email address (optional) (this email address will not be used for contacts from the Internal Revenue Service)

Part II – Marital Status and Household Information

1. As of December 31, 2022, what was your marital status?
- ☐ Never Married
- ☒ Married
- ☐ Divorced
- ☐ Legally Separated
- ☐ Widowed

(This includes registered domestic partnerships, civil unions, or other formal relationships under state law)
a. If Yes, Did you get married in 2022? ☐ Yes ☒ No
b. Did you live with your spouse during any part of the last six months of 2022? ☒ Yes ☐ No
Date of final decree _____
Date of separate maintenance decree _____
Year of spouse's death _____

2. List the names below of:
- **everyone** who lived with you last year (other than your spouse)
- **anyone** you supported but did not live with you last year

If additional space is needed check here ☐ and list on page 3

									To be completed by a Certified Volunteer Preparer				
Name (first, last) Do not enter your name or spouse's name below (a)	Date of Birth (mm/dd/yy) (b)	Relationship to you (for example: son, daughter, parent, none, etc) (c)	Number of months lived in your home last year (d)	US Citizen (yes/no) (e)	Resident of US, Canada, or Mexico last year (yes/no) (f)	Single or Married as of 12/31/22 (S/M) (g)	Full-time Student last year (yes/no) (h)	Totally and Permanently Disabled (yes/no) (i)	Is this person a qualifying child/relative of any other person? (yes/no)	Did this person provide more than 50% of his/her own support? (yes,no,n/a)	Did this person have less than $4,400 of income? (yes,no,n/a)	Did the taxpayer(s) provide more than 50% of support for this person? (yes/no/n/a)	Did the taxpayer(s) pay more than half the cost of maintaining a home for this person? (yes/no)
NATHANIEL BALDWIN	4/4/2004	Son	12	YES	YES	S	YES	NO	NO	NO	YES	YES	YES
KARLY BALDWIN	4/29/2006	Daughter	12	YES	YES	S	YES	NO	NO	NO	YES	YES	YES

Catalog Number 52121E www.irs.gov Form **13614-C** (Rev. 10-2022)

Form 1095-A Health Insurance Marketplace Statement

The amount shown for APTC is for illustration purposes only. APTC cannot be more than the policy cost.

Form **1095-A**

Department of the Treasury
Internal Revenue Service

Health Insurance Marketplace Statement

Do not attach to your tax return. Keep for your records.
Go to *www.irs.gov/Form1095A* for instructions and the latest information.

☐ VOID
☐ CORRECTED

OMB No. 1545-2232

2022

Part I Recipient Information

1 Marketplace identifier: XXXX	**2** Marketplace-assigned policy number: XXXXX	**3** Policy issuer's name: XXXXXXXXXXXXXXXXXXXX	
4 Recipient's name: CHARLES BALDWIN		**5** Recipient's SSN: 609-00-XXXX	**6** Recipient's date of birth: 12/03/1981
7 Recipient's spouse's name: SHAY BALDWIN		**8** Recipient's spouse's SSN: 610-00-XXXX	**9** Recipient's spouse's date of birth: 06/10/1985
10 Policy start date: 03/01/2022	**11** Policy termination date: 12/31/2022	**12** Street address (including apartment no.): 775 BANKS ST	
13 City or town: YOUR CITY	14. State or province: YS	**15** Country and ZIP: YOUR ZIP	

Part II Covered Individuals

	A. Covered individual name of birth	B. Covered individual SSN	C. Covered individual Date of Birth	D. Coverage start date dat	E. Coverage termination date
16	CHARLES BALDWIN	609-00-XXXX	12/03/1981	03/01/2022	12/31/2022
17	SHAY BALDWIN	610-00-XXXX	06/10/1985	03/01/2022	12/31/2022
18	NATHANIEL BALDWIN	611-00-XXXX	04/04/2004	03/01/2022	12/31/2022
19	KARLY BALDWIN	612-00-XXXX	04/29/2006	03/01/2022	12/31/2022
20					

Part III Coverage Information

Month	A. Monthly enrollment premiums	B. Monthly second lowest cost silver plan (SLCSP) premium	C. Monthly advance payment of premium tax credit
21 January			
22 February			
23 March	$789.00	$789.00	$800.00
24 April	$789.00	$789.00	800.00
25 May	$789.00	$789.00	$800.00
26 June	$789.00	$789.00	$800.00
27 July	$789.00	$789.00	$800.00
28 August	$789.00	$789.00	$800.00
29 September	$789.00	$789.00	$800.00
30 October	$789.00	$789.00	$800.00
31 November	$789.00	$789.00	$800.00
32 December	$789.00	$789.00	$800.00
33 **Annual Totals**	$7890.00	$7890.00	$8,000.00

For Privacy Act and Paperwork Reduction Act Notice, see separate instructions. Cat. No. 60703Q Form **1095-A** (2022)

2022 Publication 6744, VITA/TCE Volunteer Assistor's Test/Retest

Page Number	Changes
	Basic Course Scenarios and Test Questions
1	Under the last sentence, add sections **Special Accomodations** and **Reference Materials** from page 2.
2	Under the heading, **Taking the Test**, at the end of the last sentence add a new paragraph: Online testing is fast and efficient; it provides test results immediately. Volunteers who do not pass the test the first time may review the course material and try again. Also, volunteers who prefer to take the certification test on paper utilizing Form 6744, VITA/TCE Volunteer Assistor's Test or Retest, may continue to complete the test using this method but must transcribe their answers to the test in Link & Learn Taxes to meet the requirement for all volunteers to register and certify through Link & Learn Taxes.
29	No changes.
30	Under heading, **Basic Scenario 2: Lewis Oneida Monroe, Interview Notes**, in the 4th bulleted sentence, **replace:** $15,400 with $10,400
	Basic Course Retest Questions
59	No changes.
60	Under heading, **Basic Scenario 2: Lewis Oneida Monroe, Interview Notes,** in the 4th bulleted sentence, **replace:** $15,400 with $10,400
	Military Test Questions
115	Under heading, **Scenario 1: Question 2,** add the following **warning:** Due to rounding differences in the Practice Lab software, enter 1815 as the correct answer
	Military Course Scenarios and Retest Questions
127	Under heading, **Scenario 1: Question 2,** add the following **warning:** Due to rounding differences in the Practice Lab software, enter 1815 as the correct answer
	Foreign Student Test Questions
195	Under the last sentence, Refunds, Deductions, and the Best Form to Use, at the end of question #39, replace: "in error" with "correctly"
196	No changes.
205	Under heading, Scenario 3: Rubra Khatri Retest Questions, answer d., in question 33, change: $9,300 to $9,400
206	No changes.

Form 6744 – 2022 VITA/TCE Test

Preface

Quality Return Process

An accurate return is the most important aspect of providing quality service to the taxpayer. It establishes credibility and integrity in the program. Throughout the training material you were introduced to the major components of the VITA/TCE return preparation process, including:

- Understanding and applying tax law
- Screening and interviewing taxpayers
- Using references, resources, and tools
- Conducting quality reviews

During training, you were given an opportunity to apply the tax law knowledge you gained. You learned how to verify and use the information provided by the taxpayer on the intake and interview sheet in order to prepare a complete and correct tax return.

You also learned how to use your reference materials and conduct a quality review.

Now it is time to test the knowledge and skills you have acquired and apply them to specific scenarios. This is the final step to help you prepare accurate tax returns within your scope of training.

We welcome your comments for improving these materials and the VITA/TCE programs. You may follow the evaluation procedures located on Link & Learn Taxes at **www.irs.gov** or e-mail your comments to **partner@irs.gov**.

Thank you for being a part of this valuable public service for your neighbors and community.

Special Accommodations

If you require special accommodations to complete the test, please advise your instructor, Site Coordinator, or other VITA/TCE volunteer contact immediately.

Reference Materials

This test is based on the tax law that was in effect when the publication was printed. Use tax year **2022** values for deductions, exemptions, tax, or credits for all answers on the test. Remember to round to the nearest dollar. Test answers have been rounded up or down as directed in the specific instructions on the form.

- This is an open book test. You may use your course book and any other reference material you will use as a volunteer. A draft Form 13614-C, Intake/Interview & Quality Review Sheet, is included in the return preparation scenarios. Use this form when completing the tax returns and answering the test questions.

Please complete this test on your own. Taking the test in groups or with outside assistance is a disservice to the customers you volunteered to help.

Test Instructions

Using Tax Preparation Software

The Practice Lab is a tax year 2022 tax preparation tool developed to help in the certification process for VITA/TCE volunteers. Select Practice Lab from the **VITA/TCE Springboard**. A universal password will be needed to access the Practice Lab. Your instructor, Site Coordinator, or other VITA/TCE volunteer contact will be able to provide you with the universal password. Once you access the Practice Lab, you will need to create an account if you do not already have one.

Using prior year software will not generate the correct answers for the 2022 test.

When entering Social Security numbers (SSNs) or Employer Identification Numbers (EINs), replace the Xs as directed, or with any four digits of your choice. Use your city, state, and ZIP code when completing any of the forms, unless otherwise indicated. Any question posed by the software not addressed in the interview notes can be answered as you choose.

All taxpayer names, SSNs, EINs, and account numbers provided in the scenarios are fictitious.

Taking the Test

When taking the tests, you may encounter both mini-scenarios and tax preparation scenarios. The mini-scenarios do not require you to prepare a tax return. For each of these, **read the interview notes for each scenario carefully and use your training and resource materials to answer the questions after the scenarios.** This test is based on the tax law that was in effect when the publication was finalized. The answers for the test and retest are based on 2022 values for deductions, exemptions, tax, and credits. The most current draft copies of forms were used at the time this document was published. The tax preparation scenarios require you to complete a sample tax return. You can use the Practice Lab to prepare the sample returns. Answer the questions following the scenario.

Beginning FS 2023, all volunteers must register and certify via Link & Learn Taxes. Go to the Link & Learn Taxes e-learning application at **www.linklearncertification.com**. Online testing is fast and efficient; it provides test results immediately. Volunteers who do not pass the test the first time may review the course material and try again. Also, volunteers who prefer to take the certification test on paper utilizing Form 6744, VITA/TCE Volunteer Assistor's Test or Retest, may continue to complete the test using this method but must transcribe their answers to the test in Link & Learn Taxes to meet the requirement for all volunteers to register and certify through Link & Learn Taxes.

Test Answer Sheet

The test scenarios on Link & Learn Taxes are the same as in this booklet. Read each question carefully before entering your answers online.

Mark your answers in the test booklet. Use the answer sheet if you are submitting the paper test to your instructor for grading. In that case, make sure your name is at the top of the page and give your Test Answer Sheet and the completed Form 13615, Volunteer Standards of Conduct Agreement to your instructor, Site Coordinator, or other VITA/TCE volunteer contact as directed. Do not submit your entire test booklet unless otherwise directed.

Basic Course Scenarios and Test Questions

Directions

The first six scenarios do not require you to prepare a tax return. **Read the interview notes for each scenario carefully and use your training and resource materials to answer the questions after the scenarios.**

Basic Scenario 1: Tom Brown

Interview Notes

- Tom is 36 years old and has never been married.
- Frank, age 13, is Tom's nephew who lived with him all year. Tom provided all of his support and provided over half the cost of keeping up the home.
- Tom earned $44,000 in wages.
- Tom is blind and cannot be claimed as a dependent by another taxpayer.
- Tom and Frank are U.S. citizens, have valid Social Security numbers, and lived in the U.S. the entire year.

Basic Scenario 1: Test Questions

1. What is the most advantageous filing status allowable that Tom can claim on his tax return for 2022?

   a. Single

   b. Head of Household

   c. Qualifying Surviving Spouse (QSS)

   d. Married Filing Jointly

2. Tom can claim a higher standard deduction because he is blind.

   a. True

   b. False

Basic Scenario 2: Lewis and Oneida Monroe

Interview Notes

- Lewis, age 26, and Oneida, age 25, are married and will file a joint return.
- They cannot be claimed as dependents by another taxpayer.
- Lewis and Oneida have no children or other dependents.
- Both work and neither are full-time students. Lewis earned wages of $10,400 and Oneida earned wages of $5,600.
- Lewis and Oneida are U.S. citizens and have valid Social Security numbers.
- Lewis and Oneida have investment income of $5,000.

Basic Scenario 2: Test Questions

3. Lewis and Oneida are eligible to claim the Earned Income Tax Credit (EITC).

   a. True

   b. False

4. Lewis and Oneida's investment income of $5,000 disqualifies them for the Earned Income Tax Credit (EITC).

   a. True

   b. False

Directions

The first five scenarios do not require you to prepare a tax return. **Read the interview notes for each scenario carefully and use your training and resource materials to answer the questions after the scenarios.**

Basic Scenario 1: Tom Brown

Interview Notes

- Tom is 36 years old and has never been married.
- Frank, age 13, is Tom's nephew who lived with him all year. Tom provided all of his support and provided over half the cost of keeping up the home.
- Tom earned $44,000 in wages.
- Tom is blind and cannot be claimed as a dependent by another taxpayer.
- Tom and Frank are U.S. citizens, have valid Social Security numbers, and lived in the U.S. the entire year.

Basic Scenario 1: Retest Questions

1. Tom’s most advantageous filing status for 2022 is Single.

   a. True

   b. False

2. Tom is blind and can claim a standard deduction amount of:

   a. $12,950

   b. $19,400

   c. $21,150

   d. $25,900

Basic Scenario 2: Lewis and Oneida Monroe

Interview Notes

- Lewis, age 26, and Oneida, age 25, are married and will file a joint return.
- They cannot be claimed as dependents by another taxpayer.
- Lewis and Oneida have no children or other dependents.
- Both work and neither are full-time students. Lewis earned wages of $10,400 and Oneida earned wages of $5,600.
- Lewis and Oneida are U.S. citizens and have valid Social Security numbers.
- Lewis and Oneida have investment income of $5,000.

Basic Scenario 2: Retest Questions

3. Lewis and Oneida are eligible to claim the Earned Income Tax Credit (EITC) without a qualifying child.

   a. True

   b. False

4. The maximum amount of investment income that Lewis and Oneida can have to qualify for the Earned Income Tax Credit is $ _____.

Directions

The first four scenarios do not require you to prepare a tax return. **Read the interview notes for the scenario carefully and use your training and resource materials to answer the questions.**

Military Scenario 1: Sara Glow

Interview Notes

- Sara Glow is single.
- Sara is a medic in the Army Reserve. She attended training drills one weekend a month for 12 months in 2022.
- Sara only owns one vehicle. She placed her vehicle in service on March 15, 2021.
- Sara's total mileage in 2022 was 12,674 miles.
- Sara's duty station is 125 miles away from her residence. She drove 3,000 miles to and from her duty station based on her travel log. (Note: mileage rate changed in July)
- Sara paid $936 for meals while attending training drills. Lodging was provided for free on the base since she is enlisted.
- Meals were within federal per diem rates for the area.
- Sara paid $205 for the cost and upkeep of her uniforms. She is permitted to wear her uniform for off duty purposes.
- Sara did not receive reimbursement for any of her out-of-pocket expenses.
- Sara paid $48 in tolls, but parking on base was free.

Military Scenario 1: Test Questions

1. Sara is **not** able to take an adjustment to income for:

   a. Mileage to and from her duty station

   b. Uniforms

   c. Meals

   d. Tolls

2. What is the amount of the deductible mileage expense? $_____.



Due to rounding differences in the Practice Lab software, enter 1815 as the correct answer.

Directions

The first four scenarios do not require you to prepare a tax return. Read the interview notes for the scenario carefully and use your training and resource materials to answer the questions.

Military Scenario 1: Sara Glow

Interview Notes

- Sara Glow is single.
- Sara is a medic in the Army Reserve. She attended training drills one weekend a month for 12 months in 2022.
- Sara only owns one vehicle. She placed her vehicle in service on March 15, 2021.
- Sara's total mileage in 2022 was 12,674 miles.
- Sara's duty station is 125 miles away from her residence. She drove 3,000 miles to and from her duty station based on her travel log. (Note: mileage rate changed in July)
- Sara paid $936 for meals while attending training drills. Lodging was provided for free on the base since she is enlisted.
- Meals were within federal per diem rates for the area.
- Sara paid $205 for the cost and upkeep of her uniforms. She is permitted to wear her uniform for off duty purposes.
- Sara did not receive reimbursement for any of her out-of-pocket expenses.
- Sara paid $48 in tolls, but parking on base was free.

Military Scenario 1: Retest Questions

1. The amount Sara paid for meals and mileage is deductible as an adjustment to income.

   a. True

   b. False

2. What is the correct amount of the deductible mileage expense?

   a. $0

   b. $73

   c. $1,815

   d. $7,414



Due to rounding differences in the Practice Lab software, select the option that is closest to the correct answer.

Introduction

This part of the VITA/TCE certification test includes 13 true/false or multiple choice questions.

Allow approximately 20 minutes to complete this segment.

38. Emily, an international student from Ireland, has a Form W-2 that shows amounts withheld for Social Security and Medicare taxes. Emily is an F-1 student who first arrived in the U.S. in 2019. Can she file Form 843 to receive a refund of these taxes?

a. True

b. False

39. Jose and Maria are from Mexico. Jose is a scholar at a local university in J-1 immigration status and Maria is in J-2 immigration status. Maria worked at a local boutique in 2022. Her Form W-2 shows Social Security and Medicare tax witholding, while Jose's does not. Was Maria's Social Security and Medicare tax withholding done correctly?

a. True

b. False

40. Li, an international student from People's Republic of China, received $10,100 of interest income in 2022 from a personal bank account in the U.S. he opened when he first arrived on August 27, 2018. He also had a $100 capital gain from some U.S. stock he sold. Li reports the stock sale on Schedule D and includes it on the front of his Form 1040-NR.

a. True

b. False

41. Arthur entered the United States for the first time in 2020. He is a resident of France and is in F-1 immigration status. Arthur won $1,200 at the local casino. Arthur will report the $1,200 on Schedule NEC.

a. True

b. False

42. George is a visiting scholar from Ireland. He arrived in the U.S. on September 1, 2021 in J-1 immigration status and was accompanied by his wife and son. They had a second child in 2022, born in the U.S. George is required to file a federal income tax return. Which of the following is a true statement?

a. He can claim exemptions for himself, his wife and his two children.

b. He only can claim the earned income credit for his U.S.-born child.

c. The personal and/or dependency exemption deduction for 2022 is $0 through 2025.

d. None of the above

Page Intentionally Left Blank

Scenario 3: Rudra Khatri Retest Questions

Directions

To answer the following questions, refer to the scenario information and Form 1040-NR you completed for Rudra Khatri.

30. What amount is entered for wages, salaries, tips, etc. on Form 1040-NR?

a. $25,200
b. $22,375
c. $22,350
d. $17,350

31. What amount is entered on the itemized deductions line on Form 1040-NR?

a. $13,785
b. $13,600
c. $12,950
d. $1,235

32. What is the amount of federal income tax withheld on Form 1040-NR?

a. $3,985
b. $3,900
c. $2,700
d. $1,050

33. What amount is on the taxable income line of the Form 1040-NR?

a. $21,300
b. $21,140
c. $9,825
d. $9,400

Scenario 4: Gergana Alferov Retest Questions

Directions

To answer the following questions, refer to the scenario information for Gergana Alferov.

34. What amount is Gergana allowed as a treaty benefit?

- **a.** $15,220
- **b.** $9,000
- **c.** $0

35. What is the amount entered on Form 1040-NR on the line for wages, salaries, tips, etc.?

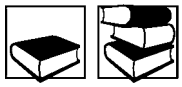
- **a.** $0
- **b.** $6,220
- **c.** $9,000
- **d.** $15,220

36. Where on the tax return will Gergana enter her treaty benefits information?

- **a.** Schedule OI, Line L then carried to Form 1040-NR, Line 1c
- **b.** Form 1040-NR, Schedule A, Line 7
- **c.** Treaty benefits are **only** subtracted from wages, salaries, tips, etc. and listed on Form 1040-NR, Line 1c.
- **d.** No treaty amounts are allowed without Form 1042-S.

37. What is the amount of itemized deductions that Gergana is entitled to take? And what is her taxable income?

- **a.** $622 and $10,244
- **b.** $622 and $14,598
- **c.** $220 and $6,000
- **d.** $220 and $15,000



2022 Publication 4695PR, Puerto Rico Volunteer Test

Page Number	Changes
	Refunds, Deductions, and the Best Form to Use
59	Under heading, **Anotes de la Entrevista**, change the first bullet sentence to: Martin Besos y Marina Rambla están cansados, presentan una declaración conjunta y tienen dos hijos menores de 17 años, que son sus dependientes.
59	Under heading, **Anotes de la Entrevista**, change the third bullet sentence to: Los niños califican para reclamar ambos, el Crédito Aditional Rembolsable por Hijos y el crédito por hijos.
60	No changes.

The corrected pages follow. On the reverse side of each revised page is the continuing page.

Nivel II PR Examen – Escenario 2: Martin Besos y Marina Rambla

Documentos del Contribuyente

- La Hoja de Admisión/Entrevista y Verificación de Calidad, completada
- Formularios W-2 para Martin Besos y Marina Rambla

Anotes de la Entrevista

- Martin Besos y Marina Rambla están casados, presentan una declaración conjunta y tienen dos hijos menores de 17 años, que son sus dependientes.
- La madre de Marina, Carolina, vive con ellos, está permanente y totalmente incapacitada. Ella recibió beneficios de Seguro Social, los cuales no son tributables y no los utiliza para su sustento.
- Los niños califican para reclamar ambos, el Crédito Adicional Rembolsable por Hijos y el crédito por hijos.
- El número de Seguro Social de Martin es 134-00-XXXX (fecha de nacimiento: 09/23/1972) y el de Marina es 135-00-XXXX (fecha de nacimiento: 01/25/1970).
- Tienen una hija, Crystal (fecha de nacimiento: 05/13/2012, SSN: 136-00-XXXX), y un hijo, Louis (fecha de nacimiento: 02/15/2014, SSN: 137-00-XXXX). El SSN de Carolina es 138-00-XXXX y su fecha de nacimiento es 03/30/1948.
- Ellos no detallan sus deducciones.
- La responsabilidad contributiva de Puerto Rico para el 2022 es de $ 4,100.
- Martin y Marina proveen el costo total de mantener el hogar y sustentan a sus hijos, incluyendo a Carolina.
- Ellos hicieron aportaciones a un plan de retio (401k), utilice la Forma 8880 para determinar si cualifican para el Crédito del Ahorrador.
- Si fuera a recibir un reembolso o si tuviese que pagar una deuda, Martin y Marina desean depósito directo o débito automático de su cuenta de cheques 53890; número de ruta y tránsito 6790XXXX.

Form **13614-C** (October 2022)	Department of the Treasury - Internal Revenue Service **Intake/Interview & Quality Review Sheet**	OMB Number 1545-1964

You will need:
- **Tax Information such as Forms W-2, 1099, 1098, 1095.**
- **Social security cards or ITIN letters for all persons on your tax return.**
- **Picture ID (such as valid driver's license) for you and your spouse.**

- **Please complete pages 1-4 of this form.**
- **You are responsible for the information on your return. Please provide complete and accurate information.**
- **If you have questions, please ask the IRS-certified volunteer preparer.**

Volunteers are trained to provide high quality service and uphold the highest ethical standards.
To report unethical behavior to the IRS, email us at wi.voltax@irs.gov

Part I – Your Personal Information (If you are filing a joint return, enter your names in the same order as last year's return)

1. Your first name: MARTIN	M.I.	Last name: BESOS	Best contact number: YOUR PHONE #	Are you a U.S. citizen? ☒ Yes ☐ No
2. Your spouse's first name: MARINA	M.I.	Last name: RAMBLA	Best contact number	Is your spouse a U.S. citizen? ☒ Yes ☐ No

3. Mailing address: VALLE VERDE 9087 GIRASOL ST	Apt #	City: GUAYNABO	State: PR	ZIP code: 00971

4. Your Date of Birth: 09/23/1972	5. Your job title: CUSTOMER SERVICE REP	6. Last year, were you:	a. Full-time student ☐ Yes ☒ No
		b. Totally and permanently disabled ☐ Yes ☒ No	c. Legally blind ☐ Yes ☒ No
7. Your spouse's Date of Birth: 01/25/1970	8. Your spouse's job title: NURSE	9. Last year, was your spouse:	a. Full-time student ☐ Yes ☒ No
		b. Totally and permanently disabled ☐ Yes ☒ No	c. Legally blind ☐ Yes ☒ No

10. Can anyone claim you or your spouse as a dependent? ☐ Yes ☐ No ☐ Unsure

11. Have you, your spouse, or dependents been a victim of tax related identity theft or been issued an Identity Protection PIN? ☐ Yes ☒ No

12. Provide an email address (optional) (this email address will not be used for contacts from the Internal Revenue Service)

Part II – Marital Status and Household Information

1. As of December 31, 2022, what was your marital status?
- ☐ Never Married
- ☒ Married
- ☐ Divorced
- ☐ Legally Separated
- ☐ Widowed

(This includes registered domestic partnerships, civil unions, or other formal relationships under state law)
- a. If Yes, Did you get married in 2022? ☐ Yes ☒ No
- b. Did you live with your spouse during any part of the last six months of 2022? ☒ Yes ☐ No
- Date of final decree _____
- Date of separate maintenance decree _____
- Year of spouse's death _____

2. List the names below of:
- **everyone** who lived with you last year (other than your spouse)
- **anyone** you supported but did not live with you last year

If additional space is needed check here ☐ and list on page 3

									To be completed by a Certified Volunteer Preparer				
Name (first, last) Do not enter your name or spouse's name below (a)	Date of Birth (mm/dd/yy) (b)	Relationship to you (for example: son, daughter, parent, none, etc) (c)	Number of months lived in your home last year (d)	US Citizen (yes/no) (e)	Resident of US, Canada, or Mexico last year (yes/no) (f)	Single or Married as of 12/31/22 (S/M) (g)	Full-time Student last year (yes/no) (h)	Totally and Permanently Disabled (yes/no) (i)	Is this person a qualifying child/relative of any other person? (yes/no)	Did this person provide more than 50% of his/her own support? (yes,no,n/a)	Did this person have less than $4,400 of income? (yes,no,n/a)	Did the taxpayer(s) provide more than 50% of support for this person? (yes/no/n/a)	Did the taxpayer(s) pay more than half the cost of maintaining a home for this person? (yes/no)
CRYSTAL BESOS	05/13/12	DAUGHTER	12	YES	YES	S	YES	NO					
LOUIS BESOS	02/15/14	SON	12	YES	YES	S	YES	NO					
CAROLINA RAMBLA	03/30/48	PARENT	12	YES	YES	S	NO	YES					

Link & Learn Taxes

Link & Learn Taxes is web-based training designed specifically for VITA/TCE volunteers. Each volunteer's ability to prepare complete and accurate returns is vital to the credibility and integrity of the program. Link & Learn Taxes, as part of the complete volunteer training kit, provides the path to achieving this high level of quality service.

Link & Learn Taxes and Publication 4012, VITA/TCE Volunteer Resource Guide, work together to help volunteers learn and practice.

Link & Learn Taxes for 2022 includes:

- Access to all VITA/TCE courses
- Easy identification of the VITA/TCE courses with the course icons
  - As you progress through a lesson, the content for Basic, Advanced, Military, or International will display, depending on the level of certification you selected
- PowerPoint presentations that can be customized to fit your classroom needs
- VITA/TCE Central to provide centralized access for training materials and reference links
- The Practice Lab
  - Gives volunteers practice with an early version of the IRS-provided tax preparation software
  - Lets volunteers complete test practice problems
  - Lets volunteers prepare test scenario returns for the test/retest



Go to https://apps.irs.gov/app/vita. You'll find a detailed overview and links to the courses.

FSA (Facilitated Self Assistance) empowers taxpayers to prepare their own returns with the assistance of a certified volunteer. Taxpayers complete their own returns using interview-based software supplied by leaders in the tax preparation industry. Volunteers assist taxpayers with tax law questions.

Virtual VITA/TCE model includes any site where face-to-face activities are not used during the tax preparation process. That is, the intake specialist, IRS-tax law certified preparer (who prepares the return) and/or the quality reviewer are not face-to-face with the taxpayer. By incorporating this flexibility partners can provide taxpayers with more convenient locations to file their taxes.

For more information contact your SPEC Relationship Manager to see if you should start a FSA or Virtual VITA site in your community.

www.irs.gov

IRS

IRS e-file

Your online resource for volunteer and taxpayer assistance

Partner and Volunteer Resource Center
www.irs.gov/Individuals/Partner-and-Volunteer-Resource-Center

- What's Hot!
- Site Coordinator's Corner

Quality and Tax Alerts for IRS Volunteer Programs
www.irs.gov/individuals/quality-and-tax-alerts-for-irs-volunteer-programs

- Volunteer Tax Alerts

Volunteer Training Resources
www.irs.gov/Individuals/Volunteer-Training-Resources

Outreach Connection
www.irs.gov/outreach-connection

Interactive Tax Assistant (ITA)
www.irs.gov/help/ita

Online Services and Tax Information for Individuals
www.irs.gov/Individuals

Plan
- Tax Withholding (Paycheck Checkup)
- When to File
- Recordkeeping
- Choosing a Tax Professional
- Get Answers to Your Tax Questions Online
- Year-round Tax Planning is for Everyone, Publication 5349

Tools
- View Your Tax Account
- Get Your Transcript
- Where's My Refund?

Identity Theft Protections

Get Help Now

File
- IRS Free File
- How to File
- Filing Past Due Returns
- Correcting Your Tax Return
- Social Security Benefit Statement

Pay
- Tax Withholding
- Estimated Taxes
- Options for Paying Your Taxes
- How to Choose a Payment Option
- Understanding Your IRS Notice or Letter
- What to Do If You Can't Pay

eBooks
Want to view our training products on your mobile or tablet devices? Click here to access our eBooks: **www.irs.gov/individuals/site-coordinator-corner**

Mobile App
Another device to use for additional information is IRS2Go. Click here to download IRS2Go mobile app: **www.irs.gov/newsroom/irs2goapp**.

and much more!

Your direct link to tax information 24/7: **www.irs.gov**